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Foreword

This Economic Survey was prepared by Alberto González Pandiella and Alessandro Maravalle, under the supervision of Aida Caldera Sánchez. Research assistance was provided by Mónica Quinza Armenta, administrative and editorial assistance by Rosario Hernando Cruz and communication assistance by François Iglesias.

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Basic statistics of Mexico, 2024

(Numbers in parentheses refer to the OECD average)

LAND, PEOPLE AND ELECTORAL CYCLE					
Population (million)	130.9		Population density per km²	67.3	(39.6)
Under 15 (%)	24.5	(16.7)	Life expectancy at birth (years, OECD: 2023)	75.5	(81.2)
Over 65 (%)	8.2	(18.6)	Men (OECD: 2023)	72.4	(78.6)
International migrant stock (% of population)	1.3	(15.7)	Women (OECD: 2023)	78.9	(83.8)
Latest 5-year average growth (%)	0.8	(0.5)	Latest general election	Jun-2024	
ECONOMY					
Gross domestic product (GDP)			Value added shares (%)		
In current prices (billion USD)	1 842.3		Agriculture, forestry and fishing	4.0	(2.6)
In current prices (billion MXN)	33 506.8		Industry including construction	33.9	(26.0)
Latest 5-year average real growth (%)	1.0	(1.8)	Services	62.1	(71.4)
Per capita (thousand USD PPP, OECD: 2023) ¹	25.8	(59.0)			
GENERAL GOVERNMENT					
Expenditure	29.2	(42.7)	Gross financial debt	58.3	(112.5)
Revenue	22.9	(37.9)	Net financial debt	51.3	(65.9)
EXTERNAL ACCOUNTS					
Exchange rate (MXN per USD)	18.19		Main exports (% of total merchandise exports)		
PPP exchange rate (USA = 1)	9.92		Machinery and electronics	34.5	
In per cent of GDP			Transportation	27.4	
Exports of goods and services	37.3	(30.3)	Miscellaneous	9.2	
Imports of goods and services	38.1	(29.9)	Main imports (% of total merchandise imports)		
Current account balance	-0.7	(-0.4)	Machinery and electronics	38.6	
Net international investment position	-32.1		Transportation	10.9	
			Miscellaneous	9.7	
LABOUR MARKET, SKILLS AND INNOVATION					
Employment rate (aged 15 and over, %)	58.5	(58.0)	Unemployment rate, Labour Force Survey (aged 15 and over, %,)	2.7	(4.9)
Men	73.9	(65.4)	Youth (aged 15-24, %)	5.8	(11.1)
Women	45.0	(51.0)	Long-term unemployed (1 year and over, %)	0.1	(1.0)
Participation rate (aged 15 and over, %)	60.1	(61.0)	Tertiary educational attainment (aged 25-64, %)	21.9	(41.2)
Average hours worked per year	2,193	(1 736)	Gross domestic expenditure on R&D (% of GDP, 2023, OECD: 2022)	0.3	(3.0)
ENVIRONMENT					
Total primary energy supply per capita (toe)	1.6	(3.7)	CO ₂ emissions from fuel combustion per capita (tonnes)	3.6	(7.5)
Renewables (%)	8.4	(13.1)	Renewable internal freshwater resources per capita (1 000 m³, 2023)	0.7	
Exposure to air pollution (more than 10 µg/m³ of PM _{2.5} , % of population, 2020)	99.5	(56.5)	Municipal waste per capita (tonnes, 2012, OECD: 2023)	0.4	(0.6)
SOCIETY					
Income inequality (Gini coefficient, 2022, OECD: latest available)	0.400	(0.315)	Education outcomes (PISA 2022 score)		
Relative poverty rate (% , 2022)	15.0	(11.5)	Reading	415	(476)
Median disposable household income (thousand USD PPP, 2022)	8.6	(30.5)	Mathematics	395	(472)
Public and private spending (% of GDP)			Science	410	(485)
Health care	5.9	(9.3)	Share of women in parliament (%)	50.2	(33.3)
Pensions (2023, OECD: 2021)	5.3	(9.9)			
Education (total spending, 2020)	4.5	(5.1)			

Note: The year is indicated in parenthesis if it deviates from the year in the main title of this table. Where the OECD aggregate is not provided in the source database, a simple OECD average of latest available data is calculated where data exist for at least 80% of member countries

1. OECD aggregate refers to weighted average.

Source: Calculations based on data extracted from databases of the following organisations: OECD, International Energy Agency, International Labour Organisation, International Monetary Fund, United Nations, World Bank.

Executive summary

Key messages

Mexico's economy remains stable despite heightened uncertainty and trade barriers. Yet growth remains modest and two decades of sluggish economic and productivity growth highlight the need for reforms.

- Following the sharp increase in the deficit in 2024, Mexico needs steady and gradual fiscal consolidation to ensure sustainability and rebuild fiscal buffers, relying on higher revenues and better targeted spending. A medium-term fiscal framework would support multi-year planning, reduce procyclicality and help safeguard fiscal space for key investments in education, digitalisation, green transition and security. Strengthening governance and independent institutions is essential to boost growth and productivity.
- Building skills is key to reducing labour informality, given the strong link between low education and informal work. Expanding childcare and eldercare provision would reduce barriers that push many women into informal jobs or out of the labour force.
- Mexico is highly vulnerable to climate change but is also reengaging with global efforts to reduce greenhouse gas emissions, which will require unlocking its considerable renewable energy potential. A comprehensive national adaptation plan would strengthen preparedness, while better information on water availability and usage would help ensure reliable and sustainable access for households and firms.
- The digital transformation presents major opportunities to boost productivity and employment and is a central pillar of *Plan México*, the government's agenda to stimulate investment. To realise its potential, Mexico needs to ensure strong pro-competitive regulations in the telecommunication sector, guarantee regulator's independence and advance digital government to expand coverage, foster innovation and improve service delivery.

The economy remains stable, yet revitalizing growth is a priority

Mexico's economy has demonstrated resilience despite elevated uncertainty and trade barriers. Fiscal consolidation is advancing after the sharp rise in the deficit in 2024, an electoral year. Inflation has eased but remains above the 3% target. After two decades of modest growth, structural reforms are needed to boost productivity and unlock stronger economic growth.

The Mexican economy has been significantly affected by heightened global uncertainty. Private consumption and non-automotive exports have supported activity. Sound public debt management, a well-capitalised and liquid financial system, and low private sector indebtedness continue to underpin economic stability.

Mexico is particularly exposed to trade restrictions. Over 80% of its exports go to the United States and supply chain integration is deep. The increase in the tariff rate on exports to the United States has started to impact exports, particularly in the automotive sector, though the full impact is expected to unfold only over the medium-term. Preferential treatment for exports compliant with the United States–Mexico–Canada Agreement (USMCA) framework has helped sustain Mexico's trade competitiveness. Expanding compliance with rules of origin, for example through e-certification tools, would further ease the adjustment to higher tariffs.

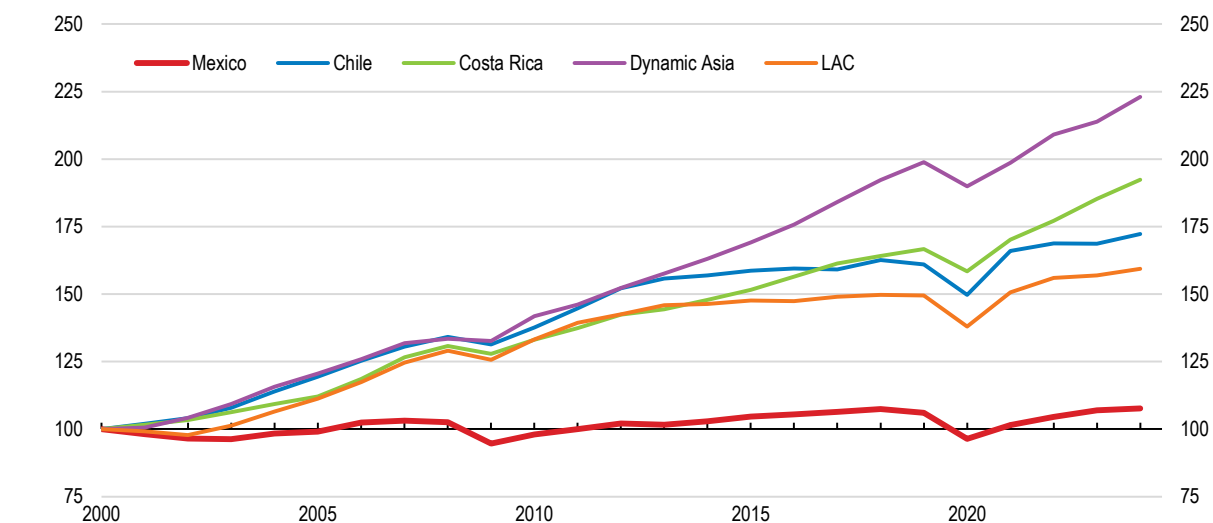
Revitalizing growth remains a key priority. Multidimensional poverty has fallen, with the share of people living in poverty declining from 36% in 2022 to 30% in 2024. Following two decades of

relatively weak performance and stagnant productivity, boosting growth is an urgent challenge (Figure 1). To this end, the government has launched *Plan México* to revitalise investment by streamlining regulations, closing infrastructure gaps, and promoting local supply chains. Mexico needs also to increase public spending in growth enhancing areas, strengthen skills development, accelerate digitalization, strengthen governance, and expand women's labour force participation to boost potential growth. Unlocking the country's considerable renewable energy potential could further attract investment while supporting climate change mitigation.

Improving governance is essential to boost growth and productivity. Strengthening the rule of law, the *de facto* independence of institutions and judicial effectiveness would enhance contract enforcement and investor confidence. Preserving a stable and predictable regulatory framework is equally important to provide clarity for long-term investment decisions. Further reducing crime would also boost investment and improve citizens' well-being.

Figure 1. GDP per capita growth has remained subdued over the past two decades

Index of real PPP-adjusted GDP per capita, 2000 = 100



Source: World Bank World Development Indicators (WDI) (database)

StatLink  <https://stat.link/4ahzco>

Growth is set to remain modest amid elevated risks

GDP growth is projected at 1.4% in 2026 and 1.7% in 2027, supported by private consumption and external demand from the United States. Inflation is expected to gradually ease. Trade tensions and heightened global policy uncertainty remain significant risks to the outlook.

Private consumption will support growth. This will be aided by low unemployment and easing inflation. Private investment will gradually benefit from lower interest rates, though it will remain constrained by high domestic and global uncertainty. Public investment is set to stay subdued amid efforts to reduce the fiscal deficit. Export growth will be dampened by higher trade tariffs and high global uncertainty.

Inflation is expected to fall gradually (Table 1). After increasing in the first half of 2025, mainly driven by food prices, both headline and core inflation are projected to ease, as growth remains moderate. However, risks remain, particularly from food and services prices, which could slow the disinflation process. Further reductions in the policy rate should remain data dependant and take place once there is clear evidence that inflation is on a path back to the 3% target.

The financial sector has ample buffers. It has reacted in an orderly manner to the high uncertainty. It

maintains capitalisation, profitability and liquidity levels above most OECD countries. Private sector indebtedness remains contained. Safeguarding the financial system from criminal networks remains an ongoing priority. Mexico's financial authorities have established frameworks and procedures to address potential risks, and maintaining close coordination among financial regulators, the tax authority, law enforcement agencies, as well as with international partners, will help sustain these efforts.

Risks remain substantial. A sharper slowdown in the United States, Mexico's main trading partner, may weigh further on external demand and exports. Increased global risk aversion and exchange rate volatility could raise sovereign borrowing costs and trigger capital outflows. However, Mexico's strong external position, underpinned by moderate external debt, ample foreign exchange reserves and a sustainable current account balance, provides buffers to absorb shocks.

Table 1. Growth will remain moderate

Annual growth rates

	2024	2025	2026	2027
Gross domestic product (GDP)	1.4	0.7	1.4	1.7
Unemployment rate	2.7	2.6	2.7	2.7
Headline inflation index (average)	4.7	3.8	3.6	3.2
Government fiscal balance (% of GDP)	-5.0	-3.9	-3.6	-3.0
Public net debt (% of GDP)	52.4	53.6	53.0	52.7

Source: *OECD Economic Outlook* (database).

Higher revenues are needed to safeguard fiscal sustainability and boost productivity-enhancing spending

The fiscal deficit rose in 2024 to its highest level in 35 years. Fiscal consolidation is now underway and should advance, guided by a well-defined set of measures on both the spending and revenue sides. Rising expenditures on interest payments, non-contributory pensions and support for PEMEX have constrained fiscal space, limiting resources for key areas such as education, the digital and green transitions, and the fight against crime. Mobilizing additional revenues would help address priority spending needs and safeguard fiscal sustainability.

Fiscal consolidation is underway and should be maintained overtime. In 2024 the public sector deficit rose sharply (Figure 2), reaching its highest level in 35 years, driven by spending on flagship infrastructure projects, universal non-contributory pensions and additional support to PEMEX, the state-owned oil company. In 2025, the authorities initiated a consolidation process aimed at reducing the deficit to 3% of GDP by 2027. Consolidation efforts in 2025 relied mainly on expenditure restraint, while tax revenues increased only marginally.

Raising revenues and improving the quality of public spending are essential to safeguard fiscal sustainability and create space for productivity-enhancing investments. Public spending remains relatively low and key areas such as education and health already receive less funding than in OECD and regional peers. Expanding revenues and allocating that fiscal space to areas with limited economic returns, such as infrastructure projects with questionable cost-benefit profiles or PEMEX, would also be counterproductive. Establishing a medium-term fiscal framework can improve strategic planning and help reconciling spending needs with fiscal prudence.

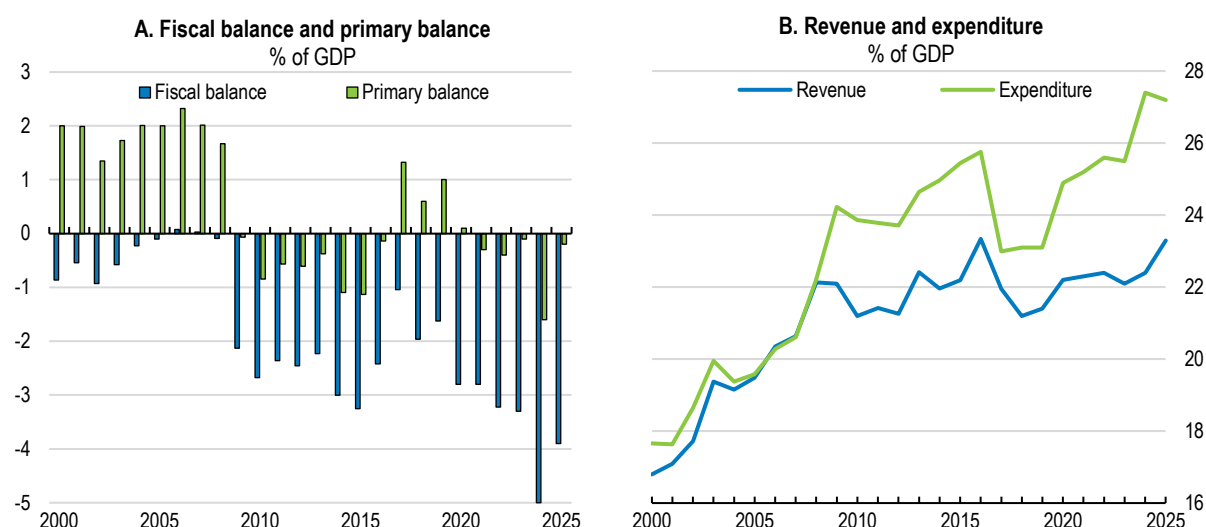
A more strategic approach to expenditure planning and prioritisation would boost growth while supporting fiscal consolidation. Basing infrastructure projects on rigorous technical evaluation, clear prioritisation, and strong accountability mechanisms would allow resources to be allocated more efficiently while reducing the risk of cost overruns. Stronger project appraisal systems and greater transparency across the investment cycle are essential to raise the quality of public

investment, build public trust, and ensure spending supports medium-term growth. Moving toward targeted non-contributory pensions would ensure that support reaches those most in need, while preserving public resources for future generations and other pressing priorities.

There is room to increase tax revenues. Mexico has the lowest tax-to-GDP ratio in the OECD. More effective use of existing taxes could help raise additional revenues without undermining growth. For instance, authorities are working to strengthen customs duties by addressing under-invoicing through robust enforcement and digital tracking systems. Modernizing the cadastral system would support higher collections from property taxes. Further gains could come from reducing tax expenditures, particularly in VAT, from broadening the carbon tax base, and from enhancing incentives for states to collect the vehicle ownership tax.

Upgrading Mexico's fiscal framework can help smooth economic fluctuations and provide countercyclical support during downturns. The Fiscal Responsibility Law, enacted in 2006, institutionalised the country's commitment to fiscal discipline and has been central to maintaining prudence. However, its current design favours short-term discretionary cuts to meet annual targets, making fiscal policy highly procyclical. Upgrading Mexico's fiscal framework is urgent to strengthen credibility and create space for priority spending. A genuine medium-term framework would reduce procyclicality and facilitate that new revenues are channelled into areas with highest economic and social returns. Introducing a debt anchor and a better-designed expenditure rule would safeguard sustainability.

Figure 2. The public sector deficit increased sharply in 2024



Source: OECD Economic Outlook (database).

StatLink  <https://stat.link/os78ri>

Building up skills and facilitating women employment would reduce informality

Labour informality has no single cause. Therefore, tackling it requires a comprehensive policy strategy. As informality is strongly linked to low levels of education, enhancing skills should be a key element of that strategy. Ensuring that more students complete at least secondary education, improving the quality of education and aligning tertiary and vocational programs with labour market needs are essential. Expanding childcare and eldercare provision would also reduce barriers that push many women into informal jobs or out of the labour force.

Informality is closely linked to low educational attainment (Figure 3). Many young people leave school before finishing secondary education and end in informal jobs with limited training opportunities. PISA results show that many students leave secondary school without mastering basic competencies, also limiting their ability to transition into formal jobs. This creates a vicious cycle in which low skills lead to low productivity and low-paid informal work, with little chance to upgrade skills and transition to better jobs.

Ensuring that more students complete secondary education is a critical priority. This requires better data to identify students at risk of dropping out. Annual national diagnostic tests would help track learning outcomes, detect early signs of academic lag and guide tutoring support to students most in need. They would also help identify subject areas where teacher training should be prioritised. Strengthening professional orientation across all education levels would improve students' education choices and outcomes.

Better aligning educational programmes with labour market demand is another crucial priority. Nearly 30% of university graduates are employed informally, while businesses face significant talent shortages. Strengthening the link between education and labour market needs would ease skills gaps and expand access to higher-productivity, formal employment. Dual vocational education, though still limited, has delivered positive outcomes and should be scaled up.

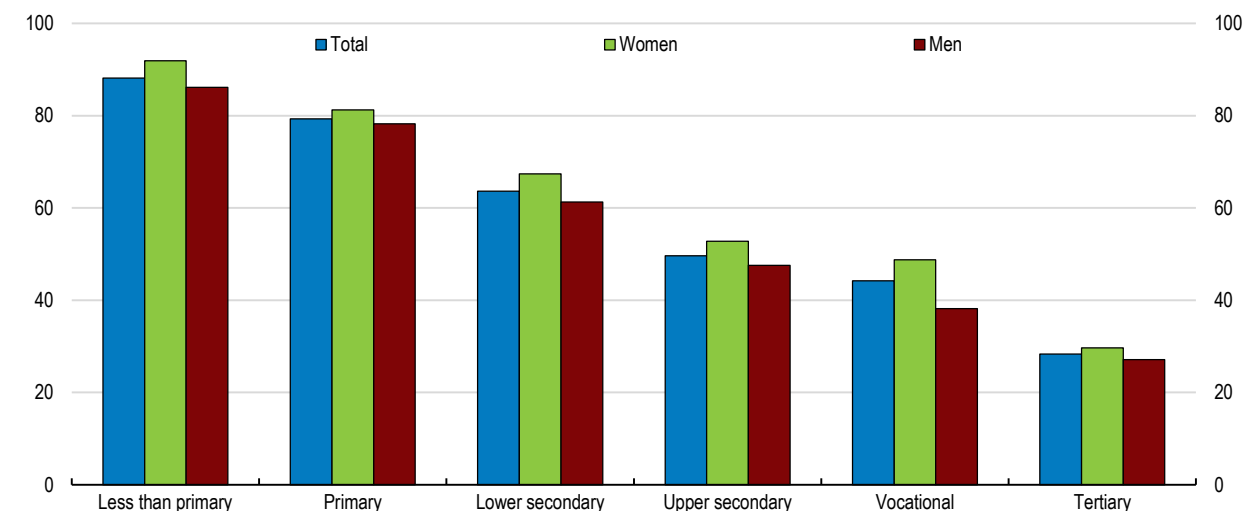
Efforts to increase access to affordable childcare are underway and should be given greater priority. Care responsibilities fall disproportionately on women, often preventing them from taking up jobs or pursue education. The childcare network should prioritise low-income families and cover both formal and informal workers. Robust quality standards will be key to ensure positive outcomes for both child development and women's access to formal work. Strengthening eldercare would also support female formal employment.

The structure of the school day creates an additional barrier to formal employment for mothers. Public primary schools often operate in shifts, providing only four to five hours of instruction. In the absence of after-school provision, many

mothers are unable to take up or remain in full-time formal jobs or must rely on extended family for childcare. Scaling up full-time schedule programmes would advance both women's access to formal employment and education outcomes.

Figure 3. Workers with lower education are more likely to end up in informal employment

Informality rate by education level, % of workers, 2025-Q3



Source: OECD calculations based on INEGI.

StatLink  <https://stat.link/iw3xdj>

Mexico is raising its climate ambition

Mexico is taking decisive steps to reinvigorate its climate ambition and reengage with global efforts to reduce greenhouse gas emissions. Meeting climate targets will require unlocking its considerable renewable energy potential. Given Mexico's high vulnerability to climate change, stronger adaptation measures are also needed. More accurate, consistent, and timely information on water availability and usage would help to improve water management and ensure reliable access for households and firms.

Mexico has recently pledged to achieve net-zero greenhouse gas emissions by 2050. These renewed commitments are a significant policy shift from the previous administration and provide a clearer roadmap for government agencies and the private sector, strengthen policy predictability and improve investment incentives, helping both to reduce emissions and to boost growth prospects.

The country has set a target of providing 38.5% of electricity supply through clean sources by 2030. This comes after a recent decline in the share of clean energy in electricity generation, despite the country's abundant renewable energy resources (Figure 4). Achieving this target will require a substantial increase in private investment, supported by a regulatory environment that provides

clarity, stability, and long-term confidence. Modernising and expanding the electricity transmission network, that suffers from grid congestion, is also essential to integrate new clean energy projects and meet rising electricity demand.

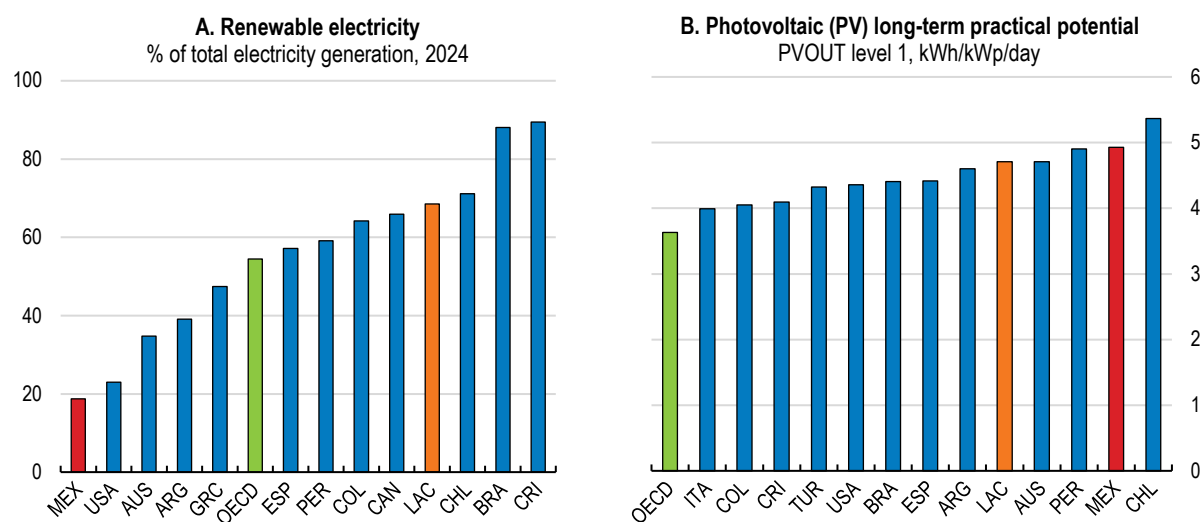
Mexico is particularly vulnerable climate change due to its geographic location, ecological diversity and socioeconomic conditions. Establishing a comprehensive and formal national adaptation plan would help consolidate and update current climate efforts, assess vulnerabilities and integrate adaptation more forcefully into policies. It would provide a clearer basis for quantifying investment needs and also help to coordinate actions across levels of government. This is particularly important in

Mexico, where adaptation responsibilities are shared among federal, state, and municipal levels. Many municipalities lack the technical and financial capacity to fully integrate climate resilience into their planning. Providing them with targeted technical assistance would strengthen local implementation and help reduce regional disparities.

Mexico faces growing water stress. This is driven by a combination of rising temperatures, shifting rainfall

patterns, increasing demand from population growth and high distribution losses. Effective water management depends on accurate, consistent, and timely information on availability, usage, and quality, yet monitoring capacity has weakened due to budget constraints. Around 46% of water is lost through leakages caused by aging infrastructure, outdated technologies and insufficient maintenance.

Figure 4. Despite high potential, the share of electricity generated from renewables is low



Source: OECD Green Growth (database); and World Bank Global Atlas Solar (database).

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Boosting digitalization would boost productivity

Mexico's digital transformation presents major opportunities to boost productivity and employment. The new Agency for Digital Transformation and Telecommunications can help accelerate reforms to boost digitalisation. To fully realise the benefits of digitalisation, Mexico needs to address persistent challenges, including high concentration in the mobile telecommunications market, low digital adoption among firms, particularly SMEs, cybersecurity vulnerabilities, and limited digital skills.

Sound telecommunication regulation is essential to close connectivity gaps and ensure reliable nationwide infrastructure. High spectrum fees contribute to a high market concentration in Mexico's mobile telecommunications sector. Reducing spectrum costs can enhance competition, encourage investment and extend coverage. Ensuring a strong pro-competition framework remains critical to advance digitalization. A recent constitutional reform removed the formal independence of the telecommunications sector regulator. Guaranteeing its full autonomy would boost investor confidence and foster innovation.

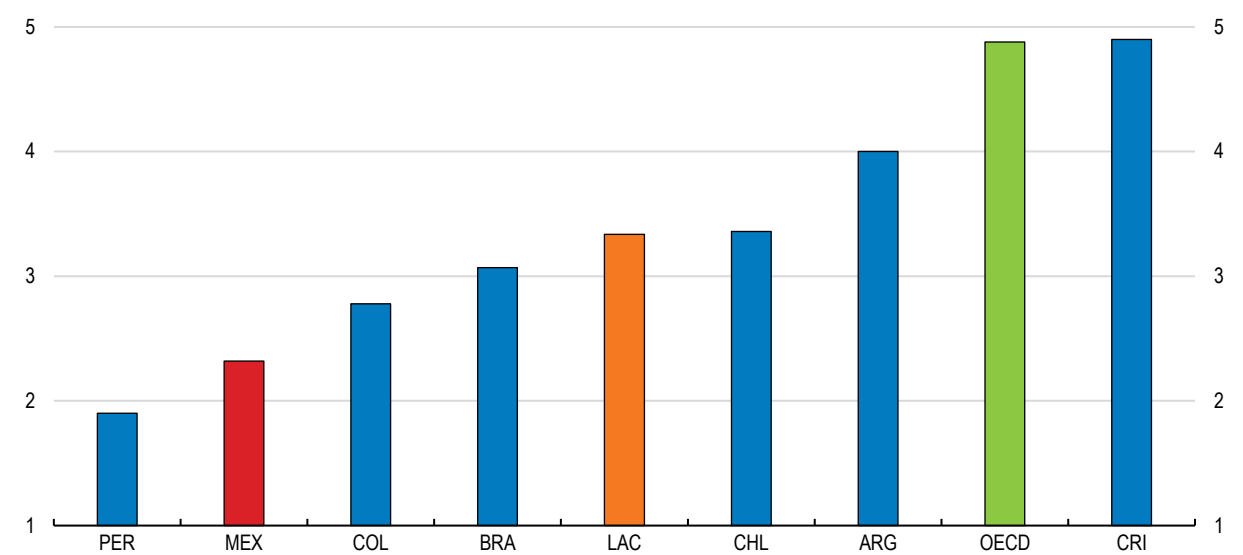
An enhanced digital government can streamline public service delivery while reducing bureaucratic costs, delays and corruption. The creation of the Agency for Digital Transformation and Telecommunications in 2025 provides a strong foundation for advancing digital government. Priorities include simplifying procedures across all levels of government and digitalising 80% of the most frequently used services. Achieving these goals will require strong efforts at the local level, adequate human and financial resources, enhanced capacity among local government staff, as well as intergovernmental cooperation and support.

Limited digital skills remain a major barrier to faster digital adoption (Figure 5). Equipping more Mexicans with basic digital skills would support lifelong learning and adaptability in a changing labour market. Expanding the pool of professionals with advanced digital skills would enable more firms to adopt digital tools. Strengthening digital competencies within the public sector would also facilitate the development of more effective digital government services.

Firms lag in adopting advanced digital technologies, including artificial intelligence (AI). Adoption is especially challenging for SMEs. Support programmes should be scaled up and made more comprehensive, offering funding for digital investments as well as technical assistance and training support. Developing a national AI strategy would provide a long-term vision and concrete actions for the development, use, and governance of AI.

Figure 5. Digital skills among adults are weak

Digital skills among active population, from 1 ("not at all") to 7 ("to a great extent"), 2023



Source: IDB (2023), *Informe anual del Índice de Desarrollo de la Banda Ancha: brecha digital en América Latina y el Caribe*.

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MAIN FINDINGS	KEY RECOMMENDATIONS
Securing macroeconomic stability and fostering growth	
Inflation has eased but remains close to 4%. The Central Bank has reduced the policy rate by 425 points, but the monetary stance has remained restrictive until November. Economic growth remains moderate, and existing slack limits demand pressures.	Continue a gradual, prudent and data-dependent reduction in the policy rate.
The public sector deficit significantly increased in 2024, to 5%, the highest in 35 years. The deficit decreased to 3.9% in 2025 and, according to the 2026 budget, is expected to fall to 3.6% in 2026 and to 3% in 2027. The measures underpinning this additional consolidation have not yet been defined. Debt servicing costs will increase to 4.1% of GDP in 2026.	Further reduce the fiscal deficit in a steady and gradual manner, anchored in well-defined and credible measures, including raising more revenues and improving the targeting and quality of spending.
Public spending is relatively low. Rising public spending on debt interest spending, PEMEX, and non-contributory pensions have reduced the fiscal space available for priority spending such as education, health, digitalization and the green transition. Mexico has the lowest tax-to-GDP ratio of the OECD. The absence of a medium-term fiscal framework limits strategic planning and hampers reconciling spending needs with fiscal prudence.	Anchor fiscal policy in a medium-term framework that creates room for priority spending, while financing it through stronger and more efficient revenues, prioritizing tax areas with the biggest revenue raising potential, such as property taxes and improved custom administration.

A deep judicial reform is underway. A judiciary perceived as partial can deter investment, particularly by domestic firms. Despite formal eligibility requirements, many of the newly elected judges lack significant prior judicial experience, which can slow judicial processes.	Strengthen eligibility criteria for future judicial elections to secure greater professional experience and expertise among incoming judges.
A recent constitutional reform in Mexico removes the formal independence of the competition authority and sector regulators by placing them under line ministries	Ensure the de facto independence of the competition authority and sector regulators by decoupling board members' mandates from the political cycle, strengthening technical requirements for appointments and ensuring adequate budgets.
Crime remains a key concern for firms and citizens and reduces significantly growth. A new national security strategy has strengthened intelligence and coordination and contributed to a decline in homicides. Intelligence and investigative capacities remain uneven across states.	Further reinforce intelligence capacities across federal and state levels by scaling up financial, technological, and human resources.
Reducing informality	
55% of employment in Mexico is informal, among the highest in the OECD and Latin America. Informality is especially prevalent among youth and adults with low education.	Adopt a comprehensive strategy to reduce informality, including by improving learning outcomes in schools and expanding upskilling training for workers.
The shortage of affordable childcare forces many women into informal work or out of the labour force as the only option to combine work and care.	Establish a publicly funded federal network of early education and care, giving priority to low-income households and covering both formal and informal workers.
Promoting decarbonization and adapting to climate change	
The electricity sector is one the largest sources of greenhouse gas emissions. The share of electricity generated from clean energy sources has fallen due to regulatory changes that have discouraged private investment. The administration has recently set an ambitious target for clean energy sources to account for 38.5% of electricity generation by 2030. Achieving this target will require significant private sector investment.	Establish clear, transparent, and predictable procedures for granting renewables generation permits and for conducting reviews and handle appeals.
The carbon tax applies to a limited set of fossil fuels and at relatively low rates, with key sectors such as natural gas and gasoline exempt.	Broaden the carbon tax to cover all fossil fuels, raise rates in line with carbon content, and use part of the revenues to support vulnerable households.
Mexico is highly exposed to climate-related hazards such as droughts, hurricanes, floods, and heatwaves. Although preparatory work is starting, Mexico has not formally developed a national adaptation plan.	Establish a comprehensive and formal National Adaptation Plan, identifying adaptation needs and priorities.
Water data is fragmented and often outdated, hampering the monitoring of overuse, illegal extraction and water quality and hindering policy design.	Develop a robust national water information system based on accurate, up-to-date, and consistent data on water resources, usage and quality.
Boosting digitalization	
Mobile telecommunications markets are highly concentrated. Spectrum fees are among the highest in the OECD, hindering competition in the telecommunications sector and slowing the rollout of 5G networks, especially in rural and underserved areas. Access conditions to the preponderant operator's infrastructure have limited competition.	Enhance competition by lowering annual spectrum fees, linking spectrum costs to investment and coverage commitments in underserved areas, and ensuring that the preponderant operator does not impose excessive charges for the use of its infrastructure.
The digitalisation of public services risks excluding vulnerable groups, often the ones who need them most.	Adopt the principle of inclusivity in the design of digital public services and offer a multichannel approach that combines digital, in-person, and assisted services.
The Agency for Digital Transformation and Telecommunications (ADTT) oversees digital transformation and telecommunications policies but lacks sufficient staff and funding to meet its wide-ranging responsibilities.	Guarantee adequate resources for the ADTT and adopt a digital government agenda with clear priorities, planning, funding and measurable outcomes.
Mexico's digital transformation is hindered by a growing shortage of skilled talent.	Expand digital training opportunities for low-skilled adults via initiatives co-designed with employers and learning providers.
Mexico lacks a comprehensive strategy or robust governance for AI and advanced digital technologies.	Adopt a national AI strategy providing long-term vision and including concrete actions for the development, use, and governance of AI and other advanced technologies.



ESTADOS UNIDOS MEXICANOS

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1 Securing macroeconomic stability and fostering growth

Alberto Gonzalez Pandiella, OECD

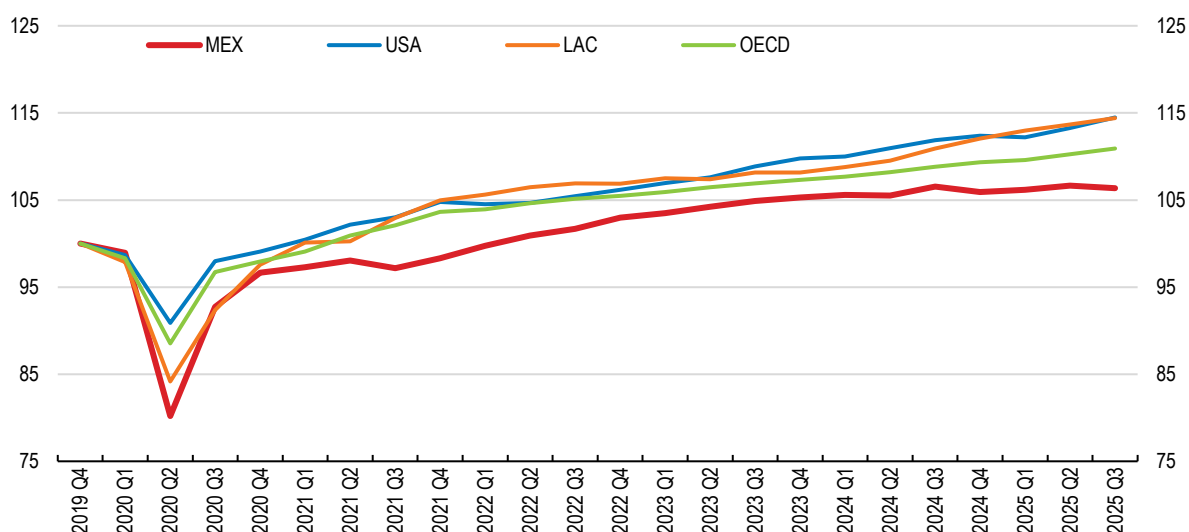
The Mexican economy has been significantly affected by heightened global uncertainty and changes in United States trade policies. Growth has moderated in 2025 with non-automotive exports and private consumption providing the main support. Safeguarding macroeconomic stability and reinvigorating growth, after two decades of relatively modest performance, are critical priorities. Reducing the fiscal deficit through credible measures on both the spending and revenue sides, embedded within a sound medium-term fiscal framework, would help preserve fiscal stability. Channelling additional tax revenues toward productivity-enhancing investments would strengthen growth prospects. Crime remains a major concern for firms and citizens, significantly weighing on economic activity. Further strengthening efforts to combat it is essential to foster investment and growth.

1.1. Growth and inflation have moderated

The Mexican economy has been significantly affected by heightened global uncertainty, particularly shifts in United States trade policies. Economic activity has softened (Figure 1.1), though it continues to be supported by private consumption and exports (Figure 1.2). Investment has weakened and the authorities have launched *Plan Mexico*, a medium-term agenda aimed at fostering it (Box 1.1). Strong macroeconomic fundamentals, including prudent public debt management, a flexible exchange rate, a well-capitalised and liquid financial system, low levels of private sector indebtedness and a credible and independent central bank, continue to support the economy. Fiscal consolidation is underway following a marked increase in the deficit in 2024. Inflation has eased substantially since the post-pandemic inflation episode, but remains close to the upper bound of the central bank's target range. Multidimensional poverty has fallen, with the share of people living in poverty declining from 42% in 2018 to 30% in 2024 (INEGI, 2025^[1]), reflecting increases in real wages and social transfers. Extreme poverty also decreased, from 7 % in 2018 to 4 % in 2024. Growth is projected to stay moderate in the coming years, extending a two-decade period of relatively weak performance (Figure 1.3) and underscoring the need to deepen and accelerate reforms to improve the quality of public spending, enhance education outcomes, reduce crime and advance digitalisation.

Figure 1.1. Growth remains weaker than in peer countries

Real GDP, index 2019-Q4 = 100, s.a.



Note: LAC is a simple average of Chile, Colombia, Costa Rica, Argentina, Brazil, and Peru.

Source: OECD Economic Outlook (database).

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Box 1.1. Plan México: a strategy to boost investment

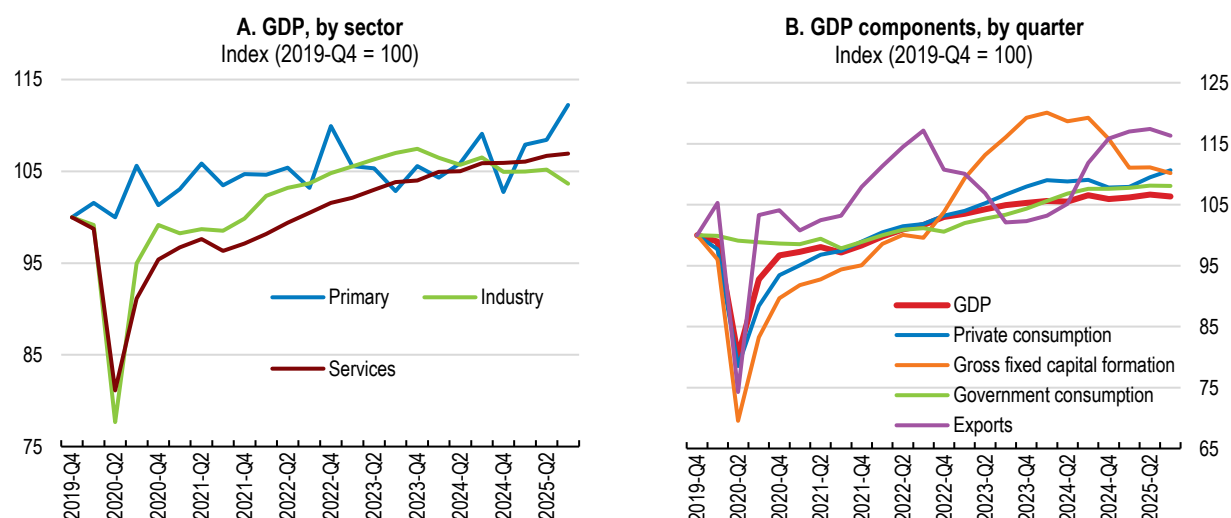
Announced in 2024, Plan México sets out an ambitious agenda to revitalise growth, boost private investment, and enhance the country's productive capacity. The plan is built around three main pillars:

Facilitating private investment by streamlining and digitalizing administrative procedures, simplifying business licensing, and expanding access to finance, particularly for small and medium-sized enterprises.

Closing infrastructure gaps through large-scale investments in energy, water, transport, and digital connectivity, aimed at improving logistics efficiency, ensuring reliable utilities, and supporting regional development.

Increasing domestic value added in strategic sectors, such as transport equipment, textiles, and pharmaceuticals, by promoting local supply chains, innovation, and technology adoption.

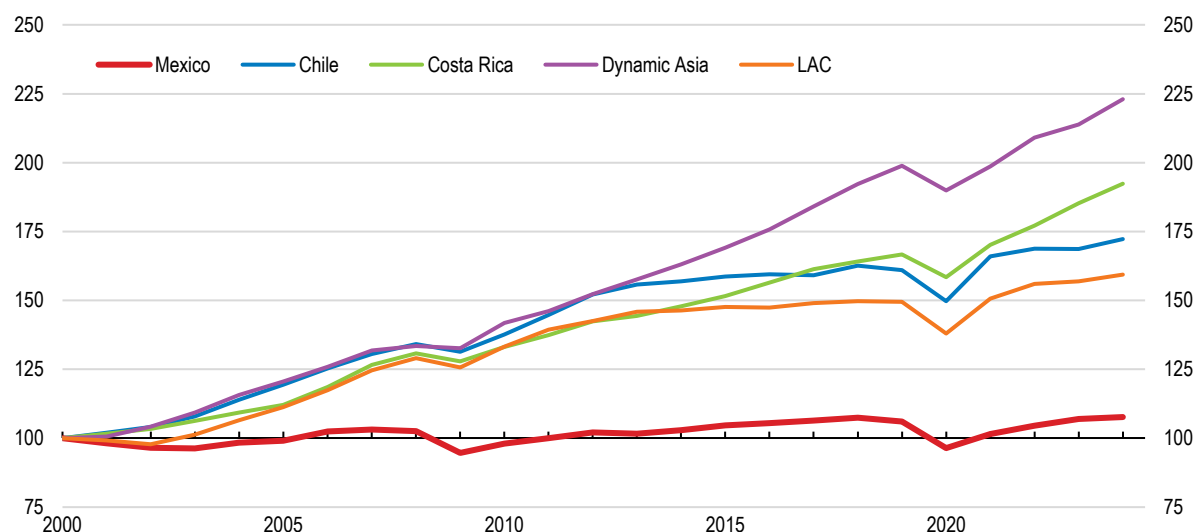
Figure 1.2. Consumption and exports supported growth



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Figure 1.3. Sluggish GDP per capita growth over the past two decades constrains living standards

Index of real PPP-adjusted GDP per capita, 2000 = 100



Note: LAC is a simple average of Chile, Colombia, Costa Rica, Argentina, Brazil, and Peru. Dynamic Asia includes India, Indonesia, Malaysia, Philippines, Thailand, and Viet Nam.

Source: World Bank World Development Indicators (WDI) (database).

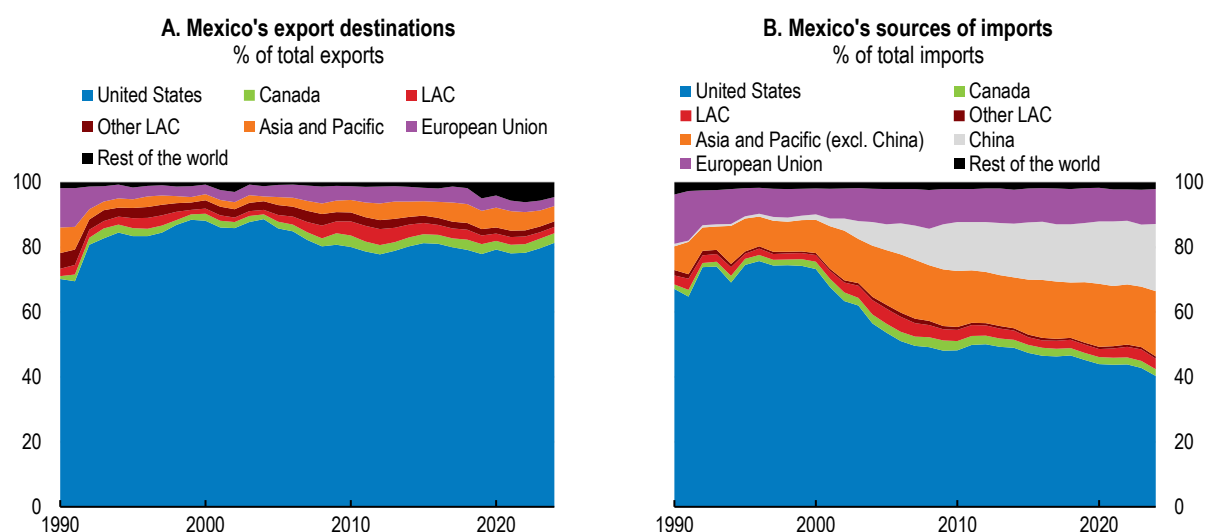
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1.1.1. Trade tariffs and uncertainty have started to weigh on some exports

As an open economy with strong trade links to the United States, its main trading partner, accounting for over 80% of Mexican exports (Figure 1.4), Mexico is particularly exposed to rising trade restrictions and broader global uncertainty. Recently imposed tariffs by the United States (Table 1.1) resulted in an increase in effective trade tariffs for Mexico (Figure 1.5). Given Mexico's deep integration with the United States supply chains, especially in sectors such as automotive manufacturing, these measures can have far-reaching implications. Automotive exports have weakened, while non-automotive manufacturing exports have proven resilient so far (Figure 1.6), supported by solid demand from the United States. Exports of computer equipment have been particularly strong, driven by robust growth in the ICT sector in the United States, increasing diversification in exports to the United States across sectors and states. However, the full impact of higher trade tariffs and persistent high uncertainty is expected to unfold over the medium term.

Recent increases in bilateral tariff rates mean that Mexican exports to the United States that do not make use of the United States–Mexico–Canada Agreement (USMCA) framework are now subject to additional general tariffs of up to 25% (Table 1.1). By contrast, trade conducted under the agreement continues to benefit from preferential treatment, as most goods traded within the USMCA framework remain exempt from tariffs. Currently, around 90% of exports to the United States make use of the USMCA, although there are significant differences across sectors (Figure 1.7). For instance, in 2024, nearly 100% of trucks, 80% of automobiles, and over half of auto parts exported from Mexico to the United States used the USMCA framework. Likewise, 100% of exports of certain fruits and vegetables, dairy products, and eggs benefited from the agreement (Banxico, 2025^[2]). In contrast, many high-tech goods, such as mobile phones, computers, and medical instruments, were exported without invoking USMCA preferences.

Figure 1.4. United States is Mexico's main trading partner



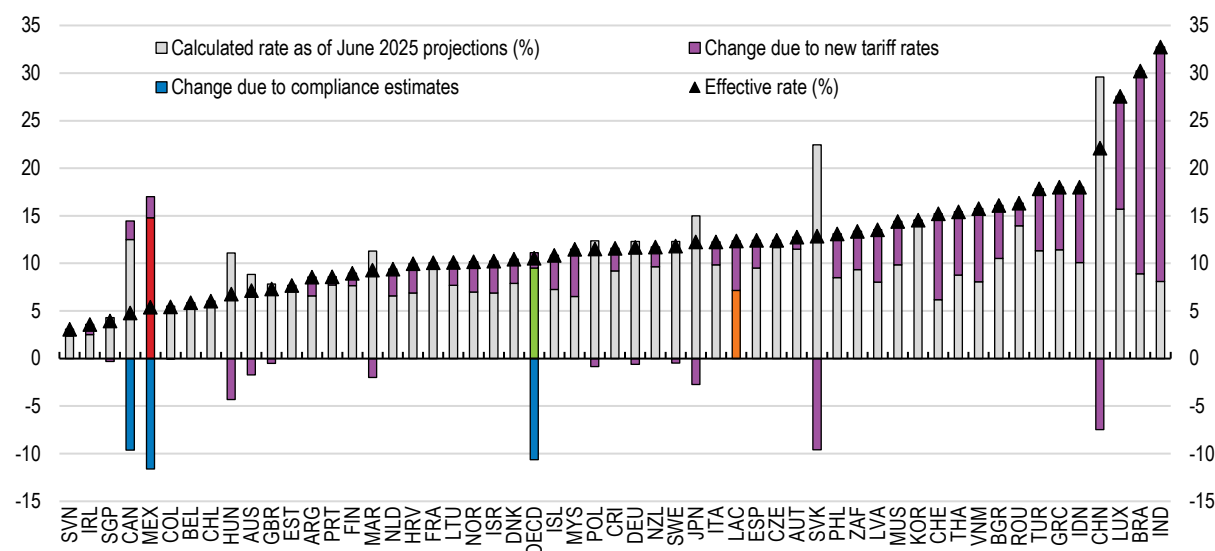
Note: LAC is a simple average of Argentina, Brazil, Chile, Colombia, Costa Rica, and Peru.

Source: UN Comtrade (database).

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Figure 1.5. The effective US tariff rate for Mexico has increased

% point change in effective US tariffs, considering product line tariffs and exemptions



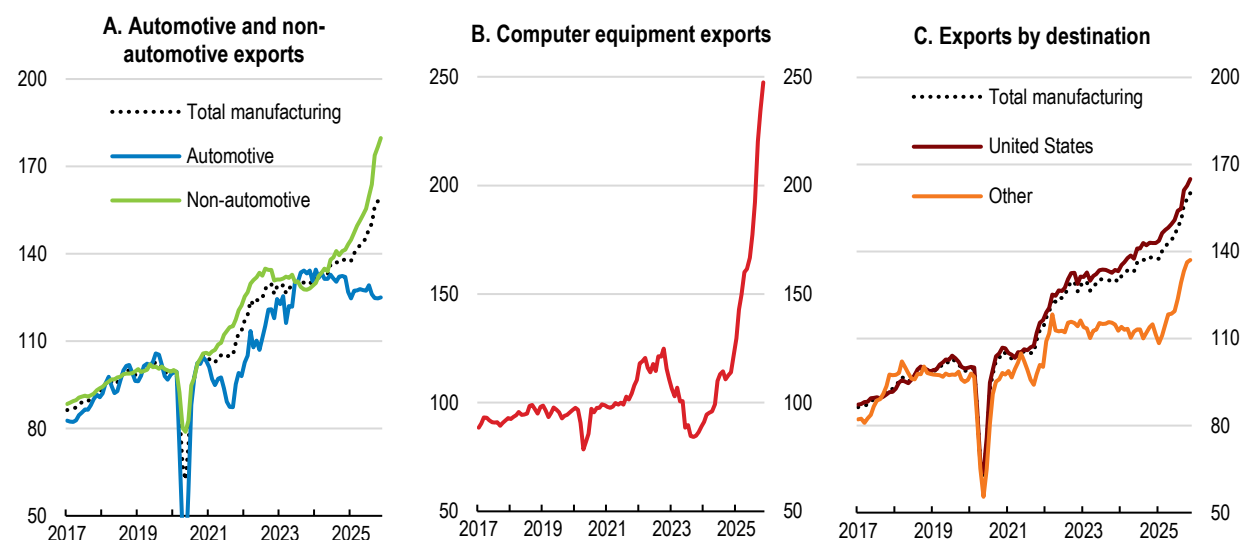
Note: Estimates based on trade policy announcements as of 14 November 2025 and calculated using weights based on product level data for US imports by country in 2024. These take account of country-specific tariff rates and sector-specific changes due to a 25% tariff rise for listed cars, parts, trucks and buses; a 50% tariff rise on steel, aluminium and copper products; and zero-rated general goods as well as those related to semiconductors. Europe, Japan and Korea face a maximum 15% tariff on cars and parts, and timber, and 0% tariffs are applied to civil aviation products, generic pharmaceuticals and certain natural resources). The United Kingdom faces a 25% tariff rise on steel and aluminium, 7.5% for British cars within the annual quota, 10% on timber products, and duty-free civil aviation products. China, Brazil and India face additional country-specific tariffs, with varying application across products. Data classifications are based on product-level lists published by the US administration. LAC is a simple average of Chile, Colombia, Costa Rica, Argentina, and Brazil.

Source: OECD (2025), *OECD Economic Outlook, Volume 2025 Issue 2: Resilient Growth but with Increasing Fragilities*.

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Figure 1.6. Non-automotive manufacturing exports have remained robust

Good exports, index (Jan 2020 = 100), s.a.



Note: Data shows 3-month centered moving averages. In Panel B, data refers to the Information and Communication Technology (ICT) goods trade category (HS codes 2017) as used by UNCTAD.

Source: Banxico.

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Table 1.1. Tariff measures on Mexican exports to United States

Product	Percentage		Date of entry into force
	Non-USMCA	USMCA	
Steel and aluminum	50%	50%	12 March 2025 with 25%, updated to 50% on 4 June 2025
General	25% *	0% **	4 March 2025 with 25%; increased to 30% announced for 1 October 2025 but suspended so far
Assembled vehicles (non-US content)	25%	0%	2 April 2025
Auto parts	25%	0% ***	3 May 2025
Trucks and trucks parts	25%	0% ***	1 November 2025
Copper	50%	50%	1 August 2025

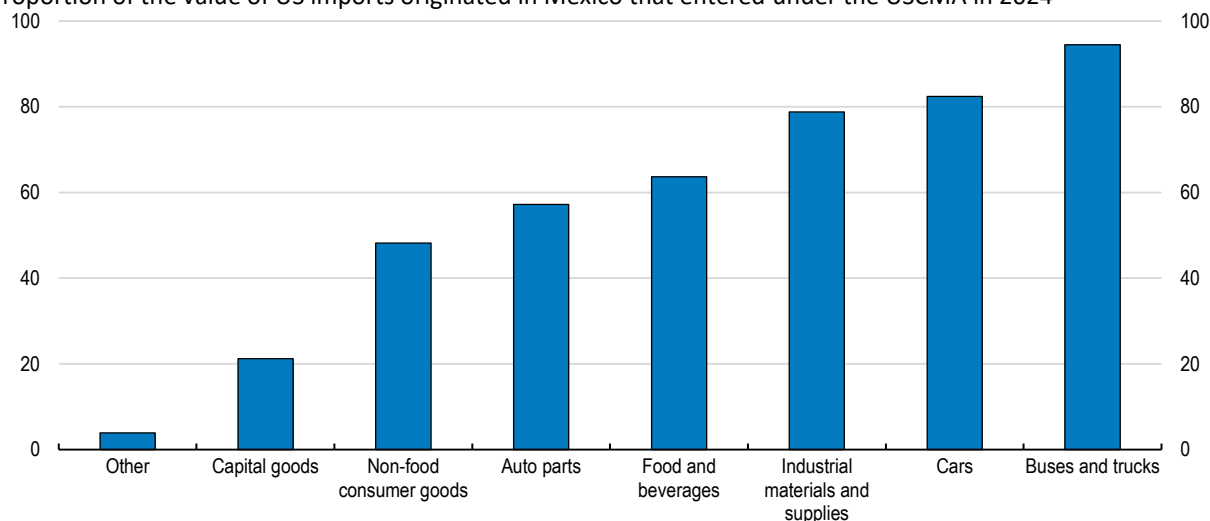
* It would fall to 12.5% if there is progress in the fight against fentanyl trafficking. ** 0% if 85% of USMCA content; 25% otherwise. *** It will be 25% on non-US content when duty-collection system is in place

Source: OECD.

Ensuring broad compliance with USMCA rules of origin is increasingly important, as it directly determines the extent of Mexico's tariff free access to the US market. Exporting under the USMCA provides tariff-free access to the United States market, but to qualify, firms must comply with strict rules of origin: typically, at least 50-60% regional content, and for automobiles up to 75%. These thresholds ensure that tariff-free access is reserved for goods truly produced within North America. Before the recent tariffs increases, many Mexican exports benefited from Most Favoured Nation rates of 0%. However, with the tariffs now in effect, and USMCA-covered goods remaining exempt, the opportunity cost of not using the agreement has increased. Indeed, compliance rates have recently increased significantly to close to 90% resulting in lower effective tariff rates for Mexico (Figure 1.8). Further improvements in compliance would reduce these rates even more. Survey data suggest that 58% of firms use USMCA preferences for all their exports, 25% for some products, and 17% do not use them (Banxico, 2025^[2]).

Figure 1.7. Use of USCMA preferences differs across sectors

Proportion of the value of US imports originated in Mexico that entered under the USCMA in 2024



Note: The classification of products corresponds to the end use of the goods.

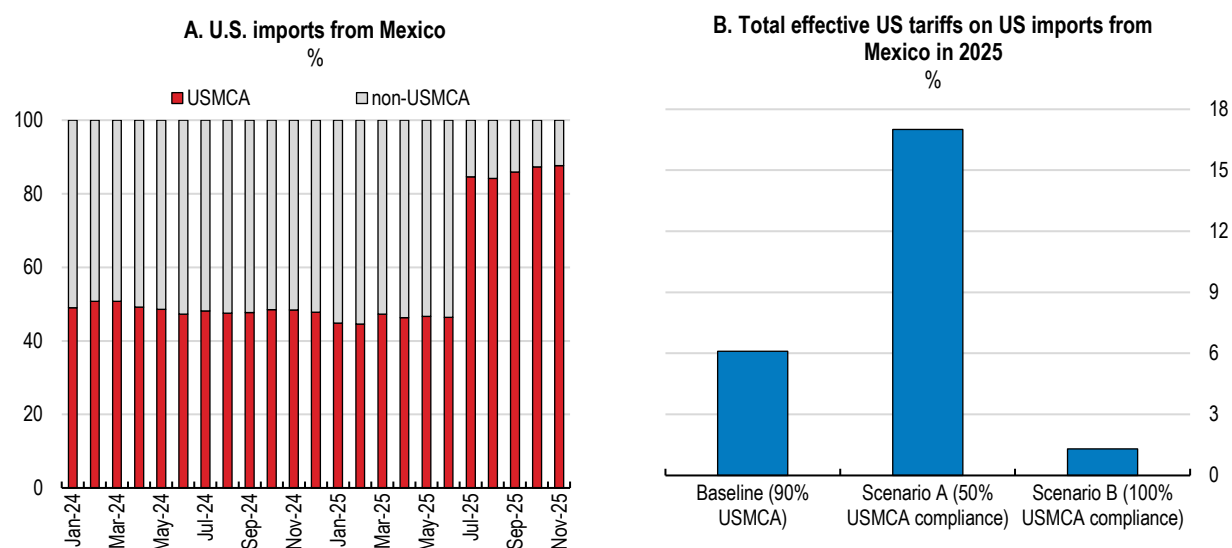
Source: Calculated by Banxico with data from the United States Department of Commerce.

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Facilitating compliance with USMCA rules of origin will require modernizing Mexico's certificate of origin system, which remains fragmented, primarily due to the absence of a standardised digital platform and the use of different formats across companies and sectors. The lack of a unified electronic system and of an official certificate means that exporters are responsible for producing and managing their own origin declarations. This increases administrative burden, as firms must maintain multiple supporting documents to substantiate origin claims, raising the risk of inconsistencies and complicating recordkeeping and compliance audits. Small

and medium-sized enterprises (SMEs), which often lack specialised staff and digital systems, face the greatest challenge in meeting origin requirements. Simplifying and digitalizing certification could significantly expand their use of USMA preferences.

Figure 1.8. Increasing the share of exports USMCA-compliant reduces the effective tariff rate



Note: Imports that are USMCA compliant usually qualify for duty-free treatment across North America. The baseline assumes that tariffs are those specified in table 1.1.

Source: Calculations based on OECD (2025) Interim Economic Outlook 118 September 2025; and US Census Bureau.

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In the short term, Mexico can support exporters by simplifying and digitalizing the certification process through user-friendly e-certification tools and faster customs clearance procedures. These improvements would reduce administrative burdens, lower transaction costs, and expand access to USMCA preferences for a broader base of firms, particularly SMEs. In the medium term, collaborating with the United States and Canada to develop a trilateral digital platform for traceability and validation of origin documents would streamline compliance, reduce fraud risk, and strengthen supply-chain integration across North America.

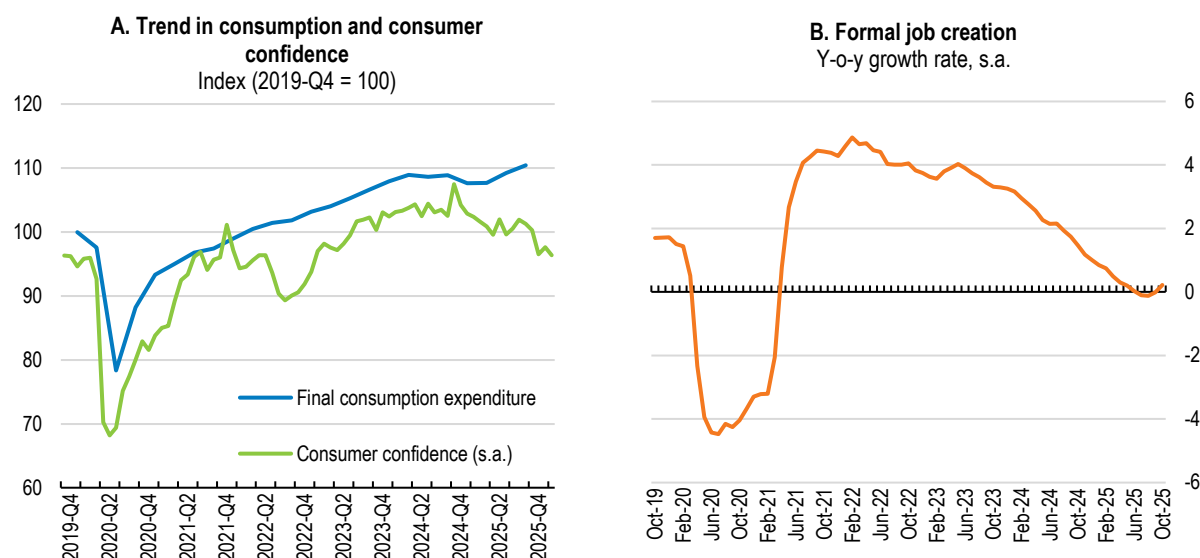
Potential tariff hikes by Mexico could raise costs and trade fragmentation. In January 2026, Mexico implemented tariffs ranging from 5% to 50% on imports from countries with which Mexico does not have a trade agreement, including China, South Korea, India, Indonesia, Thailand and Turkey. These measures could affect around 9% of Mexico's imports. While the tariffs may increase fiscal revenues, they risk creating distortions and adding to inflationary pressures. To limit these risks, Mexico should continue to engage in the global trading system to reduce policy uncertainty and avoid an escalation of trade barriers. Efforts to prevent further trade fragmentation should be accompanied by measures to strengthen supply chain resilience, including policies to encourage firms to diversify suppliers and export markets (OECD, 2025_[3]). Currently, Mexico has free trade agreements with 52 countries, covering around 60% of world's GDP. Fully leveraging these agreements and pursuing new ones with additional partners would help diversify trade relationships and strengthen economic resilience.

1.1.2. Consumption and investment have weakened

Private consumption has been a key driver of growth over the past four years, underpinned by a robust labour market. More recently, it has begun to moderate (Figure 1.9, panel A), reflecting a slowdown in consumer confidence and in the creation of formal jobs (Figure 1.9, panel B). Unemployment remains close to historically low levels, but labour force participation has recently declined (Figure 1.10), which can reflect discouragement effects from the slowdown in formal job creation and persistent barriers to female participation, such as

limited childcare provision (see Chapter 2). Labour informality continues to affect around 55% of total employment and has recently increased (see Chapter 2).

Figure 1.9. Consumption has moderated

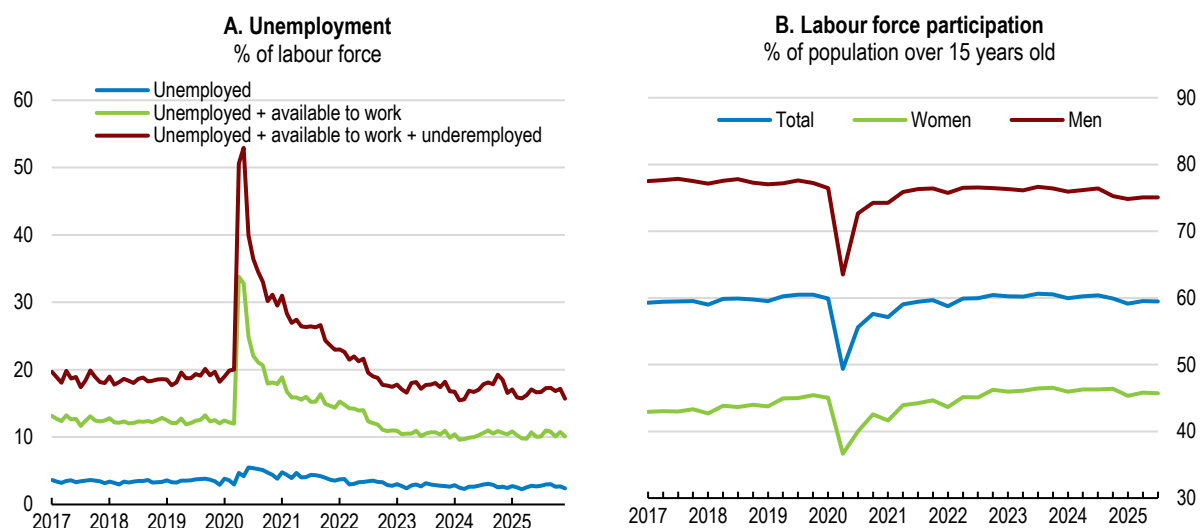


Note: In Panel A, data for final consumption expenditure refers to households and non-profit institutions serving households (NPISH) and is quarterly. Data for consumer confidence is monthly. In Panel B, formal job creation refers to the monthly number of jobs affiliated to the Mexican Social Security Institute.

Source: OECD Quarterly National Accounts (database); and Banxico.

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Figure 1.10. The standard unemployment rate is low but participation has edged down



Note: Panel A: the category "available to work" includes those not economically active (i.e. without job-search activities) but that would be available to work; the "underemployment" category refers to the share of economically active individuals aged 15 and over who have the ability and desire to work more hours than their current occupation permits.

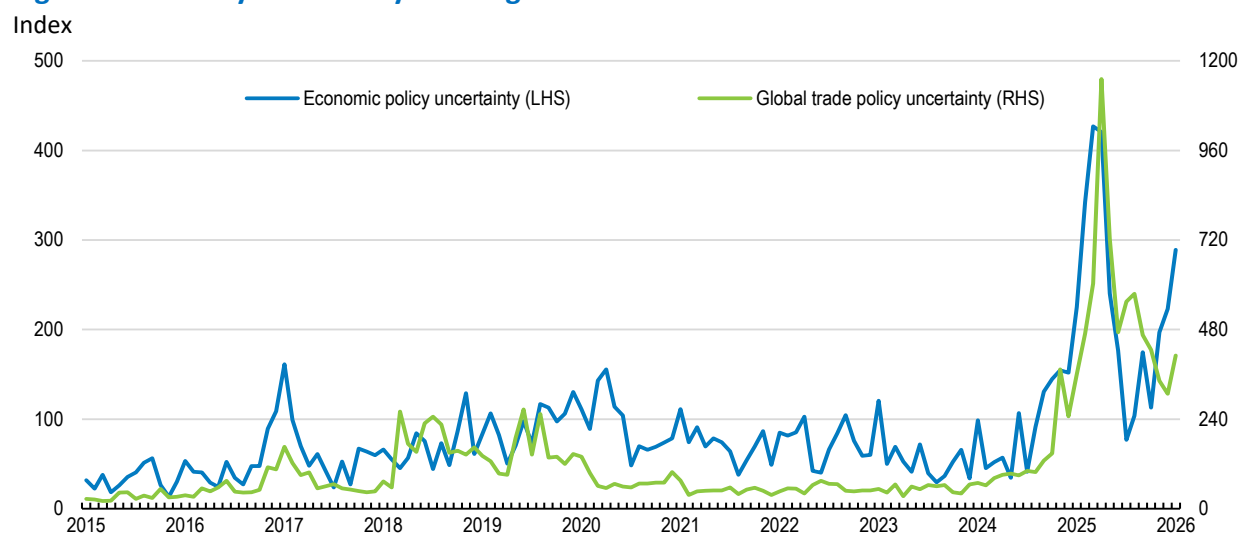
Source: INEGI.

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Policy uncertainty, which surged in the beginning of 2025 and has remained elevated since then (Figure 1.11), can particularly weigh on investment. Investment in machinery and equipment has weakened, constrained by the spike in uncertainty. Non-residential construction has slowed following the completion of major

infrastructure projects in the South, while residential construction remains subdued although it has recently trended up (Figure 1.12). In addition to changes in global trade, domestic developments have further contributed to the uncertain environment. These include a sweeping and unprecedented reform of the judiciary and a constitutional amendment in December 2024 that eliminated the formal independence of the competition authority and sectoral regulators (see section 1.5 in this chapter).

Figure 1.11. Policy uncertainty has surged



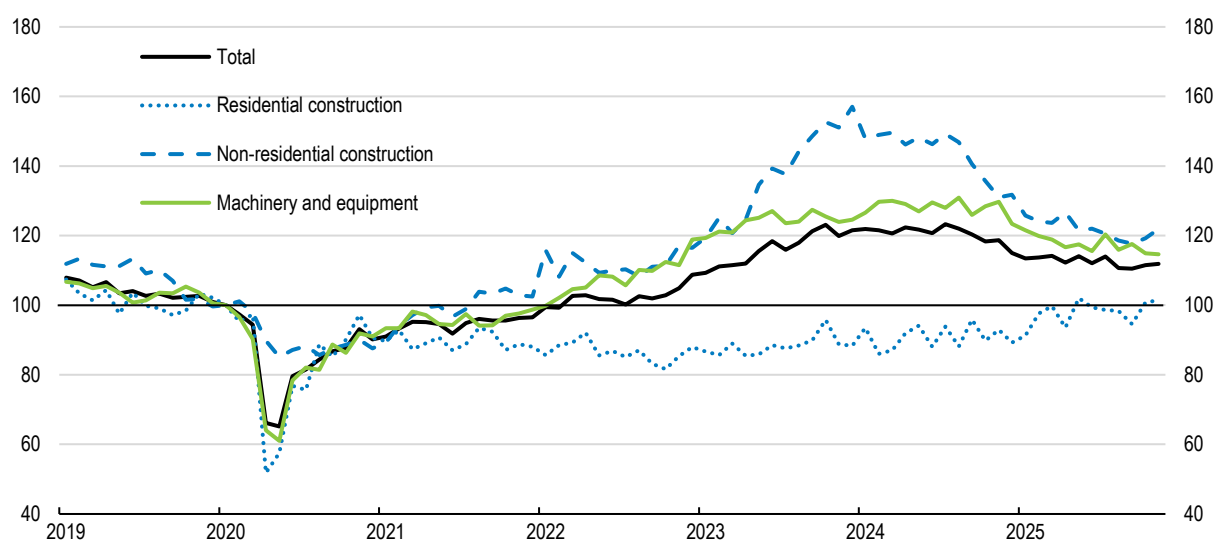
Note: The Economic Policy Uncertainty (EPU) index reflects the relative frequency of Mexico newspaper articles that contain a trio of terms pertaining to the economy (E), policy (P) and uncertainty (U). The Global Trade Policy Uncertainty (TPU) index is based on automated text searches of the electronic archives.

Source: *OECD Short-term Indicators* (database); and Caldara, Dario, Matteo Iacoviello, Patrick Molligo, Andrea Prestipino, and Andrea Raffo (2020), "The Economic Effects of Trade Policy Uncertainty," *Journal of Monetary Economics*, 109, pp.38-59.

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Figure 1.12. Investment has weakened

Total investment, index Jan-2020 = 100, s.a.



Source: INEGI.

StatLink  <https://stat.link/1j7yoo>

1.1.3. Growth will remain modest

GDP is projected to expand by 0.7% in 2025, before picking up by 1.4% in 2026 and by 1.7% in 2027 (Table 1.2). Private consumption will be supported by low unemployment and declining inflation. Private investment will gradually benefit from lower interest rates, though it will remain constrained by high domestic and global policy uncertainty. Public investment is set to stay subdued as part of efforts to reduce the fiscal deficit. Export growth will be dampened by United States trade tariffs and high global uncertainty. Both headline and core inflation will fall gradually.

Table 1.2. Macroeconomic indicators and projections

Annual percentage change, unless specified

	2019 Current prices (MXN billion)	2020	2021	2022	2023	2024	2025	2026	2027
Output (volume, 2018 prices)									
Gross domestic product (GDP)	25,121.8	-8.4	6.0	3.7	3.1	1.4	0.7	1.4	1.7
Private consumption	16,862.3	-9.8	8.4	4.8	4.2	2.6	1.2	2.9	2.4
Government consumption	2,790.5	-0.7	-0.5	2.0	2.4	3.7	1.0	0.2	0.4
Gross fixed capital formation	5,442.9	-17.2	10.5	7.5	13.9	3.5	-6.6	0.5	1.6
Stockbuilding ¹	127.3	-0.3	0.2	0.0	-0.2	0.1	0.0	0.0	0.0
Total domestic demand	25,223.0	-10.6	8.0	5.0	5.8	3.0	-0.4	2.2	2.0
Exports of goods and services	9,679.4	-7.0	7.1	9.5	-7.1	3.5	7.3	1.5	2.6
Imports of goods and services	9,780.5	-12.0	15.7	8.6	3.7	3.3	1.9	4.5	3.4
Net exports ¹	-101.2	2.1	-3.3	0.2	-4.7	-0.1	2.0	-1.4	-0.5
Memorandum items									
GDP deflator	..	4.6	4.5	6.7	4.7	3.7	4.8	3.4	3.0
Consumer price index (average)	..	3.4	5.7	7.9	5.5	4.7	3.8	3.6	3.2
Core consumer price index ² (average)	..	3.8	4.7	7.6	6.7	4.1	4.1	3.8	3.2
Potential growth	..	0.5	0.6	0.9	1.2	1.5	1.5	1.4	1.4
Output gap (% of GDP)	..	-10.1	-5.2	-2.6	-0.7	-0.9	-1.7	-1.7	-1.4
Unemployment rate ³ (% of labour force)	..	4.4	4.1	3.3	2.8	2.7	2.6	2.7	2.7
Current account balance (% of GDP)	..	2.4	-0.5	-1.5	-0.7	-0.7	-0.2	-0.4	-0.6
Government fiscal balance ⁴ (% of GDP)	..	-2.8	-2.8	-3.2	-3.3	-5.0	-3.9	-3.6	-3.0
Public net debt ⁵ (% of GDP)	..	49.9	48.9	47.5	46.6	52.4	53.6	53.0	52.7

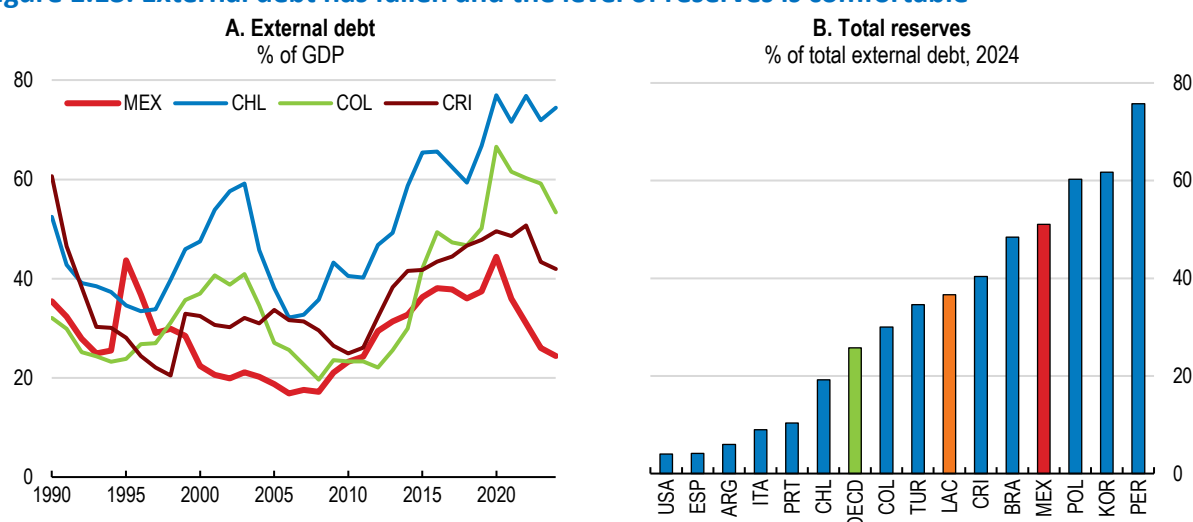
Note: 1. Contribution to changes in real GDP, actual amount in first column. 2. Consumer price index excluding volatile items: agricultural, energy and tariffs approved by various levels of government. 3. Based on national employment survey. 4. The fiscal balance shows the federal public balance. 5. Public debt refers to the net stock of public sector borrowing requirements.

Source: OECD Economic Outlook (database);

The outlook for both growth and inflation is subject to substantial risks. The baseline projections assume a deceleration in the US economy, but a sharper slowdown may weigh further on external demand and exports. Additional trade policy changes could raise policy uncertainty further with adverse impacts on investment and consumer confidence (OECD, 2025^[4]). Increased global risk aversion and exchange rate volatility could raise sovereign borrowing costs and could trigger capital outflows. However, Mexico's strong external position, supported by moderate external debt (Figure 1.13 panel A), ample foreign exchange reserves (Figure 1.13, panel B), a sustainable current account balance (Figure 1.14), and a well-capitalized financial sector (see financial markets section), provide important buffers to absorb these shocks. Additional events that could lead to major changes in the outlook include natural disasters and an escalation of drug related violence (Table 1.3). On the upside, a reduction in uncertainty, such as through a swift and successful renegotiation of the USMCA trade agreement with United States and Canada, could support investment and exports more than currently anticipated. Similarly, the higher United States tariffs on competitors such as Asian economies could accelerate production relocation to Mexico, boosting investment and exports beyond baseline projections.

Table 1.3. Low probability events that could lead to major changes in the outlook

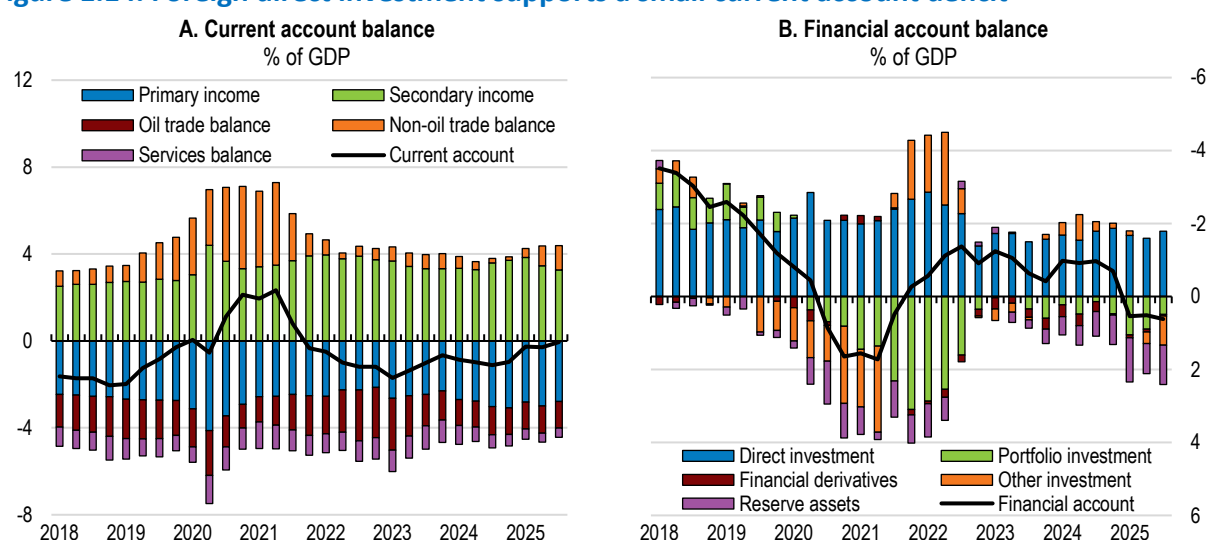
Shock	Possible impact	Policy response options
An escalation of drug related violence	Negative impacts on investment and tourism in some states. Potential growth could also be affected if it inhibits the relocation of manufacturing activities to Mexico.	Strengthen cooperation between Mexican military and reinforce intelligence capacities across federal and state levels as outlined in section 1.5.3.
Natural disasters (e.g., earthquake) and climate-change induced extreme weather events (hurricanes, droughts, floods)	A fall in agriculture production and other sectors. Infrastructure could also be damaged.	Stand ready to trigger financial support and promptly tackle infrastructure damages.
Large scale cyberattack	Disruption of business operations and shutdown of vital domestic infrastructure	Strengthen cybersecurity, as outlined in Chapter 4

Figure 1.13. External debt has fallen and the level of reserves is comfortable

Note: LAC is a simple average of Chile, Colombia, Costa Rica, Argentina, Brazil, and Peru.

Source: IMF World Economic Outlook, October 2025.

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Figure 1.14. Foreign direct investment supports a small current account deficit

Source: Banxico.

StatLink <https://stat.link/jy9n5q>

1.2. Monetary policy is easing

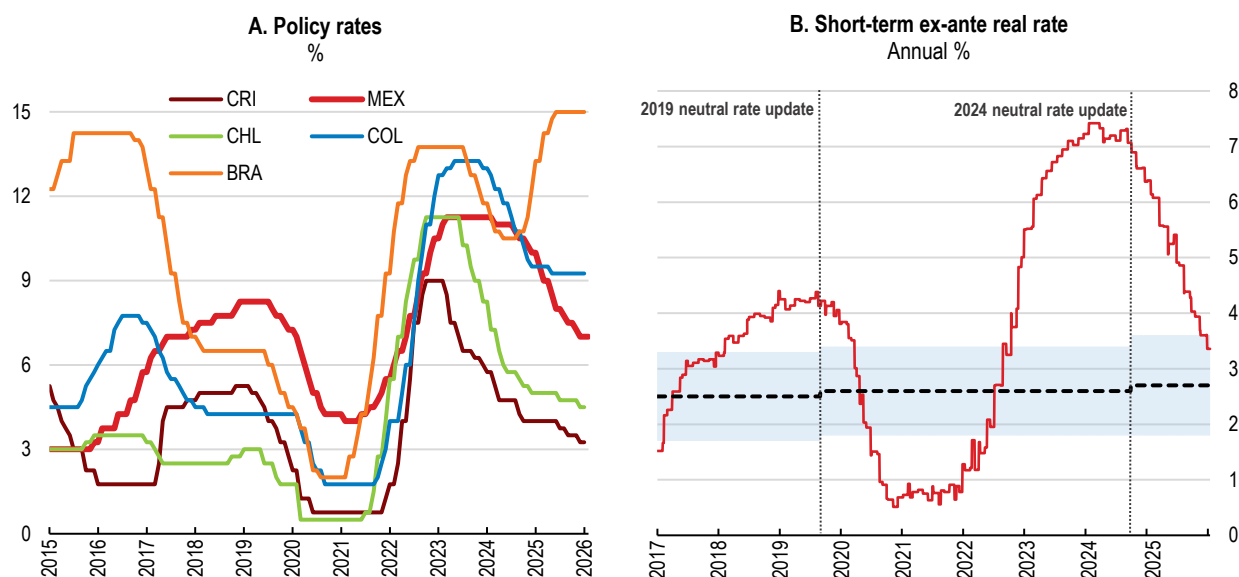
The Central Bank has gradually lowered the policy rate as inflationary pressures have eased. Since March 2024, it has reduced the rate by 425 basis points, from a peak of 11.25% to 7% (Figure 1.15, panel A). Despite this monetary easing, the policy stance remained restrictive up to November, with the real ex ante policy rate above estimates of the neutral rate (Figure 1.15, panel B and Table 1.4). Inflationary pressures increased in the first half of 2025 (Figure 1.16, panel A), largely reflecting higher food, agricultural and energy prices. Core inflation remains above 4%, the upper bound of the target rate. After displaying strong resistance, services inflation has gradually decelerated (Figure 1.16, panel B). One year ahead inflation expectations remain well above the 3% target, although two year ahead expectations are broadly anchored. As economic activity moderates, price pressures are expected to ease, but monetary policy should remain cautious. Recent tariff increases on imports from countries without trade agreements may generate additional price pressures, adding uncertainty to the disinflation path. Further reductions in the policy-rate should remain data-dependent and take place once there is clear evidence that inflation is on a path back to the 3% target. According to OECD projections headline inflation is expected to converge to the 3% target in the second half of 2027, with the policy rate reaching 6.50% by the end of 2026.

The appreciation of the Mexican peso against the U.S. dollar in 2025 (Figure 1.17) has eased inflationary pressures, although the currency has exhibited volatility around the dates of trade tariff announcements. Flexible exchange rates are particularly important for open economies like Mexico's, as they facilitate natural adjustments to economic shifts, support macroeconomic stability, and serve as a buffer against external shocks. They also play a key role in inflation control. By fostering a more rules-based policy environment, exchange rate flexibility enhances the country's attractiveness to foreign direct investment and strengthens overall competitiveness. In recent years, Mexico has limited its foreign exchange interventions to only a few episodes of extreme volatility. For instance, no intervention was carried out during the peso depreciation that followed the June 2024 presidential elections. This has allowed Mexico to adapt to shocks in an orderly manner, while reinforcing confidence in its macroeconomic policies and helping to preserve solid macroeconomic fundamentals.

Communication is a fundamental pillar of monetary policy, and Mexico's Central Bank has made progress in this area over the years (Banxico, 2023[4]). Since May 2022, the Bank has incorporated some elements of forward guidance into its policy statements, providing qualitative information on the likely direction of future monetary policy decisions. With inflation gradually receding but expectations still above target, further enhancements in communication would help to better anchor expectations. Options to further improve communication include providing additional information on how the Bank would respond if economic conditions deviated from current projections. This could be communicated through scenarios, which would emphasise that any announcement about the policy rate evolution does not represent a commitment but rather reflects the Bank's reaction to specific macroeconomic circumstances. By outlining how policy might respond under other circumstances, such as higher inflation, Mexico's central bank could reduce uncertainty, which would strengthen the anchoring of expectations, as economic agents gain a clearer sense of how policy is likely to evolve in different situations, thereby aligning their own expectations more closely with the Bank's target. Greater transparency and predictability in monetary policy can lead to better anchored inflation expectations, lower risk premia and market volatility, and more effective policy transmission. Using scenarios is not exempt from risks and challenges. Scenarios should be explicitly presented as illustrative, not binding, so the public understands that actual decisions will always depend on incoming data. Several OECD Central Banks have recently updated their communication strategies in this direction. For example, in 2020 the Central Bank of Chile upgraded its communication strategy by not only explaining the latest monetary policy decision but also publishing projected ranges for the policy rate in its Monetary Policy Report. These ranges include sensitivity scenarios, alternative to the central projection with a significant probability of occurrence, in which monetary policy could follow a different path. By linking these projections to its inflation and growth outlook, the Bank offers clearer guidance on the likely policy path, strengthening the anchoring of expectations. Norges Bank has been a pioneer in scenario-based monetary policy communication, having introduced in 2005 the

regular publication of interest rate projections accompanied by alternative scenarios that illustrate how policy might respond under varying economic conditions. Other OECD central banks, such as Sweden's Riksbank, the Czech National Bank, the Bank of England or the Reserve Bank of New Zealand, also have well-established experience using scenarios to strengthen the clarity and credibility of their communications.

Figure 1.15. The interest rate has fallen

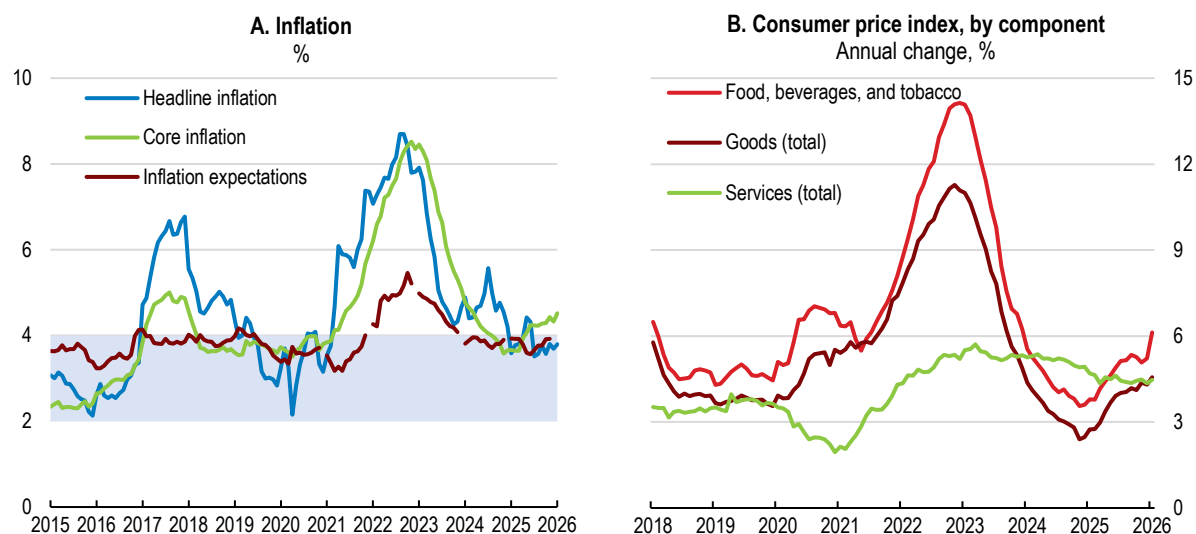


Note: In Panel B, the horizontal dotted line corresponds to the mid-point of the estimated range for the level of the long-term neutral rate in real terms. The short-term ex-ante real rate is calculated as the difference between the target for the overnight interbank interest rate and the average of the 12-month inflation expectations from the Survey of Expectations of Private Sector Economists.

Source: OECD Economic Outlook (database); and Banxico.

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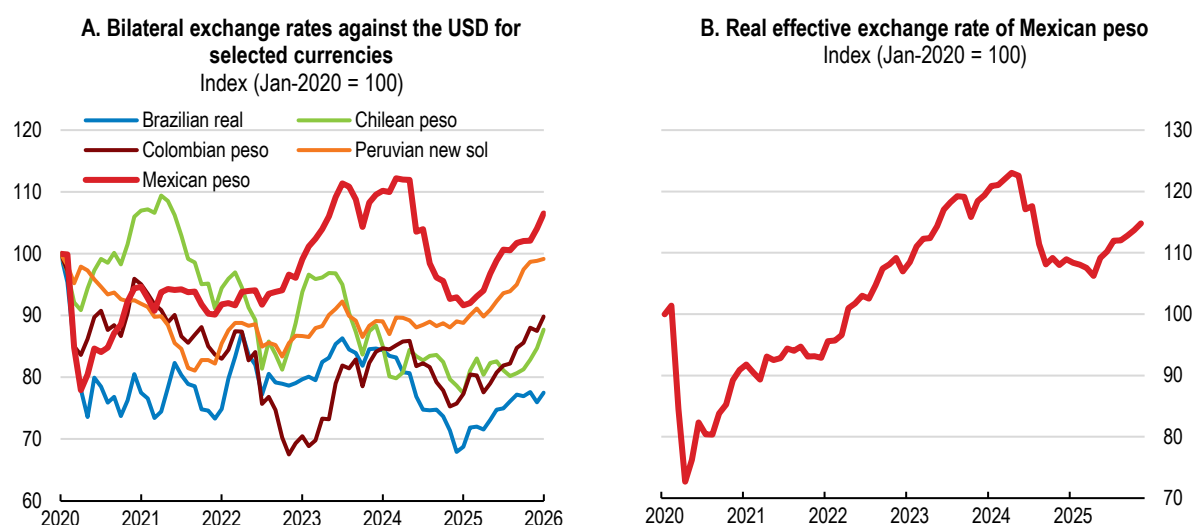
Figure 1.16. Inflation has recently picked up



Note: In Panel A, the shaded area represents the Central Bank's inflation target range and inflation expectations refer to expectations by the private sector for the next 12 months.

Source: Banxico; and INEGI.

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Figure 1.17. The exchange rate has appreciated

Note: A decrease implies a depreciation of the Mexican peso and indicates an improvement in competitiveness. Real effective exchange rates (Panel B) are calculated against a basket of currencies (111 countries) using constant trade weights.

Source: *OECD Economic Outlook* (database); and Banxico.

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Table 1.4. Past OECD recommendations to improve macroeconomic policies

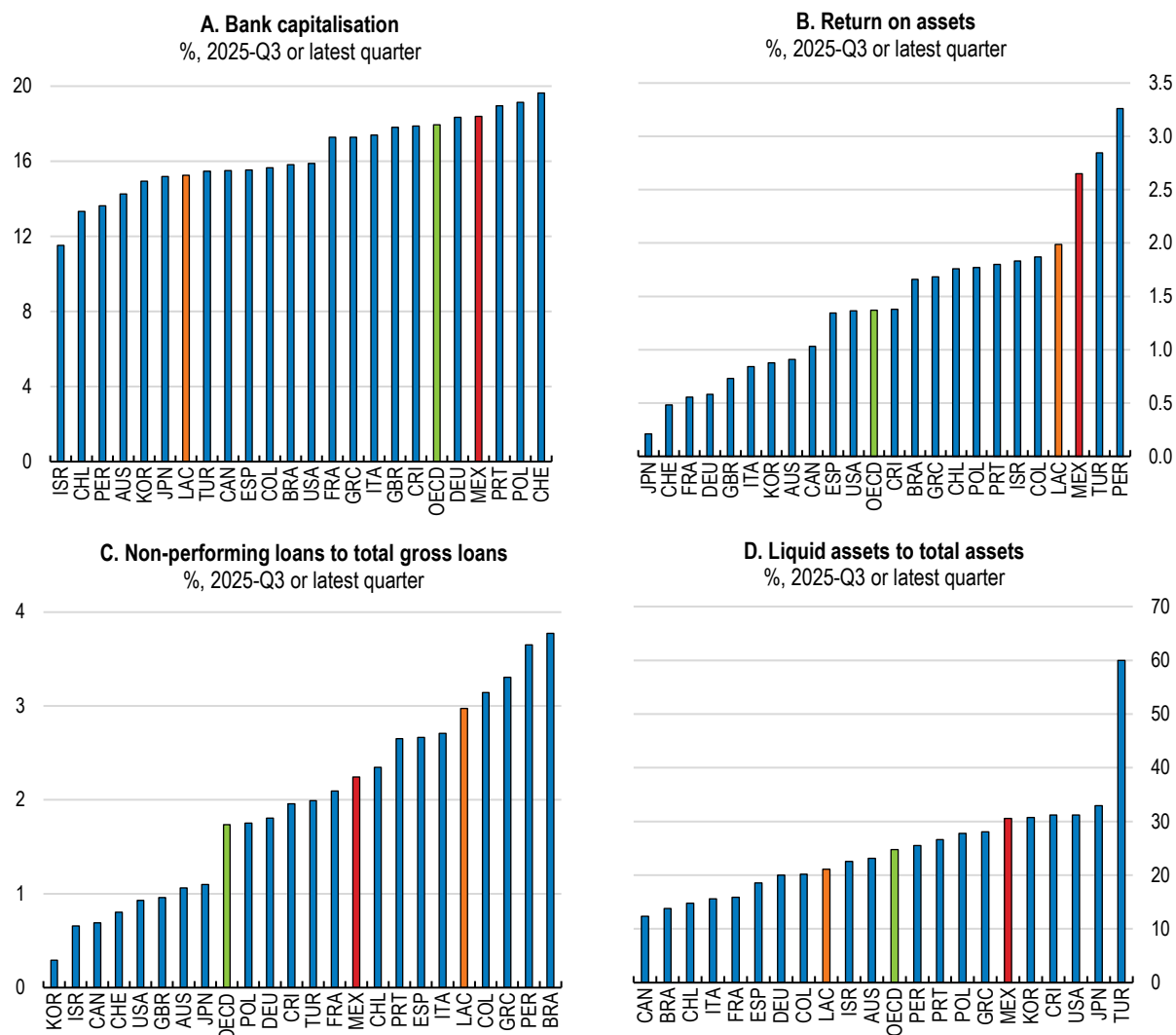
Past OECD recommendations	Actions taken since the 2024 Economic Survey
Keep monetary policy restrictive to ensure that inflation decreases durably towards its target.	Monetary policy remained restrictive until November 2025. Inflation has gradually decelerated, although it has recently picked up.
Make fiscal policy less expansionary by targeting the increase of social spending and energy support measures towards low-income households and basing public investment projects on sound cost-benefit analysis.	After a marked increase in 2024, the fiscal deficit was reduced in 2025. No action taken concerning the targeting of social policies. Public investment has slowed because of the finalization of flagship investment projects at the end of the previous administration.
Gradually increase public spending in productivity-enhancing areas, such as education, the digital and green transition and the fight against crime. Gradually increase tax revenues by: - fostering immovable property tax collection. - phasing out inefficient and regressive personal income tax exemptions and lowering the income threshold for the top rate. - gradually broaden the VAT base. - continue to facilitate tax compliance.	Efforts to continue tax compliance have continued. The 2026 Budget included higher taxes on sugary drinks and tobacco.
Make a more systematic use of spending reviews, of cost-benefit analysis in public infrastructure projects and of means-testing and periodic evaluations in social programmes.	No action taken.
In the short-term establish a multi-year budget framework. In the medium term replace the two balanced-budget rules with a debt anchor and widen the coverage of the expenditure rule.	No action taken.
Condition any additional support on PEMEX putting in place a transparent and credible strategy to improve its ESG track record and align all SOEs governance with the OECD Guidelines on Corporate Governance of State-owned Enterprises.	In August 2025 PEMEX announced its 2025-2035 Strategic Plan, which aims at turning PEMEX self-sufficient by 2027.

1.3. The financial sector appears resilient

The financial system has been stable and resilient to recent volatility. Financial markets have functioned in an orderly manner in a context of high uncertainty. The Mexican peso appreciated during 2025, interest rates have declined across all maturities and the stock market registered a positive performance (Banxico, 2025^[5]).

The financial sector maintains capitalisation, profitability and liquidity levels above most OECD countries (Figure 1.18). Non-performing loans remain also contained. Credit growth has remained constrained, although with a lot of heterogeneity depending on firm size. Loans to debt-issuing firms continued to contract in real terms, reflecting a shift towards issuing market debt over bank loans. Conversely, bank credit to non-debt-issuing firms has grown solidly. Bank surveys suggest this growth was driven by increased demand from large firms. Interest rates have recently fallen, reflecting the pass-through from changes in the monetary policy rate, although they remain high. Credit to households has continued to grow, both for housing and consumption. Private sector indebtedness remains contained (Figure 1.19).

Figure 1.18. The banking sector appears solid

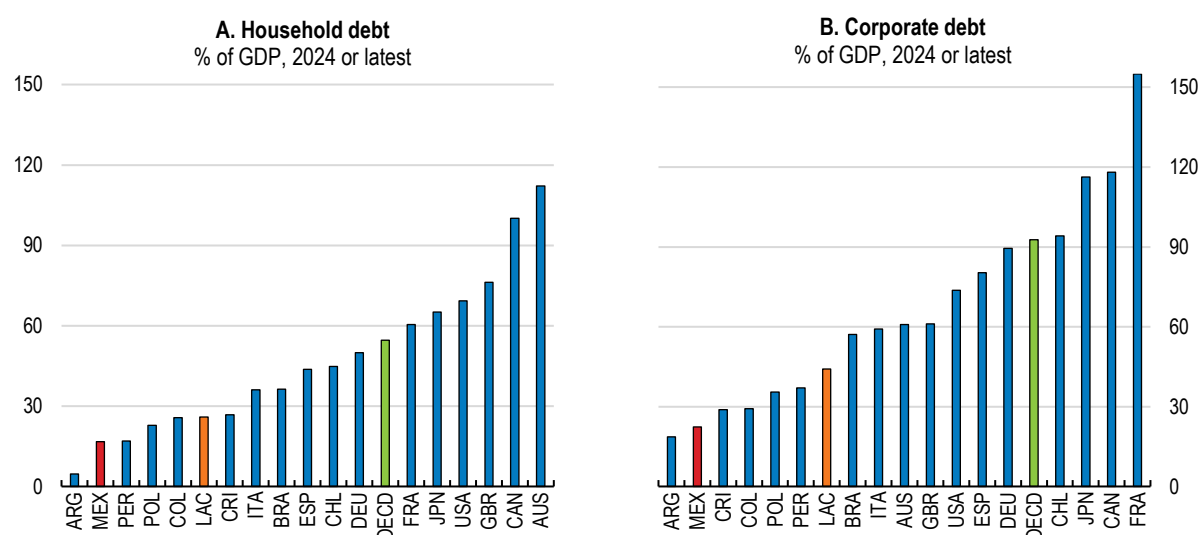


Note: Bank capitalisation refers to the capital adequacy, regulatory tier 1 capital to risk-weighted assets. LAC is a simple average of Chile, Colombia, Costa Rica, Brazil, and Peru.

Source: IMF Financial Soundness Indicators (database).

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Figure 1.19. Private debt is low



Note: LAC is a simple average of Chile, Colombia, Costa Rica, Argentina, Brazil, and Peru. In Panel A and B, data for Iceland and Peru refer to 2023.
Source: IMF Global Debt Database.

StatLink  <https://stat.link/wf91t5>

According to the financial supervisor's latest stress tests, the financial sector would be resilient to adverse financial economic events (Banxico, 2025^[5]) and the greatest risk for financial stability in Mexico stems from a marked weakening of economic activity, at both global and domestic levels. Other key risks include possible prolonged periods of volatility in global financial markets, for example due to greater uncertainty or highly persistent changes in trade policies in some major economies. Shocks resulting from the escalation of international geopolitical conflicts could also create a complex and uncertain global macro financial environment, increasing financial stability risks also in Mexico. These risks are mitigated by a high level of international reserves, active public debt management and low private sector debt.

The financial sector regulatory framework has been further strengthened with continued improvements in prudential oversight and risk management standards. However, some recent OECD recommendations remain pending. This includes enhancing the autonomy and resources of supervisory agencies such as the National Banking and Securities Commission (CNBV), as recommended in the 2019 and 2022 Economic Survey of Mexico. Strengthening inter-agency coordination and upgrading staffing and technical capacity would help to make regulation more robust and safeguard financial stability.

Advancing financial inclusion also continues to be a key challenge, as analysed in detail in the 2022 OECD Economic Survey of Mexico. As of 2021 only about 49.1% of adults held a bank account. Recent policy efforts include the creation of a digital payments platform (CoDi) and several digital banks have started to operate in the country. To accelerate progress, all government programs (social transfers, pensions, salaries), including those run by federal and state governments, could be mandatorily disbursed through formal bank accounts. This would help bring unbanked populations into the formal financial system and enhance transparency and traceability of public funds.

At the same time, safeguarding the financial system from criminal networks remains a priority and efforts to combat illicit financial flows should continue (see also the crime section in this chapter). Financial authorities have established frameworks and procedures to address potential risks. Strengthening due diligence for high-risk clients and ensuring that records of beneficial ownership are accurate and up to date will help sustain these efforts. Authorities also need the right tools to respond effectively. This includes analytical capacities, legal powers, and strong coordination between financial regulators, the tax authority, and law enforcement agencies. International cooperation is equally important. Closer cross-border collaboration, better

information sharing with regional partners, and alignment with international standards are all essential. Particular attention should be given to cryptocurrency oversight and asset recovery, which are key to building a more resilient financial system.

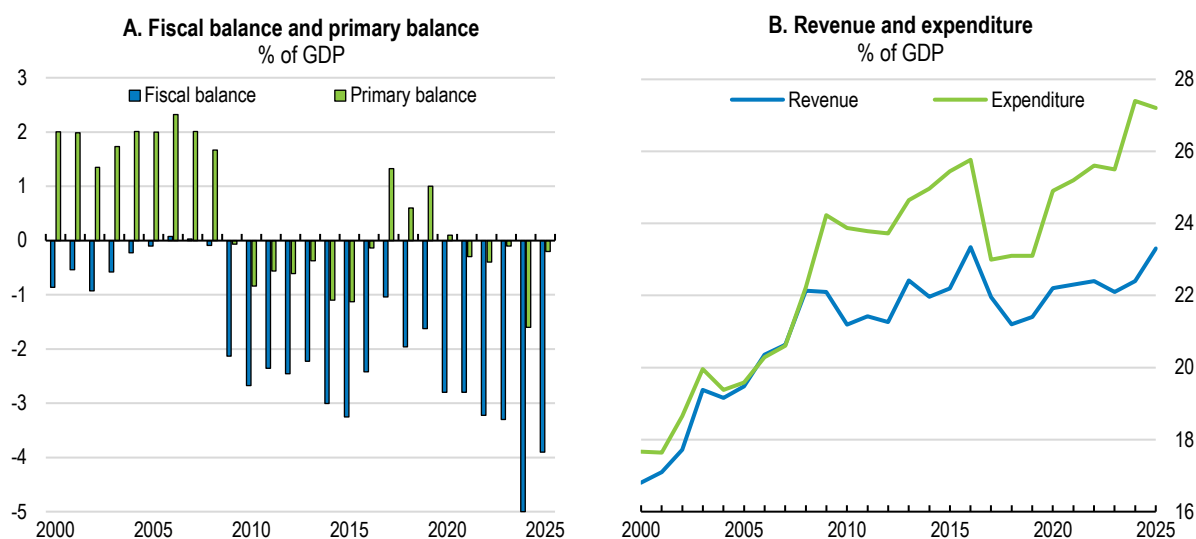
Strengthening the resilience of the financial system also requires confronting emerging technological risks (see also Table 1.3 and Chapter 4 in this Survey). In December 2024, the Central Bank published its first *Report on Cybersecurity Threats in the Mexican Financial System*, aiming to raise awareness and promote preventive action against cyber risks (Banxico, 2025^[5]). These risks, particularly those stemming from the increasingly sophisticated use of artificial intelligence, are now among the most serious threats to financial stability worldwide. In response, the Central Bank is closely monitoring the integration of AI in the financial sector and has incorporated AI-related risks into its institutional risk management framework. In line with international practice, this includes risks related to data integrity, transparency and potential misuse of AI tools in cyber-attacks.

1.4. Ensuring fiscal sustainability

1.4.1. Fiscal consolidation has started

Over the past two decades, Mexico has maintained a prudent fiscal policy and kept public debt at relatively low levels. However, in 2024 the public sector deficit rose sharply to 5% (Figure 1.20), reaching its highest level in 35 years. This increase was driven by spending on flagship infrastructure projects, higher allocations to universal non-contributory pensions and additional support to PEMEX, the state-owned oil company. Given that the economy was already expanding, the fiscal stance in 2024 was pro-cyclical, providing stimulus at a time of strong demand. Active debt management helped finance the sizeable fiscal impulse, with 84% of federal government debt denominated in domestic currency, limiting vulnerabilities to external shocks.

Figure 1.20. The public sector deficit increased notably in 2024



Note: Data refer to the non-financial public sector. In panel B, the widest definition of public revenues is displayed, including also social security contributions and state-owned enterprises.

Source: OECD Economic Outlook (database).

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In 2025, the authorities began a fiscal consolidation process and the deficit fell to 3.9%. Further consolidation beyond 2025 will be essential to put the debt-to-GDP ratio on a declining path. Without additional measures, debt is projected to rise (blue line in Figure 1.21). According to the government's 2026 budget, after the reduction in 2025, largely driven by a reduction in capital investment, the deficit is expected to fall to 3.6% in 2026 and to 3% in 2027 (Table 1.5). The measures underpinning this additional consolidation have not yet been specified. With debt-service costs rising to 4.1% of GDP in 2026, fiscal space increasingly constrained, and monetary policy easing, a gradual but credible consolidation strategy is needed. This should balance rebuilding fiscal buffers with avoiding excessive drag on activity. Clear specification of the measures underpinning consolidation would enhance transparency and strengthen investor confidence, helping to lower risk premia and financing costs.

Public spending in Mexico remains low compared to OECD peers (Figure 1.22). At the same time, pressures from interest payments, support to PEMEX and from universal non-contributory pensions are increasing (Figure 1.23). In this context, relying mainly on spending cuts to reduce the deficit could be difficult and risky. Additional unexpected spending needs could arise from higher financing costs due to global financial volatility, more frequent climate-related events, or increased needs for border control, straining debt dynamics. With Mexico having the lowest tax-to-GDP ratio in the OECD, there is scope to raise additional revenues without undermining growth. Further consolidation should therefore rely primarily on raising more revenues, while protecting and gradually increasing spending in priority areas, such as education and crime prevention (Table 1.6 and green line in Figure 1.21). Anchoring these measures in a medium-term fiscal framework would enhance credibility and resilience. In parallel, advancing a broad agenda of structural reforms would boost potential growth and reinforce debt sustainability over time (Table 1.7 and red line in Figure 1.21).

Table 1.5. Evolution of main fiscal aggregates according to the latest government budget

% of GDP

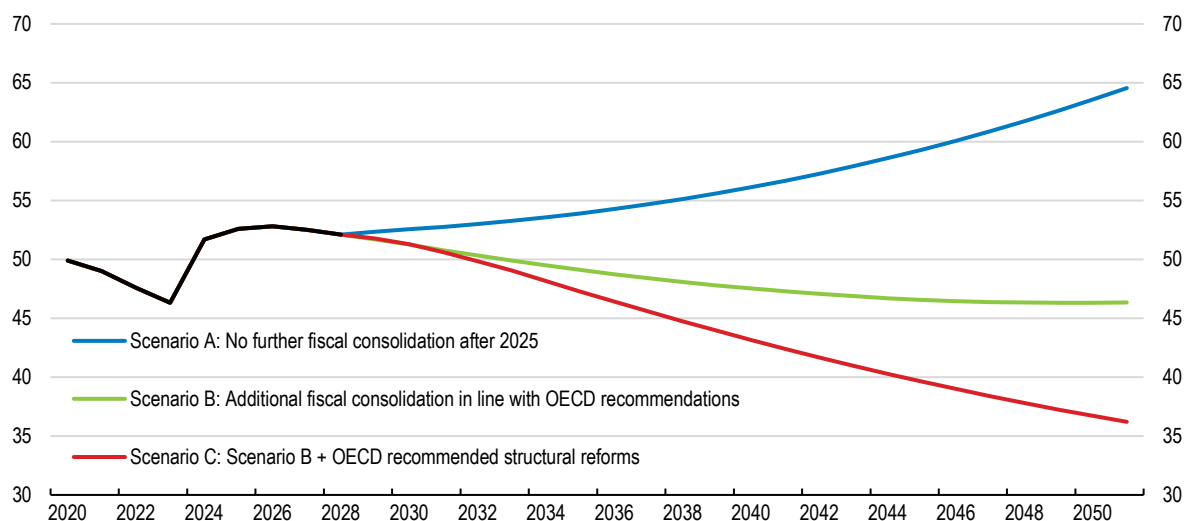
	2018	2019	2020	2021	2022	2023	2024	2025	2026*	2027*	2028*
Total revenues	21.2	21.4	22.2	22.3	22.4	22.1	22.4	23.3	22.5	22.4	22.4
Oil revenues	4.0	3.8	2.5	4.3	5.0	3.4	2.9	3.5	3.1	3.0	3.0
Non-oil revenues	17.1	17.6	19.7	18.0	17.3	18.7	19.5	19.8	19.4	19.4	19.4
Tax revenues	12.7	12.7	13.9	13.4	12.9	14.2	14.8	15.1	15.1	14.9	14.9
Personal and corporate income	6.9	6.7	7.3	7.1	7.7	7.9	8.0	8.2	7.9		
VAT	3.8	3.7	4.1	4.2	4.1	4.3	4.2	4.2	4.1		
Tax on production and services	1.4	1.8	1.9	1.5	0.4	1.4	1.9	1.9	2.0		
Imports	0.3	0.3	0.2	0.3	0.3	0.3	0.4	0.5	0.7		
Other	0.2	0.2	0.3	0.2	0.3	0.3	0.3	0.3	0.4		
Non-tax revenues	4.4	4.9	5.8	4.6	4.4	4.5	4.7	4.7	4.4	4.6	4.6
Total expenditure	23.1	23.1	24.9	25.2	25.6	25.5	27.4	27.2	26.1	25.4	24.9
Primary	20.7	20.6	22.2	22.7	23.0	22.4	24.1	23.6	22.0	21.6	21.5
Programmable	16.8	16.8	18.5	19.2	19.2	18.5	20.1	19.5	18.1	17.9	17.8
of which: capital investment	2.6	2.2	2.7	2.6	3.2	2.8	3.1	2.2	2.5	2.6	2.4
Non-programmable	6.3	6.2	6.4	6.0	6.4	7.0	7.3	7.6	8.0	7.5	7.1
of which: transfers to states	3.5	3.5	3.5	3.4	3.6	3.6	3.7	3.8	3.8	3.6	3.6
of which: Interest	2.5	2.7	2.8	2.6	2.8	3.3	3.4	3.7	4.1	3.8	3.5
Primary public balance	0.6	1.1	0.1	-0.3	-0.4	-0.1	-1.5	-0.1	0.5	0.8	0.8
Public balance	-2.0	-1.6	-2.8	-2.8	-3.2	-3.3	-5.0	-3.9	-3.6	-3.0	-2.5
Financing needs outside budget	-0.1	-0.7	-1.0	-0.9	-1.1	-1.0	-0.8	-0.9	-0.5	-0.5	-0.5
Public sector borrowing requirements	-2.1	-2.3	-3.8	-3.7	-4.3	-4.3	-5.8	-4.8	-4.1	-3.5	-3.0
Gross public sector debt	45.6	45.5	51.7	50.5	48.2	47.3	54.1	55.8	57.4	57.4	57.4
Net public sector debt	44.8	43.9	49.9	48.9	47.5	46.6	52.4	53.6	52.8	52.5	52.2
Historical Balance of the Public Sector	43.6	43.3	50.2	49.1	47.6	46.7	52.0	53.1	52.3	52.3	52.3
Borrowing Requirements											

Note: * Are forecasts. Some rows may not add up due to rounding.

Source: Secretaría de Hacienda y Crédito Público.

Figure 1.21. Additional fiscal consolidation is needed to put debt on a firmly declining path

% of GDP



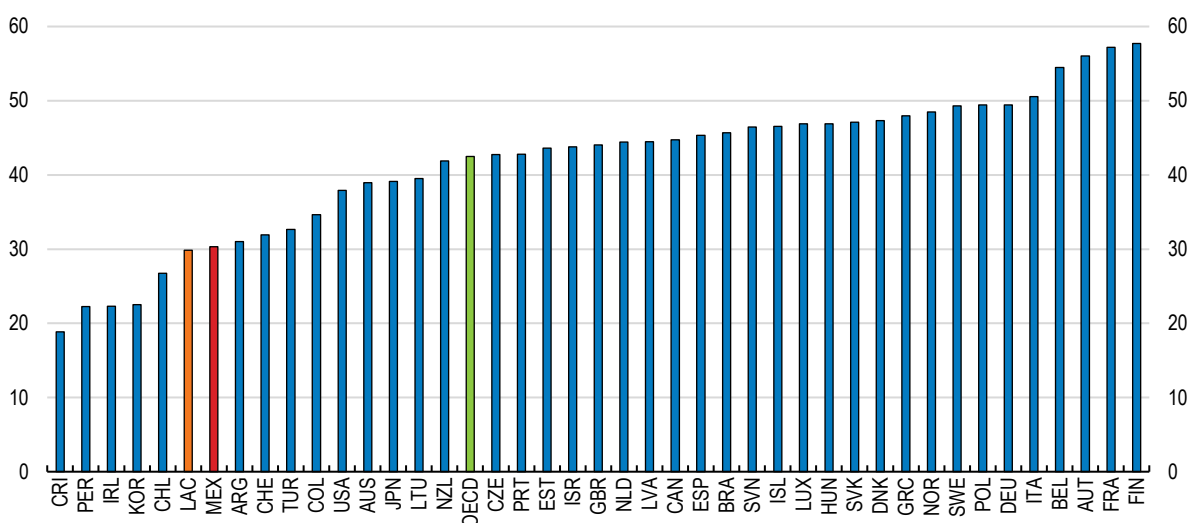
Note: All scenarios account for ageing costs. Scenario A assumes existing spending and tax policies based on the government's fiscal plans for 2025. Scenario B assumes the implementation of fiscal recommendations listed in Table 1.6. Scenario C further assumes a gradual increase in potential GDP growth due to growth-enhancing reforms as listed in Table 1.7. It does not account for potential improvements in the primary balance due to higher GDP growth.

Source: OECD calculations.

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Figure 1.22. Public spending is relatively low

General government expenditure, % of GDP, 2024



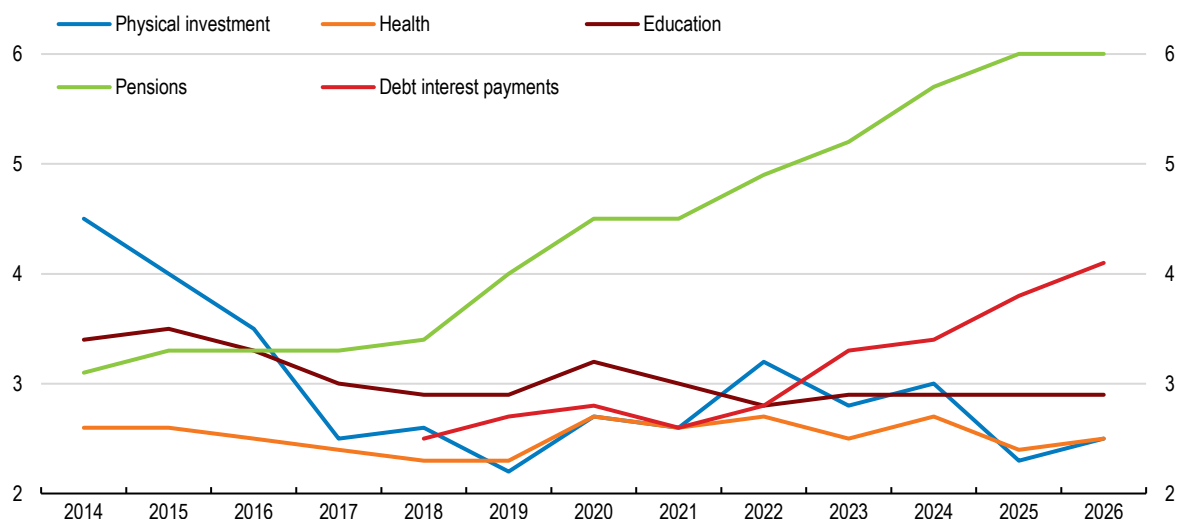
Note: LAC is an unweighted average of Chile, Colombia, Costa Rica, Argentina, Brazil, and Peru. OECD is an unweighted average.

Source: IMF World Economic Outlook, October 2025.

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Figure 1.23. Public spending on pensions and interest payments are trending up

Public expenditure, % of GDP



Note: Pensions refer to contributory and non-contributory pensions.

Source: México Evalúa; CIEP; Secretaría de Hacienda y Crédito Público, Estadísticas Oportunas, CGPE 2026 y PPEF 2026; and OECD calculations.

StatLink  <https://stat.link/6pyz79>**Table 1.6. Illustrative fiscal impact of some recommendations**

Fiscal recommendation	Estimated impact on fiscal balance, % of GDP
Revenue side	
Strengthening customs administration	+0.8
Higher revenues from recurrent taxes on immovable property (<i>Predial</i>)	+1.2
Higher revenues from Vehicle tax (<i>Tenencia</i>)	+0.3
Base alcohol consumption taxes on alcohol content	+ 0.2
Broaden the VAT base coupled with a targeted refund to low incomes	+0.8
Broaden and increase the carbon tax (e.g via higher fuel taxes), allocating part of the revenues to support low-income households	+1.5
Total revenue side	+4.8
Spending side	
Increase education spending	-0.7
Strengthen the fight against crime	-0.6
Set-up a national early childhood and care network	-0.6
Foster elderly formal care services	-0.5
Boost digitalization	-0.7
Reinforce adaptation and mitigation policies	-0.7
Total spending side	-3.8
Resulting change in primary balance	+1

Note: Numbers in this table are estimates and some are subject to uncertainty. Implementation would take several years. In Mexico's federal structure, immovable property-related taxes are collected by states and the vehicle-ownership tax by municipalities. At the same time, states and municipalities have significant responsibilities for delivering public services, including education, infrastructure, and local adaptation policies.

Source: OECD calculations.

Table 1.7. Expected gains from ambitious structural reforms are large

Estimated impact of selected reforms on potential GDP per capita

Reform	Impact on real GDP	
	10 years	30 years
Scenario A: Facilitate higher female employment	9.6%	16.9%
Scenario B: Improve rule of law and reduce corruption	3.1%	13.5%
Scenario C: Strengthen education outcomes	0.5%	3.3%
Scenario D: Boosting digitalization	5.3%	9.0%
Ambitious reform scenario: all the above together	18.5%	42.7%
Implied average annual growth increase (of ambitious reform scenario):	1.7 percentage points	1.2 percentage points

Note: Simulations based on the OECD long-term growth model (Guillemette and Chateau, 2023^[6]). The scenarios assume that female employment rates (Scenario A) and the rule of law (Scenario B) converge to the OECD average by 2050, while education outcomes (Scenario C) converge to the third quartile of OECD countries by the same year. The digitalisation scenario (Scenario D) assumes a gradual increase in total factor productivity, calibrated as a 9% rise in TFP by 2040, reflecting the broader adoption of digital technologies across the economy. The impact of the individual reforms does not add up to that of the combined “ambitious reform” scenario, due to non-linearities in the model.

Source: Simulations using the OECD long-term model.

1.4.2. Enhancing the fiscal framework

Mexico’s Fiscal Responsibility Law, enacted in 2006, institutionalized the country’s commitment to fiscal discipline and has played a central role in maintaining fiscal prudence over the years (OECD, 2024^[7]). However, fiscal pressures are now increasing: interest payments are rising, support to PEMEX remains costly, and non-contributory pensions are expanding. The deficit jumped to 5% of GDP in 2024, the highest in decades, revealing the limits of the current rules in preventing pro-cyclical fiscal expansions.

At the same time, Mexico faces growing spending needs in areas critical for long-term growth and inclusion, such as education, digitalisation, the green transition and infrastructure. These pressures come in a global environment of high financing costs and recurrent external shocks. A stronger medium term fiscal framework would allow these priorities to be financed sustainably by linking new spending commitments to credible revenue increases and spending efficiency gains. It would also improve strategic planning, strengthen transparency, and help fiscal policy play a countercyclical role during downturns.

Most OECD countries have upgraded their fiscal frameworks by introducing explicit debt anchors, medium term expenditure rules and transparent escape clauses, like Chile (Box 1.2). A similar reform in Mexico would enhance credibility, create space for priority spending, safeguard fiscal sustainability and rebuild fiscal buffers in a more volatile global environment.

At present, Mexico does not operate under a fully-fledged medium-term fiscal framework. The federal budget sets annual fiscal targets and projections for the upcoming year, based on expected revenues and approved spending programs. It also includes projections for key fiscal variables typically up to five years, but these are indicative rather than binding and are not linked to specific expenditure ceilings or revenue measures. As a result, fiscal policy remains largely annual in practice.

Establishing a genuine medium-term fiscal framework is essential at the current juncture. It would strengthen fiscal discipline, while supporting growth by allowing better multi-year planning and prioritisation of spending. This would improve the quality of expenditure, help direct new revenues into areas with the highest economic and social returns, and ensure that consolidation is achieved in a sustainable way. Establishing a genuine multi annual fiscal framework would also help smooth the business cycle. By linking expenditure ceilings and revenue plans over several years, it reduces the risk of pro-cyclical policy, while preserving space for counter cyclical support. Including key planned infrastructure projects and expected annual spending within the medium-term framework would be particularly beneficial, as it would allow fiscal needs to be budgeted in advance, improve the consistency of medium-term fiscal projections, the execution of investments and reduce the risk of future financing gaps or abrupt project delays.

Box 1.2. Chile's upgraded fiscal framework

- *Introduction of a debt ceiling.* Chile adopted a gross public debt ceiling serving as the fiscal anchor, which is set by each incoming government within the first 90 days of its mandate through a Supreme Decree issued by the Ministry of Finance. Most recently, a ceiling of 45% of GDP was established, providing an explicit reference point to contain debt accumulation and strengthen long-term sustainability.
- *Enhanced fiscal rules and escape clauses.* The structural balance rule has been strengthened through more precise numerical targets, improved transparency in its calculation, and the inclusion of well-defined escape clauses. These allow for temporary deviations from fiscal targets in the event of exceptional circumstances, such as natural disasters or severe economic shocks.
- *Reinforced medium-term budget framework.* The multi-year expenditure path is now more binding and closely linked to the structural balance rule and the debt ceiling. Annual budgets are required to be consistent with medium-term fiscal targets, and incorporate more detailed projections of revenues, spending, and financing needs over a 3–4-year horizon.
- *Strengthening of the Fiscal Council (Consejo Fiscal Autónomo).* The Fiscal Council's mandate and operational independence was expanded, and it now plays a more prominent role in evaluating compliance with fiscal rules and validating macroeconomic assumptions.

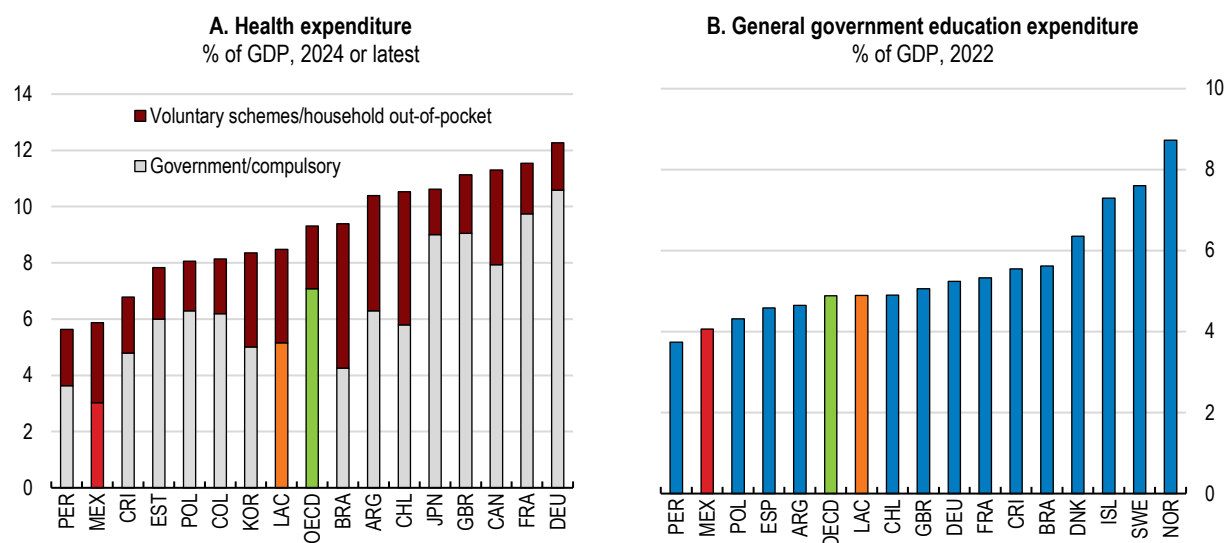
Mexico also needs to reduce the complexity and rigidity of its current rules. The existing framework relies on three fiscal rules, two balanced budget rules and one expenditure rule. The balanced budget rules specify on one hand that the federal budget can only run a deficit of up to 2 % of GDP if it is due to public investment by the federal government and some States Owned Enterprises, and on other hand, that the target for public sector borrowing requirement should achieve a non-increasing net public debt path relative to the previous year. These balanced budget rules are not linked to any medium-term fiscal anchor and, in practice, they promote short-term discretionary spending cuts to meet annual targets, making fiscal policy highly procyclical, particularly when the stabilization fund is depleted. Replacing the balanced budget rules with a debt anchor, as recommended in the 2024 Economic Survey, would preserve the current focus on keeping debt at prudent levels, but in conjunction with the medium-term fiscal framework, would also reduce procyclicality. Moreover, the expenditure rule applies to only 36% of total public expenditure, significantly limiting its effectiveness in stabilizing expenditure across the economic cycle. Expanding its coverage, as recommended in both the 2022 and 2024 Economic Surveys, would enhance its capacity to build buffers in good times and provide support during downturns. Finally, the system of escape clauses should be simplified and clarified. At present, five separate escape clauses exist and are invoked frequently, given the system's rigidity and complexity. Mexico should simplify its system of escape clauses by reducing their number and clearly defining the conditions for their use, thereby enhancing transparency and credibility while preserving room for fiscal policy to respond to shocks.

1.4.3. Strengthening the quality of spending

Public spending restraint has been central in Mexico's strategy to meet fiscal targets. However, given the already low level of public expenditure, the scope for further cuts has become very limited. At the same time, increasing spending on interest payments, PEMEX, the state-owned company, and non-contributory pensions, has created rigidity in spending and reduced the fiscal space to address spending needs in other areas. Key areas, such as education and health already receive less funding than in OECD and regional peer countries (Figure 1.24). Looking ahead, improving the quality of spending will be essential not only to safeguard fiscal sustainability but also to boost growth. This requires a more strategic approach to expenditure planning and prioritisation, including through a medium-term fiscal framework, a more systematic use of spending reviews and cost-benefit analysis, and a gradual shift toward productivity-enhancing spending, such as in education (see Chapter 2) and digitalization (see Chapter 4). It will also be crucial to ensure that any additional fiscal space, such as that created through higher revenues, as discussed in the next subsection, is channelled into

productive spending. Expanding revenues and allocating that fiscal space to areas with limited economic returns, such as infrastructure projects with questionable cost-benefit profiles or PEMEX, would be counterproductive.

Figure 1.24. Spending on education and health are relatively low



Note: In both Panels, LAC is a simple average of Chile, Colombia, Costa Rica, Argentina, Brazil and Peru, except in Panel B as data for Colombia is not available. In Panel A, data refer to 2023 for Argentina and Peru, and 2022 for Brazil.

Source: OECD Health Expenditure and Financing (database); and OECD Education at a Glance 2025 (database).

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Pension spending has risen sharply in recent years, increasing by 2.4 percentage points of GDP over the past seven years (Figure 1.23), mainly due to the rapid expansion of universal non-contributory pensions. Introduced in 2019, the *Pensión para el Bienestar de los Adultos Mayores* provides a cash transfer to all individuals aged 65 or above, regardless of their income, contributory history, or wealth. In 2025, a new programme (*Pensión Mujeres Bienestar*) will extend benefits to women aged 60 to 64, further enlarging coverage. These schemes have become a central pillar of social protection in Mexico and play an important role in reducing poverty among elderly.

While universal non-contributory pensions are easier to administer and have helped to reduce poverty, they also raise concerns about long-term fiscal sustainability and intergenerational equity in a context of limited fiscal space and low revenues. Targeting benefits towards individuals in the lowest income brackets would help ensure that support reaches those most in need while preserving public resources for future generations and other pressing priorities. Moreover, the programmes should be rigorously evaluated beyond their short-term poverty impacts, assessing their effects on labour market participation of all household members, informality, and intergenerational social mobility. At present, the *Pensión para el Bienestar de los Adultos Mayores* represents around 66% of the urban poverty line, 127% of the extreme urban poverty line and 28% of the minimum wage. Any further increases in benefit levels should be carefully designed to preserve incentives to participate in the contributory pension system.

Ensuring that public spending, particularly on infrastructure projects, is guided by sound and transparent cost-benefit analyses remains a key challenge. Basing projects on rigorous technical evaluation, clear prioritisation, and strong accountability mechanisms helps allocate resources more efficiently and reduces the risk of cost overruns. Stronger project appraisal systems and greater transparency across the investment cycle are essential to raise the quality of public investment, build public trust, and ensure spending supports medium-term growth. The recently approved Public Works law attempts to enhance transparency, efficiency and oversight in public projects. It introduces strategic pre-bid dialogues with suppliers, mandatory market

research before tenders, shortens key bidding timelines to accelerate project execution and lowers the threshold for no-bid direct awards from 30% to 20% of the project budget. However, a key pending challenge is that the army and navy, whose role in managing major public works has expanded substantially in recent years, are currently exempt from the law's transparency and bidding requirements when executing projects under inter-agency agreements. Many of these projects, such as airports, railways, and tourism infrastructure, go well beyond the army's traditional remit. Yet they remain shielded from the stronger oversight and disclosure standards established by the reform. This exemption limits the law's potential to improve accountability and project quality in some of the country's largest infrastructure investments. These improvements in infrastructure projects governance will be particularly important in the context of *Plan México*, which places a strong emphasis on infrastructure projects, such as rail corridors and energy expansion, as key drivers of competitiveness and regional integration (see Box 1.1 in this chapter).

Mexico also approved reforms to the Public Procurement Law in April 2025, aimed at modernizing and harmonising procurement processes across government entities. The law replaces fragmented regulations with a unified framework that covers goods, services, and leases, and it mandates the use of a centralised digital platform to manage procurement procedures, increase transparency, and improve data traceability. Key innovations include the introduction of integrity criteria in supplier selection, strengthened rules for framework agreements and consolidated purchasing and simplified procedures for small and medium-sized enterprises. However, important challenges remain. The full implementation of the digital platform and the integration of subnational governments and public entities into the new system will require significant institutional coordination and capacity-building. Professionalising the public procurement workforce will also be essential to ensure effective and consistent application of the new framework across all levels of government. However, the reform does not anticipate an effort towards professionalisation, as recent reforms in other LAC countries, such as Chile, Costa Rica or Peru, do. As with the Public Works Law, exemptions for certain entities, such as the armed forces and public enterprises such as PEMEX, will limit the overall impact of the reform, and should therefore be removed.

Mexico's sustainable taxonomy can also be a valuable tool for improving the quality and effectiveness of public spending by directing resources toward projects with clear and measurable impacts. The taxonomy is a classification system that identifies economic activities based on their environmental and social impact (OECD, 2022^[8]), providing a common framework for evaluating the impact of spending. Recent progress includes the mapping of Mexico's taxonomy to that of the European Union to enhance interoperability. Good progress has also been made in applying the taxonomy ex-post to classify a growing share of public expenditures. This has provided greater insight into the composition and outcomes of public spending. The next challenge is to integrate these metrics ex ante into budget preparation, so that they guide the prioritisation and allocation of spending before resources are committed. Experiences from other countries, such as France and Ireland with their green budgeting frameworks, show that ex ante integration can ensure resources are directed toward projects with the highest impact. Doing so would support more strategic decision-making, improve the consistency and transparency of the budget process, and strengthen the link between spending and outcomes.

Public support to PEMEX, the state-owned oil company, has continued to increase and is sizeable. Government support has taken the form of tax relief measures, debt relief and capital injections and investment programs, and represented around 1.1% of GDP in 2024 (IMF, 2024^[9]). Nevertheless, its financial situation remains difficult, as output has continued to decline, and liquidity has been insufficient to meet debt obligations, both financial and with suppliers, and maintain ongoing projects. As recommended in previous OECD Economic Surveys of Mexico, any additional support to PEMEX should be made strictly conditional on improvement to its business strategy and governance structure with the aim of limiting further fiscal costs. A new 2025-2035 Strategic Plan for PEMEX was announced in August 2025, aiming at turning PEMEX self-sufficient by 2027. The plan reestablishes the possibility of PEMEX forming partnerships with private sector entities and includes also financial operations to smooth the debt maturity profile. Fostering private partnerships is a positive step but the new projects could take around seven years to yield results, and further changes are needed to improve more significantly the company's short-term financial position. The process of forming partnerships should be transparent and open to international investors. Financial operations to

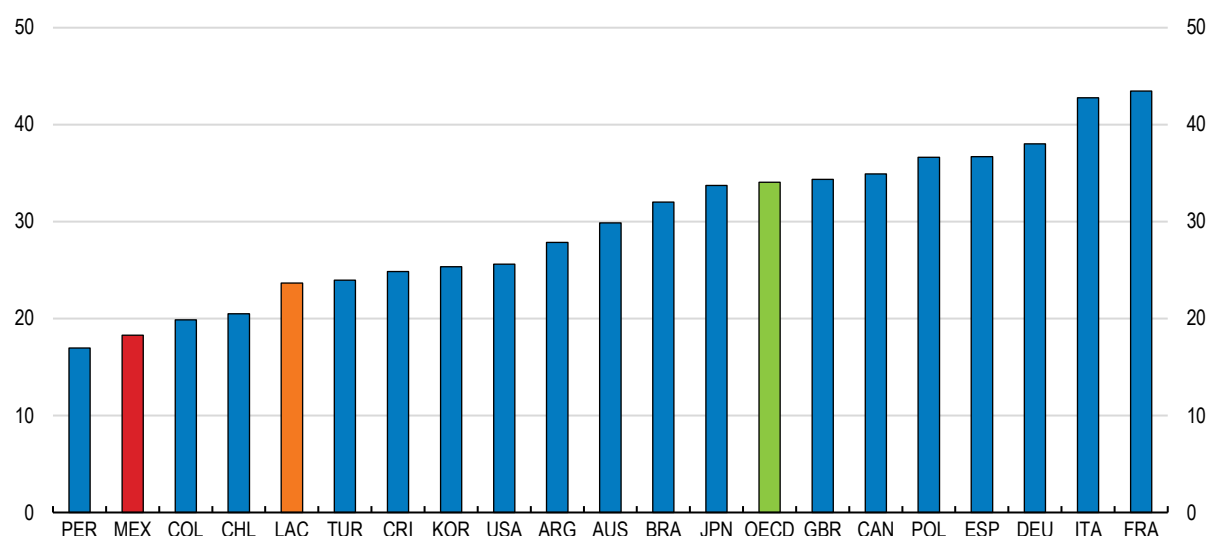
smooth debt maturity can lower PEMEX's financing costs, but they also create contingent liabilities for the sovereign, underscoring the need for prudent execution. Strictly conditioning support to specific performance metrics can encourage clearer operational improvements. The OECD Guidelines of State-Owned Enterprises can be a useful framework to advance deeper governance reforms, including ensuring that all board members are appointed based on relevant qualifications, eliminating political interference in board processes and regularly carrying out evaluations to appraise their performance. PEMEX should also be subject to the same high-quality accounting, disclosure, compliance and auditing standards as listed companies. Transitioning to accrual accounting would significantly strengthen financial transparency and oversight. It would provide a more complete picture of PEMEX's financial position by recognising liabilities and unpaid obligations as they arise, rather than only when cash transactions occur. This would allow earlier identification of liabilities and improve the federal government's capacity to monitor contingent liabilities and assess fiscal exposure. Over time, it would also contribute to better governance, clearer performance evaluation and a more credible financial reporting framework.

1.4.4. Increasing revenues to maintain fiscal prudence and respond to spending needs

Gradually mobilizing additional tax revenues is essential to maintain fiscal prudence while addressing spending needs in areas that will boost productivity and medium-term growth. In recent years, the government has made progress in tax administration, with measures to curb evasion and fraud bolstering collection. The 2026 budget also introduced increases in taxes on sugary drinks and tobacco, expected to yield an additional 0.1% of GDP. Yet Mexico's tax receipts remain low by international standards. At 18.3% of GDP in 2024, Mexico's tax-to-GDP ratio is the lowest among OECD countries (Figure 1.25), and below regional peers including Costa Rica, Colombia and Chile.

Figure 1.25. Mexico has the lowest tax-to-GDP ratio in the OECD

% of GDP, 2024 or latest



Note: LAC is a simple average of Chile, Colombia, Costa Rica, Argentina, Brazil, and Peru. Data refer to 2023 for Australia and Japan.

Source: OECD Revenue Statistics (database).

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The government continues to prioritise strengthening the tax administration as the primary avenue to boost revenue collection. Ongoing efforts include simplifying and digitalizing tax payment procedures, using digital tools to detect filing inconsistencies and combat tax evasion, and expanding taxation of low-value shipments from e-commerce platforms. Strengthening customs administration could further enhance revenue by an estimated 0.8% of GDP through reduced evasion, according to government estimates. A law to improve

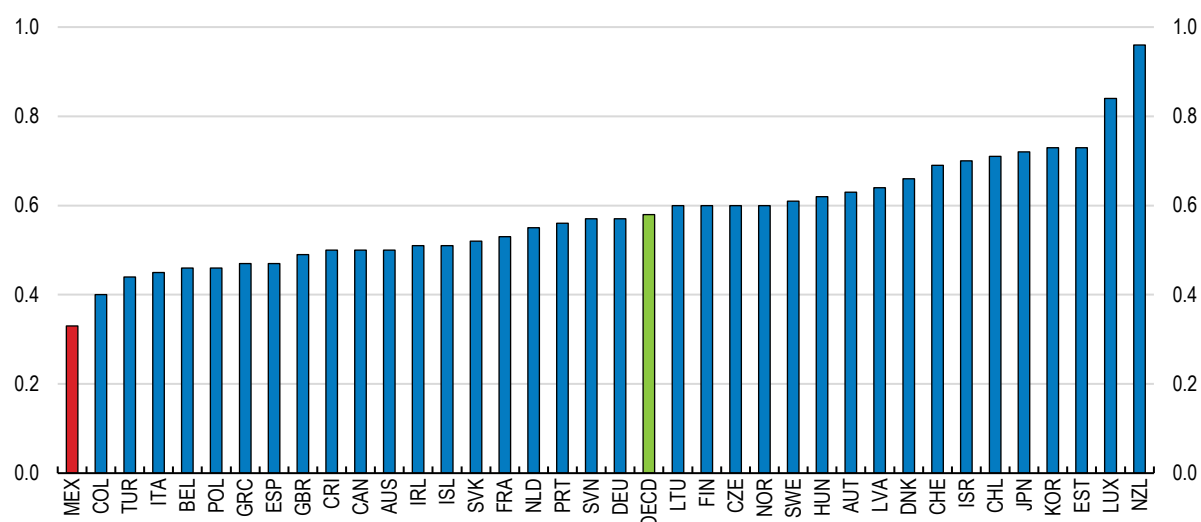
customs administration was approved in November 2025 with the aim of narrowing existing compliance gaps by addressing under-invoicing and the misuse of simplified regimes and more robust enforcement and digital tracking systems. There is also significant potential to increase tax revenue by tackling evasion linked to oil theft. Enhancing controls over fuel distribution and curbing illicit trade in hydrocarbons could help to increase tax revenues significantly, although the exact revenue potential is difficult to quantify.

Tax revenues could also be increased by reducing tax expenditures, particularly those that disproportionately benefit high-income households. Overall, tax expenditures amount to approximately 4% of GDP, with the largest component stemming from VAT exemptions and reduced rates, which account for 1.8% of GDP (Sec.Hacienda, 2025^[10]), and contribute to Mexico having the least efficient VAT system in the OECD (Figure 1.26). While such measures are often introduced with the aim of supporting low-income households, they also benefit higher-income groups and are widely recognised as poorly targeted (Thomas, 2024^[11]). Tax expenditures can also make the tax system complex. Targeted transfers are a more effective way to support the purchasing power of low-income households. In Mexico, replacing VAT exemptions and reduced rates with targeted VAT refunds could increase revenue by up to 0.8% of GDP while also contributing to poverty reduction (Kotlikoff, Lagarda and Marin, 2023^[12]). Mexico's tax administration has significantly upgraded its technological infrastructure and database systems, making the targeted refund technically feasible. These refunds could be delivered through debit cards, which would also promote financial inclusion, a key pending challenge highlighted in the 2022 OECD Economic Survey of Mexico. Mexico publishes an annual report quantifying tax expenditures, which enhances transparency and is a good basis for gradually phasing out inefficient tax expenditures.

A comparison with other OECD countries suggests that Mexico is currently underutilizing some taxes in terms of the revenue they generate (Figure 1.27). Revenues are concentrated in taxes on corporate profits and general consumption through VAT, while taxes on immovable property or environmental levies play a comparatively minor role (Figure 1.28).

Figure 1.26. There is significant room to broaden the VAT tax base

VAT Revenue Ratio (VRR), 2022



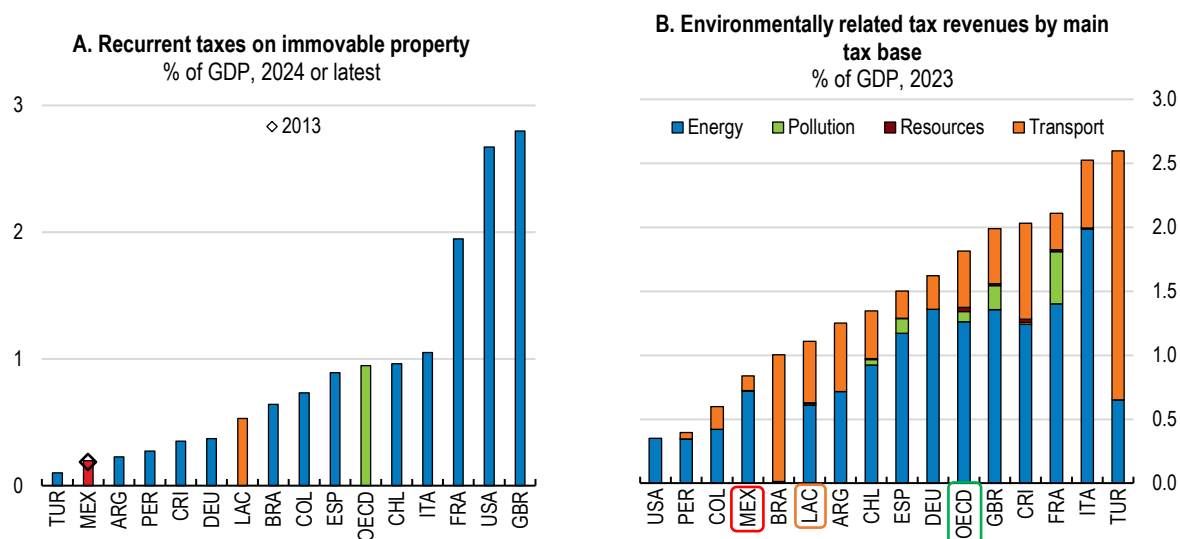
Note: The closer a country's VAT system is to a "pure" VAT as a broad-based tax on all final household consumption, the closer its VRR is to 1. A VRR close to 1 can be taken as an indicator of a VAT bearing uniformly on a broad base with effective tax collection. A lower value reflects such factors as the effects of reduced rates, exemptions or a failure to collect all tax due. In the absence of a uniform assessment of the potential VAT base for all OECD member countries, final consumption expenditure as measured by national accounts is considered the closest approximation. Final consumption expenditure in national accounts in OECD countries is measured according to the UN System of National Accounts (SNA).

Source: OECD (2024) *Consumption Tax Trends 2024*.

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Recurrent taxes on immovable property are among the most efficient and progressive forms of taxation. They create less distortions to economic activity and can deliver substantial revenues. Yet, property taxation in Mexico remains severely underutilized, as highlighted in previous OECD Economic Surveys of Mexico. They have averaged 0.18% of GDP over the past 15 years, down from 0.34% in the 1970s, far below the OECD average of 1.5%, and even below most Latin American peers. One of the main obstacles to effective property taxation is the lack of a modern, integrated cadastral system. Unlike countries such as Brazil and Colombia, Mexico does not have a national digital cadastre. Cadastral records are often fragmented across unconnected local databases or exist solely in paper format, and they are not linked to property registries. This disconnect undermines the government's ability to verify ownership, assess property values accurately, and enforce tax obligations. Furthermore, cadastral information is not updated regularly. While most OECD countries revise their cadastral rolls every three years, updates in Mexico are infrequent and ad hoc, occurring roughly every five years. To address these challenges, the newly created Digitalization Agency has been recently tasked with the development of a National Cadastral Platform. The platform should aim to ensure interoperability across the three levels of government, integrating cadastral and property registry data into a unified national system. In addition, property tax rates are set by municipalities within ranges established by state governments, which often results in rates being kept very low for political reasons, further limiting revenue collection. Establishing federal minimum bands could help prevent a "race to the bottom" in rates among states and strengthen the revenue potential of property taxation. To enhance political acceptability, the strengthening of property taxation should take place gradually and accompanied by transitional measures to protect taxpayers from sharp increases in property tax obligations.

Figure 1.27. Immovable property and environmental taxes yield relatively low revenues



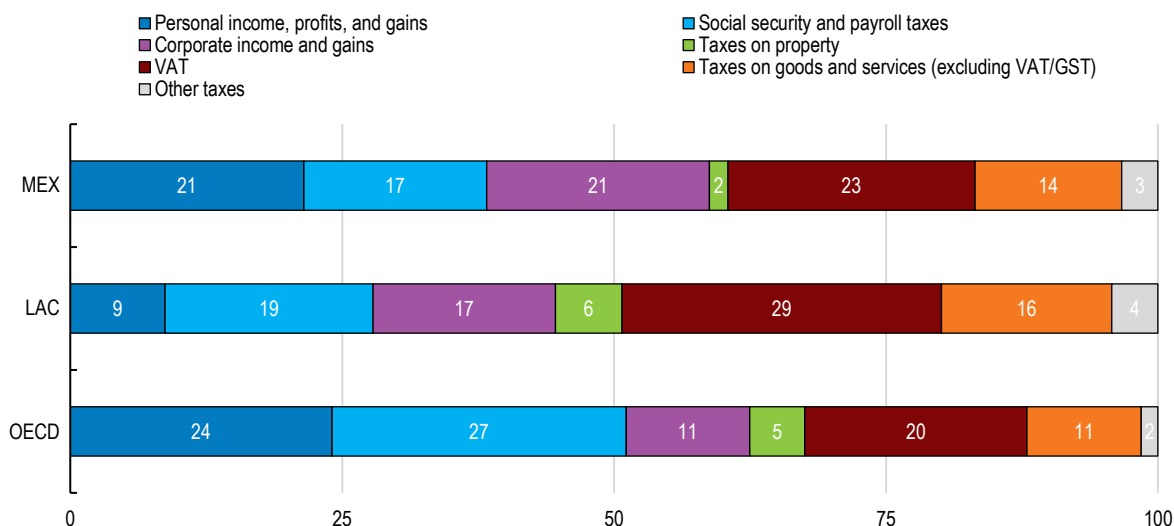
Note: LAC is an unweighted average of Chile, Colombia, Costa Rica, Argentina, Brazil, and Peru. OECD is an unweighted average of all member countries with available data.

Source: OECD Global Revenue Statistics (database).

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Figure 1.28. Mexico derives the highest share of revenues from VAT and corporate tax

% of total tax revenue, 2024



Note: LAC is a simple average of Chile, Colombia, Costa Rica, Argentina, Brazil, and Peru. OECD and LAC average refer to 2024 or latest.

Source: OECD Revenue Statistics in Latin America and the Caribbean (database); and OECD Revenue Statistics (database).

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Environmental taxation remains also underutilised in Mexico, limiting its potential to both support climate goals and mobilize additional revenue. The country introduced a carbon tax in 2014, but it applies only to a limited set of fossil fuels and at relatively low rates, with key sectors such as natural gas and gasoline effectively exempt. As a result, Mexico's effective carbon rates remain below OECD levels. In 2023, the average net effective carbon rate (including fuel excise taxes and explicit carbon pricing) was EUR 21.6 per tonne of CO₂, compared with an OECD average of EUR 76 (OECD, 2024_[13]). Broadening the carbon tax base and increasing rates in line with environmental externalities could strengthen price signals for emissions reduction while raising more revenues (see also Chapter 3). Expanding the carbon tax to all fossil fuels and aligning rates with carbon content could increase revenue by 1.8 % of GDP (OECD, 2024_[13]). Revenues could be used to support vulnerable households, finance green infrastructure, or offset other more distortionary taxes.

Taxes related to the purchase, ownership and usage of vehicles have become an important source of tax revenue for many OECD governments and are increasingly designed to influence consumer behaviour for environmental purposes. In Mexico, taxes on vehicle ownership or use (*tenencia*) were transferred from the federal government to the states in 2012. Currently, less than half of the 32 states collect vehicle taxes and collection is falling over time. Estimates from the Finance Ministry suggest that collection could increase by 0.3% of GDP with a more comprehensive collection through states. The federal government could enhance incentives for states to collect and green this tax, for example by allocating higher federal transfers to those states doing so. It could also establish minimum tax rates at the federal level to avoid the race to the bottom among states occurring in some parts of Mexico. Restructuring the vehicle tax so that it considers environmental performance would also incentivise the use of more energy-efficient vehicles, as exemplified by several OECD countries, such as France and Israel.

There is also potential to raise more revenues through health-related taxes. Mexico has recently announced increases in taxes on sugary drinks and tobacco, positive steps to both increase revenues and support better health outcomes. Ensuring that tobacco taxes remain indexed to inflation and real income growth also beyond 2030 would help preserve its effectiveness. There is also room to strengthen the taxation of alcoholic beverages. Enhancing the existing tax on consumption of alcohol beverages can both increase revenue with no regressive effects and improve its effectiveness in protecting public health. The tax is currently based on an ad-valorem system with different quotas according to alcoholic content. As a result lower quality beverages

with high degrees of alcohol, given the very low cost of production, are among the cheapest on the market, thus, curtailing the objective of the tax of improving health conditions (Rodríguez Quinto and Foncerrada Pascal, 2022^[14]). Changing it to a system in which the alcoholic content of the tax is directly taxed could increase revenue by 0.2% of GDP (Rodríguez Quinto, Sánchez Gómez and Foncerrada Pascal, 2025^[15]), with higher collection coming from higher-income households, while favoring the consumption of lower alcohol drinks with a positive impact on health conditions.

1.5. Strengthening governance

Improving governance is essential to boost growth and productivity and remains a long-standing challenge in Mexico. Weak rule of law, corruption, regulatory uncertainty and high levels of crime can weigh heavily on investment and economic dynamism. Strengthening the rule of law and judicial effectiveness would enhance contract enforcement and investor confidence. Preserving a stable and predictable regulatory framework is equally important to provide clarity for long-term investment decisions. At the same time, reducing corruption and reinforcing anti-crime strategies are critical to improve the business environment and safeguard citizens' security.

1.5.1. Recent reforms to the judiciary and sector regulators

Mexico has started to implement a significant judicial reform, according to which all judges nationwide will be elected by popular voter. According to the government, the reform aims to reduce corruption and restore public trust in the justice system. This reform is fully reshaping the judiciary. The roll out of the reform started on 1 June 2025, with the election of nine members of the Supreme Court of Justice, five members of a newly created Judicial Disciplinary Tribunal and half of the federal circuit and district court judges. Voter turnout was 13%. The remaining judicial positions will be filled in 2027. Mexico's reform is unprecedented worldwide, as it is the only country that is electing all judges via popular vote, which implies a risk of undermining judicial impartiality (USIP, 2024^[16]). According to several national and international observers, an electoral process without clear safeguards against political campaigning or party endorsement could expose the judiciary to increased political influence (FreedomHouse, 2024^[17]). A judiciary perceived as vulnerable to political influence may deter investment, particularly in politically sensitive sectors or those likely to face disputes involving State actors. Large multinational companies may rely on international arbitration mechanisms to manage legal risks, but smaller domestic firms, without access to such channels, could be more affected. While some professional qualifications were required to stand for election, there remains a significant risk that newly elected judges, many of whom lack significant prior judicial experience, will face a steep learning curve, slowing the functioning of the judiciary. To mitigate these risks, comprehensive and timely training programs could be deployed through the Federal Judicial Training Institute (*Escuela Federal de Formación Judicial*). The Institute can also play a critical role in strengthening the integrity of the new judiciary by providing robust training on judicial conduct, ethical standards, and accountability. In parallel, strengthening eligibility criteria for future judicial elections would help ensure that candidates possess sufficient experience and expertise before taking office. Although a reform of the judiciary was needed to improve access to justice, the current initiative does not directly address several long-standing challenges. These include the backlog of cases across federal and local courts, limited enforcement capacity of court rulings, weak protections for vulnerable groups or with specific legal and justice needs, such as women, and insufficient investment in digital and administrative infrastructure. Digital case management systems, electronic evidence submission and online court proceedings can expedite case resolutions and enhance transparency and accessibility, as recommended in 2024 OECD Economic Survey of Mexico.

Independent competition authorities and sector regulators are also essential to fostering private investment, as they help ensure open market access, prevent abuse of dominant positions and provide predictable, rules-based oversight of key economic sectors. In late 2024, a far-reaching constitutional reform eliminated from constitution the autonomy of several independent regulators, including the Federal Economic Competition

Commission (COFECE), the Energy Regulatory Commission (CRE), the National Hydrocarbons Commission (CNH), and also of the National Institute for Transparency (INAI), the National Council for the Evaluation of Social Development Policy (CONEVAL), and the National Commission for the Continuous Improvement of Education (MejorEdu). Their responsibilities were transferred to ministerial departments, reducing their formal independence and subordinating them to the executive. Under the new framework, competition and sectoral regulators have varying degrees of administrative and budgetary autonomy. This institutional shift has raised concerns about regulatory autonomy, transparency and the effective implementation of policies.

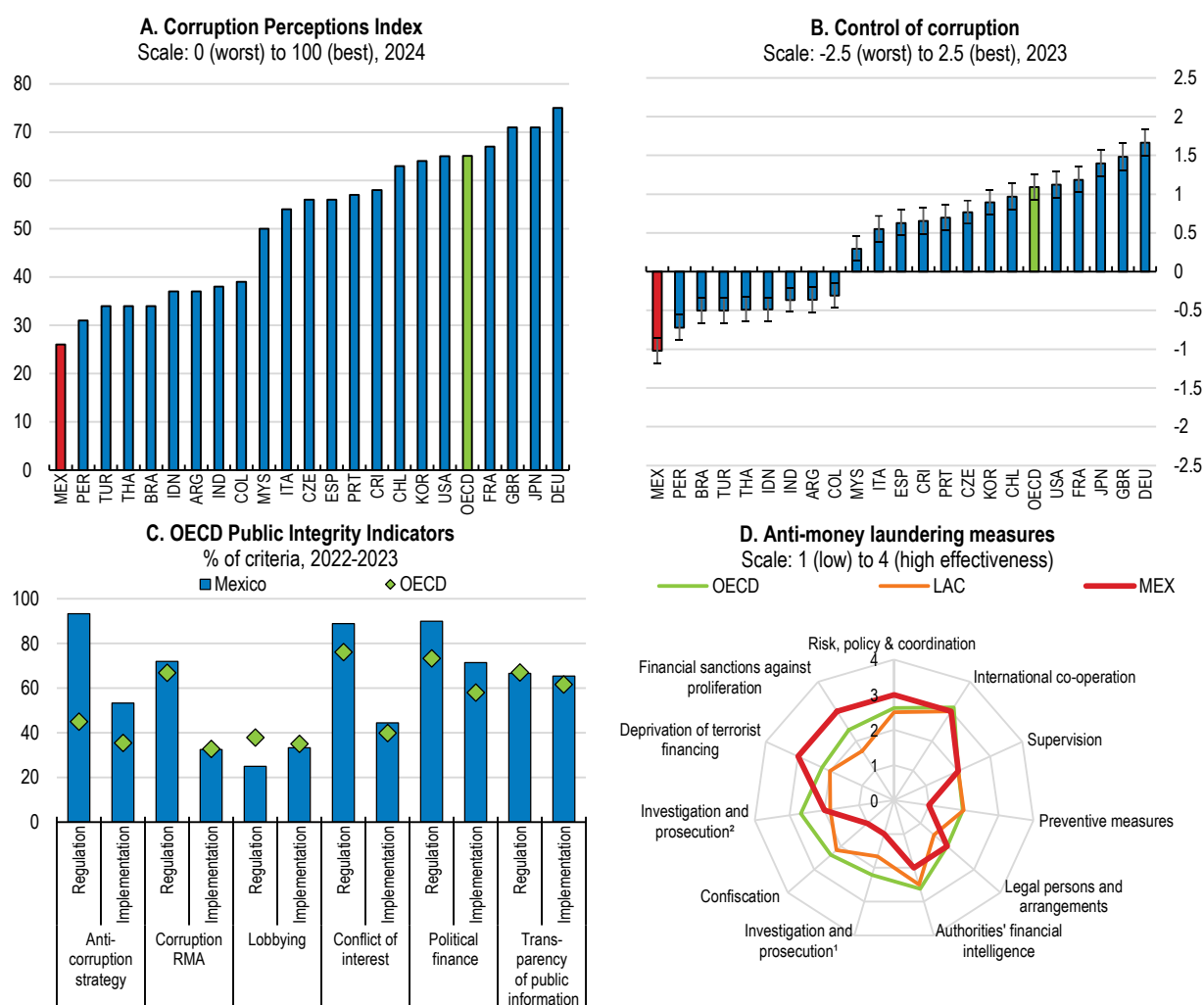
The highest level of autonomy is now granted to the newly created National Antitrust Commission, that replaces COFECE, the former independent competition authority. It is classified as a decentralized agency, with its own legal personality and greater control over budget and operations. Other sector regulators function now as deconcentrated agencies, with closer administrative and budgetary ties to their respective ministries (see also chapter 3 for energy regulator and chapter 4 for the telecommunications regulator). Safeguarding the credibility and effectiveness of these institutions will depend on insulating decision-making from political influence, by for example, decoupling board members' mandates from the political cycle, strengthening the technical requirements for appointments and ensuring adequate and predictable budgets. The reform also stipulates that economic activities and public companies considered “strategic” are excluded from competition law oversight. In Mexico, “strategic sectors” have traditionally encompassed activities linked to national sovereignty and security, such as hydrocarbons, electricity, and defence. However, their scope has been gradually broadened through executive decrees and now also includes, for example, state-provided internet services. This discretionary power to expand the definition of strategic sectors raises concerns that large areas of the economy could be excluded from competitive oversight, potentially entrenching monopolies, reducing investment, competitiveness and hindering job creation. Clearer definitions of “strategic sectors” that remains narrowly focused and aligned with international practices and applied transparently will be critical to preserve investor confidence and facilitate new investment and job creation.

1.5.2. Redoubling efforts to reduce corruption

Corruption perceptions in Mexico remain well above those observed in OECD and regional peers (Figure 1.29, panel A and B). In 2016 Mexico launched its National Anti-Corruption System, which includes a specialised anti-corruption prosecutor's office, an independent administrative tribunal, and a Citizen Participation Committee, along with parallel efforts at the state level. However, these initiatives have not yet delivered significant results. One likely reason is that key positions in anti-corruption institutions were not filled, weakening their operational effectiveness. The capacity to investigate and prosecute corruption cases, particularly at the subnational level, has remained limited. Of the 31445 cases opened by state-level anti-corruption prosecutors, only 243 resulted in a sanctioning sentence (less than 1%). At the current juncture a comprehensive evaluation of the reasons why the National Anti-Corruption System has not achieved its intended outcomes appears warranted.

Recent efforts are shifting toward a stronger emphasis on corruption prevention. These include improved training and ethical standards, as well as enhanced internal control mechanisms, particularly for positions exposed to higher corruption risks. In addition, work is underway to further regulate lobbying activities, an integrity area where Mexico lags most OECD countries (Figure 1.29, panel C), since current regulations only cover interest activities carried out before members of the Chamber of Deputies and the Senate and are set out in the internal rules of both houses rather than in a primary law.

Figure 1.29. Corruption perceptions remain high



Note: Panel B shows the point estimate and the margin of error. Panel C, Corruption RMA = Corruption risk-management and audit. Panel D shows ratings from the FATF peer reviews of each member to assess levels of implementation of the FATF Recommendations. The ratings reflect the extent to which a country's measures are effective against 11 immediate outcomes. "Investigation and prosecution¹" refers to money laundering. "Investigation and prosecution²" refers to terrorist financing. LAC is a simple average of Chile, Colombia, Mexico, Argentina, Brazil, and Peru. Source: *Transparency International* (database); *World Bank Worldwide Governance Indicators* (database); *OECD Public Integrity Indicators* (database); and OECD calculations based on OECD Financial Action Task Force (FATF).

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Mexico has gradually strengthened its anti-money laundering framework, but some gaps remain (Figure 1.29, panel D). According to the latest Financial Action Task Force assessment, the country lags in implementing preventive measures and securing effective investigation and prosecution. Customer due diligence remains uneven across sectors, and beneficial ownership data is often incomplete. Strengthening supervision and enforcement, particularly in high-risk sectors such as real estate, legal, and accounting services, would improve compliance. To improve investigation and prosecution outcomes, authorities should expand financial intelligence capacity, promote inter-agency coordination, and ensure that financial investigations routinely accompany criminal cases.

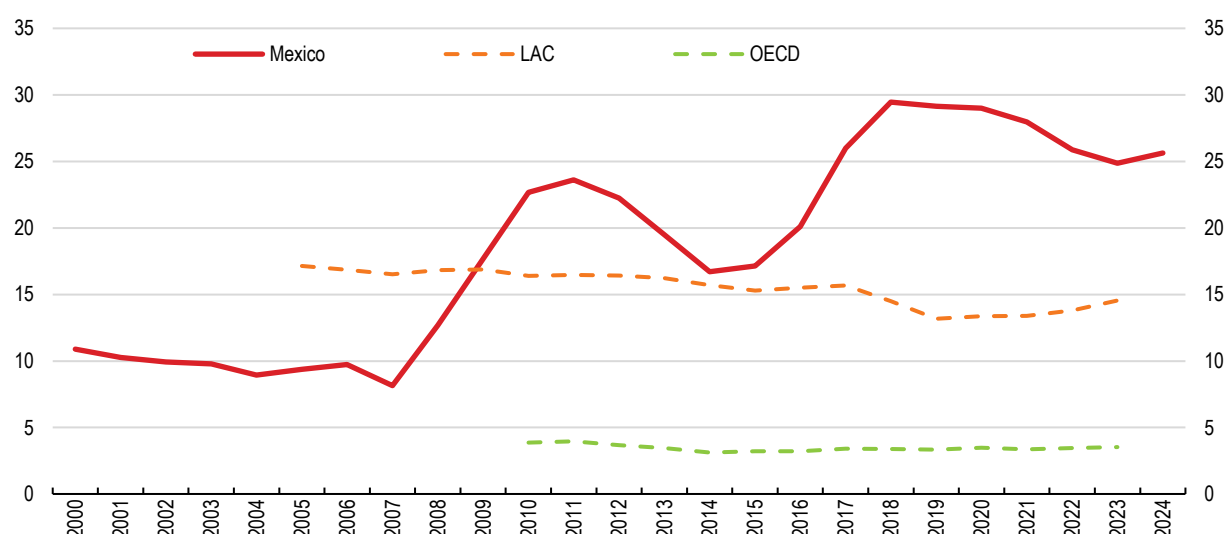
1.5.3. A new security strategy is in place to fight crime

Crime remains high (Figure 1.30) and continues to be a major concern for firms (Figure 1.31) and citizens. Crime limits investment and is estimated to reduce growth by around 1 to 2 percentage points annually (IMF,

2024^[18]; IDB, 2024^[19]). Acknowledging this challenge, Mexico has recently put in place a new security strategy, placing stronger emphasis on intelligence gathering and investigative capacity. A central element is the transformation of the National Intelligence Centre, which has shifted its focus from political intelligence toward public security. The strategy builds on the model implemented in Mexico City during President Sheinbaum's tenure as mayor and also strengthens coordination between the Ministry of Security, the Attorney General's Office, and the 32 states, supported by daily coordination meetings. According to the government, these measures, introduced in September 2024, have already contributed to a 26% reduction in the daily average number of homicides. Official statistics also report declines across some crime categories, with the notable exceptions of extortion and missing persons.

Figure 1.30. Homicide rates have recently fallen according to official statistics but remain very high

Homicide rate, per 100 000 people



Note: LAC is a simple average of Chile, Colombia, Costa Rica, Argentina, and Brazil. OECD is a simple average of 29 OECD member countries with available data.

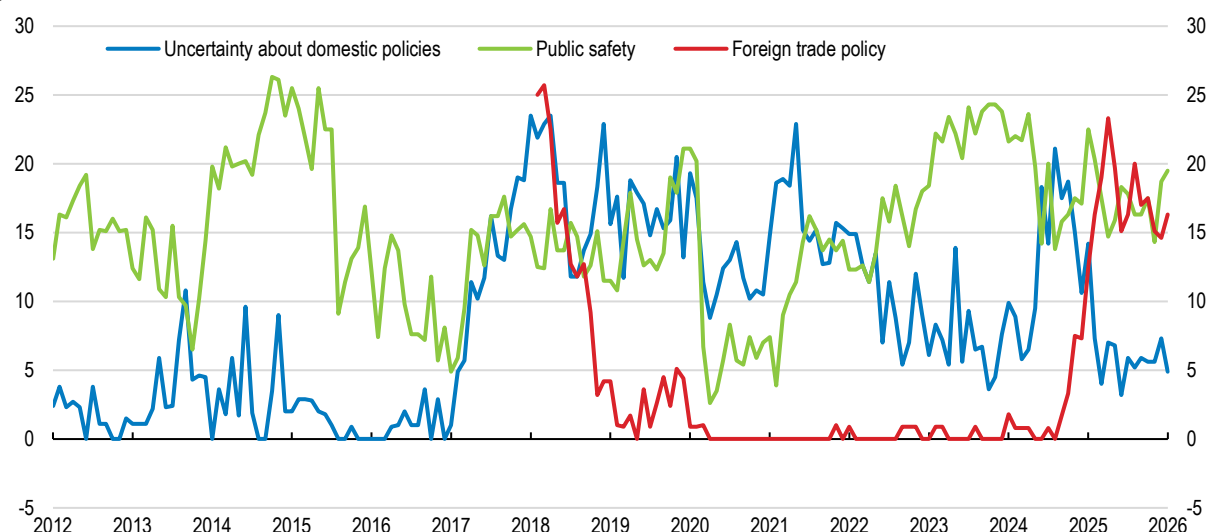
Source: INEGI; *World Development Indicators* (database); and data UNODC (database).

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Extortion is increasingly used by criminal groups to infiltrate and control segments of the formal economy, particularly in retail, transport, and construction. A key obstacle to addressing this crime is high impunity, driven by widespread underreporting. Many victims refrain from filing complaints due to fear of retaliation or lack of trust in local authorities. Expanding and simplifying accessible, anonymous reporting mechanisms would represent an important step forward, as they could empower victims and improve detection. Legal reforms could further strengthen the response, notably by reclassifying extortion as a federal crime and allowing authorities to investigate and prosecute cases even in the absence of a formal victim complaint.

Figure 1.31. Public safety is a key concern for firms

% of responses of private sector economics specialists identifying uncertainty and safety as risks for economic growth



Note: Specialists were asked the following question: "In your opinion, what are the three principal factors that will limit growth in economic activity over the next six months?"; they could select up to three factors.

Source: *Banxico Encuestas Sobre las Expectativas de los Especialistas en Economía del Sector Privado* (database).

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Further reductions in crime will require sustained efforts to strengthen intelligence capabilities. This implies scaling up financial, technological, and human resources. A step in this direction is the planned creation of a National Public Security Academy, with the aim of training 2500 new agents. However, efforts at the federal level will need to be replicated in the states, where institutional capacity varies. Strengthening subnational security institutions, including state governments, police forces, and prosecutors, is essential. Enhancing the role of the Ministry of Security as a regulatory authority in public security could help advance progress at state level. Higher budget allocations at both the federal and state levels would also be needed. Mexico's federal spending on public security and justice amounted to 0.7% of GDP in 2024 below the OECD average of 1.8% and the Latin American average of 1.5%. Part of the additional financing should be directed toward improving data collection, including its frequency and disaggregation. This would allow to better track security dynamics and further support evidence-based policy design and implementation.

Table 1.8. Policy recommendations

MAIN FINDINGS	RECOMMENDATIONS (Key recommendations in bold)
Strengthening growth	
Exporting under the USMCA enables tariff-free access to the United States. The absence of a unified digital platform for managing origin certificates increases administrative burdens and compliance risks.	Simplify and digitalize the certification process for origin certificates through user-friendly e-certification tools and simplify customs clearance procedures.
A deep judicial reform is underway. A judiciary perceived as partial can deter investment, particularly by domestic firms. Despite formal eligibility requirements, many of the newly elected judges lack significant prior judicial experience, which can slow judicial processes.	Strengthen accountability and technical capacity through targeted training for all incoming judges. Strengthen eligibility criteria for future judicial elections to secure greater professional experience and expertise among incoming judges.
A recent constitutional reform in Mexico removes the formal independence of the competition authority and sector regulators by placing them under line ministries. It also exempted strategic sectors, whose scope has been increasingly expanded, from competition law.	Ensure the de facto independence of the competition authority and sector regulators by decoupling board members' mandates from the political cycle, strengthening technical requirements for appointments and ensuring adequate budgets. Keep the definition of "strategic sectors" narrowly defined and aligned with international standards.

Safeguarding macroeconomic stability	
Inflation has eased but remains close to 4%. The Central Bank has reduced the policy rate by 425 basis points, but the monetary stance remained restrictive up to November. Economic growth is moderate, and existing slack limits demand pressures.	Continue a gradual, prudent, and data-dependent reduction in the policy rate.
With inflation gradually receding but expectations still above target, further enhancements in communication would help to better anchor expectations.	Continue improving monetary policy communication.
The public sector deficit significantly increased in 2024, to 5%, the highest in 35 years. The deficit decreased to 3.9% in 2025 and, according to the 2026 budget, is expected to fall to 3.6% in 2026 and to 3% in 2027. The measures underpinning this additional consolidation have not yet been defined. Debt servicing costs will significantly increase to 4.1% of GDP in 2026.	Further reduce the fiscal deficit in a steady and gradual manner, anchored in well-defined and credible measures, including raising more revenues and improving the targeting and quality of spending.
Public spending is relatively low. Rising public spending on debt interest spending, PEMEX, and non-contributory pensions have reduced the fiscal space available for priority spending such as education, health, digitalization and the green transition. Mexico has the lowest tax-to-GDP ratio of the OECD. The absence of a medium-term fiscal framework limits strategic planning and hampers reconciling spending needs with fiscal prudence.	Anchor fiscal policy in a medium-term framework that creates room for priority spending, while financing it through stronger and more efficient revenues, prioritizing tax areas with the biggest revenue raising potential, such as property taxes and improved custom administration.
Budget rigidity has increased due to higher debt-servicing costs, the expansion of universal social programmes and ongoing support to PEMEX. Key infrastructure projects remain exempt from recent improvements in public works transparency.	Strengthen public spending efficiency through systematic spending reviews, transparent cost-benefit analysis in infrastructure project selection, and better targeting of social policies.
VAT exemptions and reduced rates account for 1.8% of GDP. They also benefit high-income households and contribute to Mexico having the least efficient VAT system in the OECD. There is room to increase revenue mobilization by further simplifying tax procedures and preventing fraud.	Broaden the VAT base while putting in place targeted refunds to low-income households and pursue further efforts to facilitate tax compliance and combat tax fraud.
Mexico's fiscal framework does not smooth economic fluctuations and its capacity to provide countercyclical support during downturns is weak, particularly when the stabilization fund is depleted.	Replace the two-balanced budget rules with a debt anchor, broaden the coverage of the expenditure rule and reduce the number and better-define escape clauses, specifying a path to return to compliance.
Public support to PEMEX has increased and is sizeable but its financial situation remains difficult, with output declining and insufficient liquidity to meet debt obligations and maintain ongoing projects.	Strictly condition any additional support to PEMEX to structural improvements to its business strategy and to adopting OECD guidelines for SOEs governance.
A new public procurement law holds potential to enhance transparency and accountability, particularly through the systematic use of a centralized digital platform. Full implementation will require significant coordination and capacity-building. Exemptions, such as the armed forces and public enterprises, limit the law's overall impact.	Ensure comprehensive use of the digital procurement across the public sector and eliminate exceptions. Deploy targeted training and capacity-building for public procurement officials.
Mexico's sustainable taxonomy can serve as a valuable tool to improve the quality and effectiveness of public spending. So far, it has been applied ex post to classify a growing share of expenditures, but not yet ex ante during budget preparation.	Integrate the sustainable taxonomy into the budget preparation process to better guide spending decisions.
Reducing corruption and crime	
Corruption perceptions remain high. The National Anti-Corruption System, despite its comprehensiveness, has not delivered the expected results.	Conduct an independent evaluation of the National Anti-Corruption System.
Mexico has strengthened its anti-money laundering framework but lags in preventive measures and the investigation and prosecution of financial crimes.	Expand financial intelligence capacity, improve oversight in high-risk sectors, and ensure financial investigations systematically accompany criminal proceedings.
Crime remains a key concern for firms and citizens and reduces significantly growth. A new national security strategy has strengthened intelligence and coordination and contributed to a decline in homicides. Intelligence and investigative capacities remain uneven across states.	Further reinforce intelligence capacities across federal and state levels by scaling up financial, technological, and human resources. Enhance the frequency and level of disaggregation in security data collection.
Extortion remains a growing challenge, with high levels of impunity. Victims refrain from filing formal complaints due to fear of retaliation or lack of trust in local authorities.	Simplify anonymous reporting channels and enable federal authorities to investigate and prosecute cases without requiring a formal victim complaint.

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2 Reducing informality by building skills and facilitating women's employment

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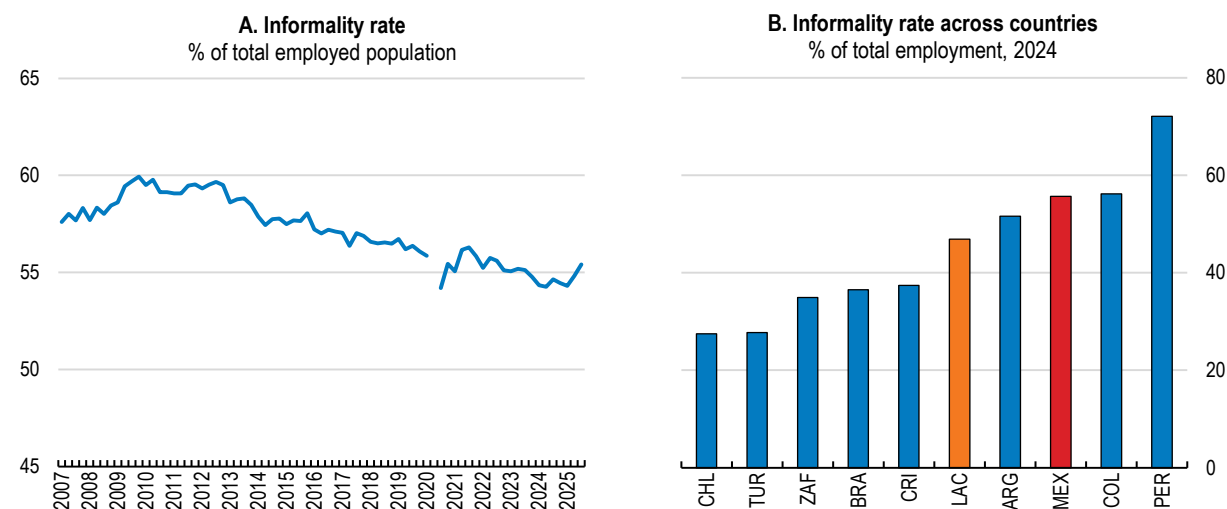
Labour informality remains widespread in Mexico, constraining inclusion, productivity and fiscal revenues. Reducing it requires a comprehensive strategy across several policy areas, including reducing regulatory burden associated to formalising firms and workers and facilitating tax compliance. This chapter focuses on how strengthening skills and facilitating women employment can help bring informality down. Informality is strongly linked to educational attainment, with informality rates particularly high among those who have not completed secondary education. Ensuring that more students finish secondary education is a central priority, requiring early identification of those at risk of dropping out and targeted support. Better aligning education with labour market needs, both through dual vocational programmes and at university, would also expand access to formal jobs. Women face additional barriers in balancing paid formal work with care responsibilities. Limited access to childcare and short school schedules prevent many women from accessing jobs, especially formal jobs, or pursuing training.

2.1. Informality remains high

With approximately 55% of employment outside the formal sector, or approximately 32 million people, Mexico has the second highest labour market informality rate among OECD countries and one of the highest in Latin America (Figure 2.1). Informality is deeply entrenched and is both a symptom and a driver of deeper structural issues, including persistent poverty, low productivity, high income inequality, a narrow tax base and limited access to social protection. While several reforms have sought to reduce informality (Table 2.1), it remains high, despite a slight gradual decline, and it has recently started to increase again.

As in other countries in the region, informality has no single cause (Arnold et al., 2024^[1]). Previous OECD Economic Surveys have stressed the need for a comprehensive strategy cutting across multiple policy areas (Table 2.1). Past surveys have highlighted, in particular, the importance of reducing regulatory burdens (OECD, 2022^[2]) and strengthening social protection (OECD, 2024^[3]). Positive steps have been taken in recent years to enhance social protection and incentivise the transition to formality, notably the 2021 pension reform, which broadened access to more attractive contributory benefits, thereby encouraging formal employment. To mitigate potential adverse effects on job creation for low-wage workers, the reform was financed through a gradual and progressive increase in employer contributions between 2023 and 2030, with higher rates applying to higher-wage workers. At the same time, the continued expansion of non-contributory pensions (see Chapter 1) should be carefully evaluated and, if necessary, adjusted to preserve incentives for formal employment participation. Further increases in the minimum wage, which increased since 2018 from 42% of the median formal sector wage to 74% in 2024, should be cautious and aligned with labour productivity growth to limit their potential negative impact on formal employment, particularly among young and low-skilled workers, as recommended in the 2024 OECD Economic Survey of Mexico. Boosting financial inclusion can also help reduce informality, as highlighted in the 2022 OECD Economic Survey, with digital payment platforms offering significant potential to accelerate progress.

Figure 2.1. Labour informality has been coming down but remains high



Note: Panel A shows informal work as measured by INEGI, which includes workers who are vulnerable due to the nature of the economic unit where they work (the informal sector) as well as those whose employment relationship is not formally recognised by their employer, even if they work in formal enterprises. Panel B shows the ILO definition of informal employment as self-employment in informal enterprises (small, unregistered enterprises) and wage employment in unprotected jobs, meaning jobs with no social contributions, in both formal and informal enterprises. The ILO definition of informality might differ from that of INEGI. LAC is the simple average of Chile, Colombia, Costa Rica, Argentina, Brazil, and Peru.

Source: INEGI Encuesta Nacional de Ocupación y Empleo (ENOE) (database); and ILOSTAT (database).

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Digital single-window facilities, discussed in Chapter 4 of this Survey, could help reduce informality by lowering the economic and administrative costs of compliance with regulations. This chapter focuses on how building skills and facilitating female labour market participation can contribute to reducing informality. Equipping

workers with stronger skills and expanding opportunities for women not only improves their productivity and earnings but also increases their capacity to join and remain in the formal sector.

Table 2.1. Recent reforms aimed at reducing informality in Mexico

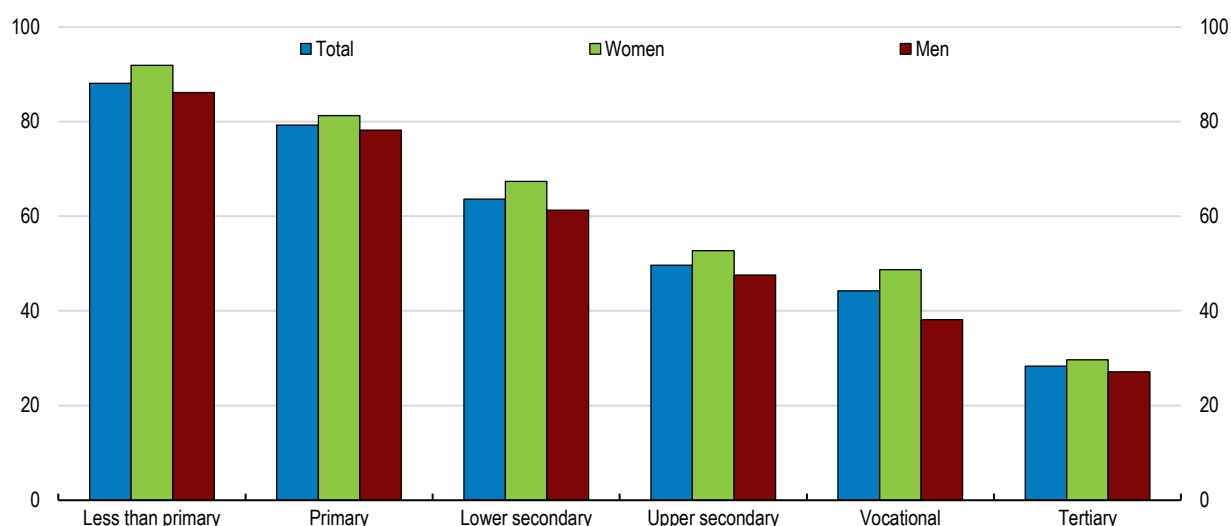
Reform	Description
Outsourcing law reform (2021)	Restricting subcontracting practices
Regimen simplificado de confianza (2022)	Simplified tax regime for micro-enterprises and professionals
Targeted social security regimes	Fostering formalisation among certain groups of workers, such as domestic workers, by reducing social security contributions and simplifying enrolment procedures
Digital platform workers (2024)	Granting workers access to social security and labour rights

2.2. Strengthening skills development

Informality is closely linked to educational outcomes, with informality rates particularly high among those who have not completed secondary education (Figure 2.2). Many young people leave school before finishing secondary education (Figure 2.3) and often enter informal jobs where opportunities for further training are limited. Beyond completion, the quality and relevance of education are also critical for reducing informality. PISA results show that many students leave secondary school without mastering basic competencies, limiting their ability to transition into formal jobs. This creates a vicious cycle: limited skills lead to low productivity, which in turn confines workers to low-paid informal jobs with little scope to upgrade their skills. The result is a self-reinforcing trap that constrains individual prospects and weighs on economic growth. Informality is not confined only to those with lower levels of schooling. Nearly 30% of university graduates are also employed informally, underscoring that the challenge is not only access to education but also the mismatch between education and labour market needs. Strengthening learning outcomes, by raising secondary completion rates and improving the quality and relevance of education, especially in disadvantaged regions (Box 2.1), is therefore critical to reduce informality.

Figure 2.2. Workers with lower education are more likely to end up in informal employment

Informality rate by education level, % of workers, 2025-Q3



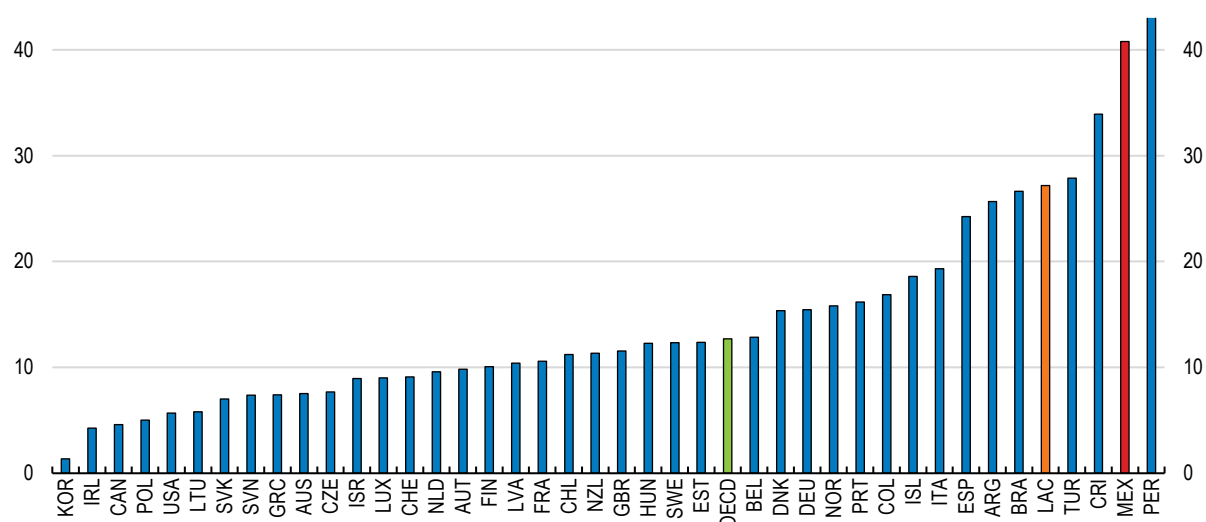
Note: Vocational education includes technical education (“*educación técnica*”) at upper secondary, post-secondary non-tertiary and short-cycle tertiary levels.

Source: OECD calculations based on INEGI *Encuesta Nacional de Ocupación y Empleo (ENOE)* (database).

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Figure 2.3. Many Mexicans have not finished secondary education

% of 25–34-year-olds with below upper-secondary education as the highest level attained, 2024



Note: LAC is a simple average of Chile, Colombia, Costa Rica, Argentina, Brazil, and Peru.

Source: OECD Education at a Glance (database).

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Box 2.1. There are significant differences in skills across Mexico

Going beyond a single indicator helps to better assess the skills situation, capturing both the quantity and relevance of skills across the workforce. A composite skills index offers a more robust and comprehensive measure, as it integrates multiple dimensions, such as skills development (e.g. tertiary graduates, vocational students) and the transition from school to work (e.g. early leavers from education and training). By combining these indicators into a single framework, the index allows for a clearer comparison across regions and a more accurate identification of policy priorities. Constructing such an index for Mexico at the state level (Boumahdi and González-Pandiella, mimeo^[4]) confirms marked disparities (Figure 2.4). Northern states such as Nuevo León and central states such as Jalisco, Querétaro and Mexico City record higher values, while southern states lag behind. Informality rates are higher in southern states, where both education quality and access are worse (Figure 2.5), highlighting the importance of strengthening skills to foster formal employment. The stark differences in education quality between the northern and southern states underscores the need to better target spending by giving greater weight to the need to boost education quality in the allocation of the education transfer among states, as recommended in the 2024 OECD Economic Survey. The index further shows that skill gaps exist across all levels of education, underlining the need for policy action throughout the education system (Boumahdi and González-Pandiella, mimeo^[4]), as proposed in this chapter.

Figure 2.4. There are significant differences in skill levels across Mexico

Skills Index, 2023

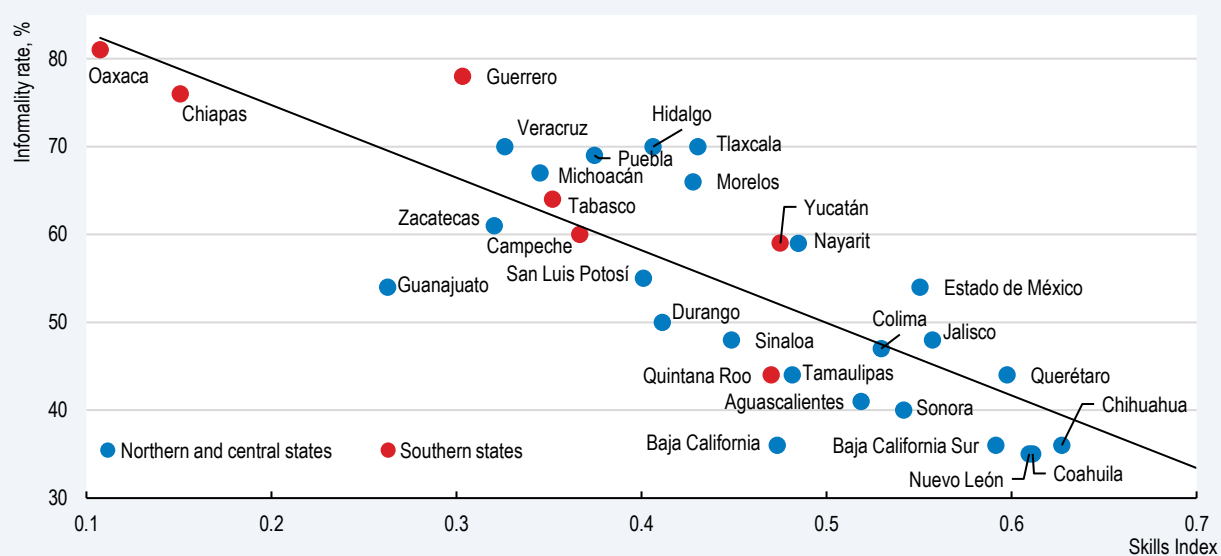


Source: (Boumahdi and González-Pandiella, mimeo_[4]).

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Figure 2.5. States with higher skill levels tend to display lower informality rates

Informality rate and Skills Index 2024, by state



Note: Significant correlation (-0.81) between informal employment and Skills Index at 0.001 level.

Source: (Boumahdi and González-Pandiella, mimeo_[4]).

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Reducing informality requires progress across the entire education system, from early education to tertiary, to help students acquire the skills needed for formal employment. Strengthening foundational skills, particularly literacy, numeracy and problem-solving, should be a priority, as persistent gaps at early ages limit later learning progression and contribute to high dropout rates. Increasing public spending on education, which remains relatively low (see Chapter 1), is as important as ensuring that the additional spending is used effectively. For example, to enable more students to successfully complete secondary education, a stronger data infrastructure to monitor student progression and identify those at risk of dropping out is necessary, as illustrated by successful strategies in some OECD countries (Box 2.2) and recommended in the 2024 Economic Survey (Table 2.2). Enhanced data systems could also facilitate identifying under-resourced schools and support targeted measures to reduce inequities in learning conditions.

Another key step would be the introduction of a national, standardised diagnostic test, administered annually, to assess learning outcomes and detect early signs of academic lag. Such a tool would allow a consistent measurement of performance across schools and regions, help target tutoring support to students most in need and detect in which subject areas teacher training should be prioritised. At present, resources for teacher development are highly constrained. The federal budget for teacher training amounts to just seven dollars per teacher and is often not even fully used. Strengthening teacher capacity will therefore require not only gradually increasing funding but also improving the planning and execution of training programmes. Closely involving teachers in the design of training and professional development programmes can also help build consensus around the necessary changes in the education system.

Box 2.2. Reducing dropouts while improving education quality: the case of Portugal

Portugal has made remarkable progress in reducing early school leaving while improving education quality, as reflected in rising PISA scores. Two decades ago, nearly 40% of young people left education before completing upper secondary, one of the highest rates in the EU. Through successive reforms, the early school leaving rate fell to about 6% in 2022. Key measures included extending compulsory schooling to age 18, introducing more flexible pathways that combine general and vocational education, and expanding targeted support for students at risk of dropping out. Schools were given greater autonomy to adapt curricula to local contexts, while national learning assessments and early warning systems helped identify struggling students and guide remedial support. Teacher professional development was also strengthened, with greater emphasis on collaborative practices and continuous feedback. At the same time, Portugal invested in disadvantaged schools and municipalities, often with the support of EU structural funds, to reduce inequalities in access and outcomes. These reforms not only reduced early school leaving but also improved learning outcomes. Portuguese students, once among the lowest performers in the OECD, now perform at the OECD average in reading, mathematics and science (Edulog, 2024^[5]) and (OECD, 2023^[6])

Table 2.2. Past OECD recommendations on social policies

Past OECD recommendations	Actions taken since the 2024 survey
Pursue a comprehensive strategy to reduce informality, including by providing income support to low-income households through the personal income tax or reducing firms' registration and licensing costs at the state and municipal level.	Efforts to reduce the regulatory burden and facilitate firms' registration through digital windows are underway, as detailed in Chapter 4.
Identify students in need of support, provide them with targeted tutoring and assess and resolve teachers training needs.	No action taken.
Establish a federal network of early education and care facilities giving priority to low-income households. Expand elderly formal care services, including home- and community-based care.	The National Development Plan 2025-2030 foresees the creation of a care network.

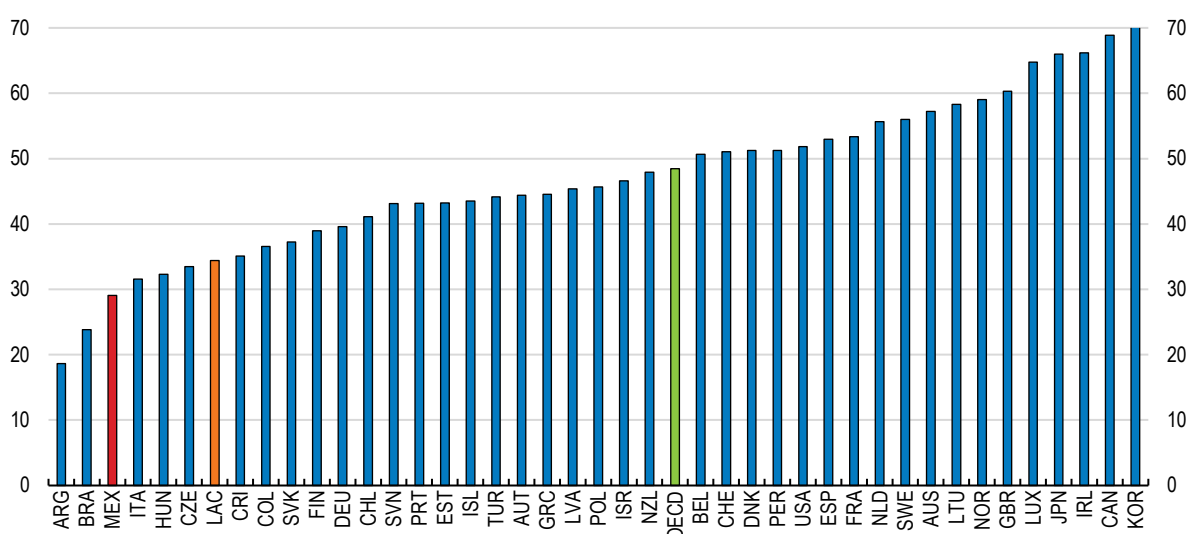
At tertiary level, Mexico faces two interrelated challenges: expanding the number of graduates (Figure 2.6) and better aligning educational programmes with labour market demand. The country produces around one million university graduates each year, yet many struggle to find jobs that match their qualifications. This

mismatch reflects both limited diversification in career choices and an insufficient response of higher education institutions to evolving labour market needs. Half of all graduates come from just ten fields of study, mainly traditional disciplines such as law and business administration (IMCO, 2024^[7]), with little shift in career choices compared to a decade ago, despite the growing demand for new skills. Despite strong demand from firms, training in digital fields such as software development, data analysis and cybersecurity remains limited, as discussed in Chapter 4. Beyond digital skills, Mexico's integration into global value chains in automotive, aerospace and electronics has created growing demand for technicians in robotics, automation, industrial maintenance, and electromechanics. Without these skills, many young graduates are unable to access higher-productivity opportunities in advanced industries. This could explain why nearly 30% of university graduates are employed informally, while at the same time businesses face significant talent shortages, with three out of four firms reporting difficulties filling skilled positions (IMCO, 2023^[8]). This mismatch shows that many graduates are trained for fields where formal job opportunities are limited, while fast-growing sectors, like advanced manufacturing, lack qualified workers. Unless addressed, these gaps are likely to widen as global production patterns evolve and nearshoring accelerates demand for workers in advanced manufacturing, engineering, and digital services (see also Chapter 4 in this survey). Strengthening the alignment between tertiary education and labour market needs would not only ease skills shortages but also expand access to higher-productivity, formal employment opportunities for young graduates. This will require closer collaboration with employers to adapt curricula, expand dual education models, and improve career guidance systems.

Strengthening professional orientation at all levels of education is also essential to help students make informed career choices and acquire skills relevant to labour market needs, including through vocational education programmes. Embedding career orientation and skills development modules in upper-secondary technical education could better prepare students for employment or further training. Countries such as Germany and Austria have successfully integrated dual vocational and tertiary programmes with strong private sector involvement, while Ireland and Finland regularly use labour market forecasts to adjust university admission quotas and fields of study. Denmark, the Netherlands and New Zealand provide good examples of comprehensive career guidance systems, combining personalised counselling with digital tools and labour market information to support students' choices.

Figure 2.6. The share of tertiary graduates is comparatively low

% of 25–34-year-olds with tertiary education as the highest level attained, 2024



Note: LAC refers to Chile, Colombia, Costa Rica, Argentina, Brazil, and Peru.

Source: OECD Education at a Glance (database).

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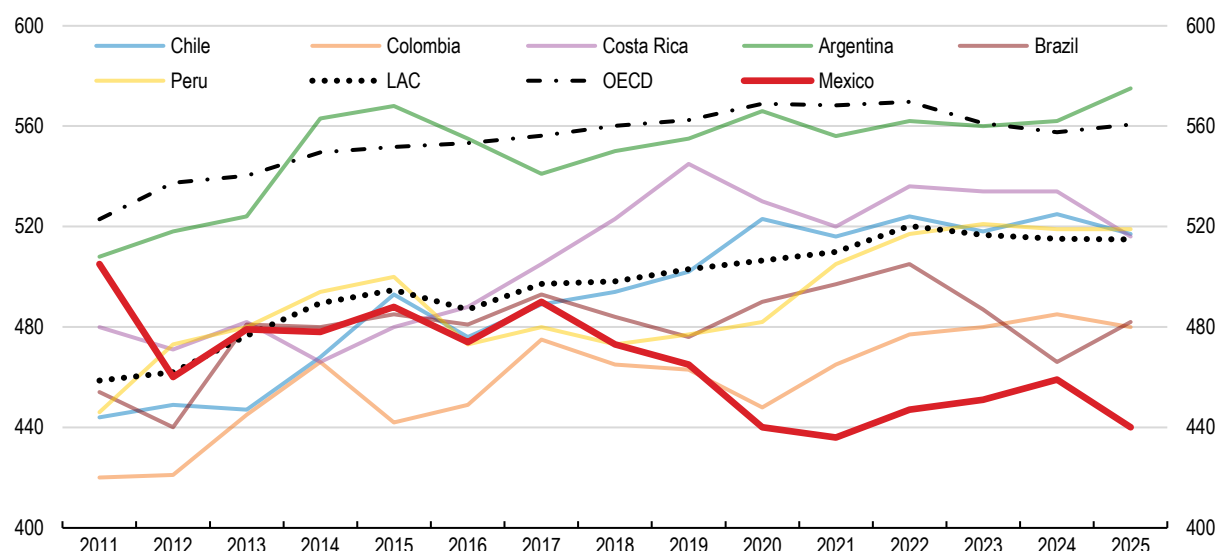
In the short to medium term, vocational education and adult upskilling could provide an essential bridge for workers currently in the informal sector. International experience from countries such as Austria, Germany and Switzerland shows that vocational education is particularly effective in re-engaging adults who exited the formal education system prematurely. Dual training models developed in partnership with German authorities have delivered promising results in Mexico in skills acquisition and job placement. Several states (e.g. Guanajuato, Queretaro and Puebla) are also implementing valuable initiatives in the automotive sector, anticipating and responding to skill needs arising from automation, in close collaboration with the private sector (SecEconomía, 2025^[9]). Expanding such upskilling and reskilling programmes, particularly in technical and skilled trades, would support smoother transitions into formal employment. This will require financial support mechanisms (such as reserved scholarships), institutional arrangements that enable small and medium-sized enterprises to participate meaningfully in training provision, such as shared training centres, and sustained collaboration with the private sector. Firms also play a crucial role in strengthening workforce skills through in-house training and continuous learning programmes. Promoting incentives for companies to invest in the training of their employees, such as tax recognition schemes or co-financed training funds, could help expand participation and demonstrate the productivity benefits of staff development. Firms engaging systematically in training enjoy higher productivity growth and lower turnover, while workers benefit from improved employability and greater access to formal jobs (OECD, 2021^[10]). Recognising the legal status of apprentices would further support the expansion of dual vocational education by providing legal certainty for employers and trainees and encouraging firms to participate more actively in such programmes.

In response to these challenges, *Plan México* sets an important target of increasing by 2030 the annual number of professionals and technicians by 150 000 beyond current graduation levels. Given that the country currently produces around 777 000 professionals per year, this target represents a 20% increase and is a step in the right direction toward expanding the pool of skilled workers and facilitating access to formal employment. *Plan México* also includes initiatives to map existing skills and capacities across strategic sectors, helping to identify gaps between labour supply and demand. Extending these skills mapping efforts to other areas of the economy, such as the care sector, could facilitate that training policies respond to emerging labour needs in that area (see also section 2.3. in this chapter). To reach its objective, the plan envisages expanding access to technological high schools and universities, and strengthening vocational and technical tracks, including in underserved regions. To ensure that this expansion translates into better labour market outcomes, VET and tertiary education programmes need to be updated and provided in close consultation with employers, so that graduates acquire skills aligned with evolving demand. The job fairs planned under *Plan México* can also help connect graduates with formal employment opportunities and improve the matching between skills and labour demand. Some states, such as Nuevo León, Querétaro and Jalisco, have already in place skills forecasting methods and have adapted curricula in partnership with the private sector, but these initiatives remain uneven and must be scaled up significantly to meet national needs.

Strengthening language skills is another priority. A pressing challenge is the limited proficiency in English (Figure 2.7) across much of the workforce. Evidence shows that improving English skills can significantly expand employment opportunities, particularly for low-skilled workers and women (Galvez-Soriano, 2024^[11]). Proficiency in English, combined with the completion of secondary education, is often a prerequisite for accessing formal employment, especially in sectors linked to global value chains. Yet many students in Mexico begin English instruction only in secondary school, when achieving high proficiency is more difficult. By contrast, countries such as Argentina and Chile have successfully expanded early English instruction into primary school. Moreover, learning outcomes are hampered by the absence of a standardised test to monitor progress, highlighted earlier in this chapter, and by limited funding for teacher training and instructional materials.

Figure 2.7. There is a pressing need to improve English skills

English Proficiency Index (EPI), score



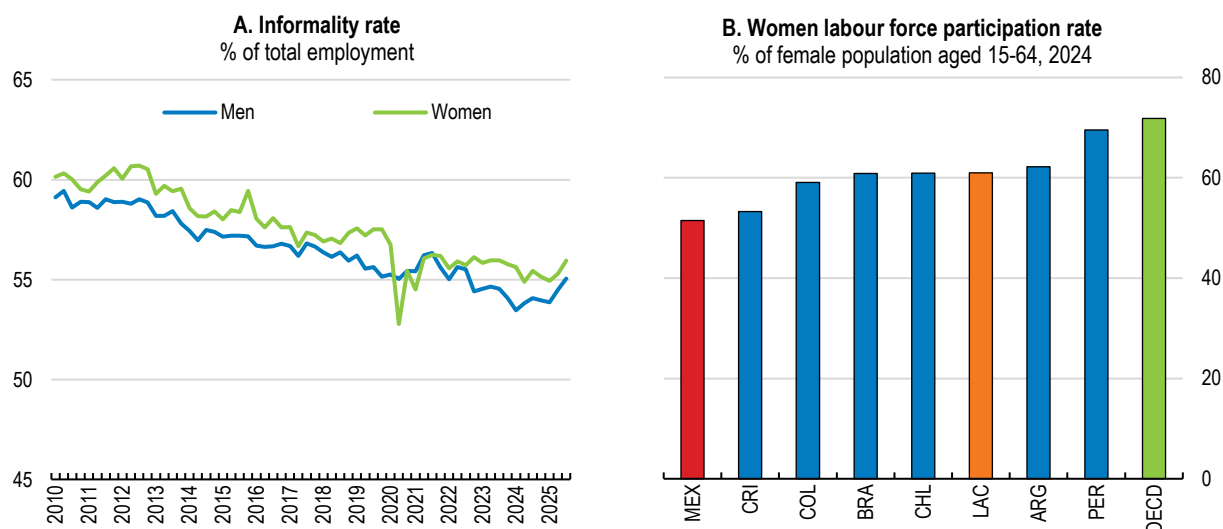
Note: LAC is the simple average of Chile, Colombia, Costa Rica, Argentina, Brazil and Peru. OECD is the simple average of 24 OECD member countries where English is not the official language.

Source: English First (EF) English Proficiency Index (EPI).

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2.3. Removing barriers to women's formal employment

Policies to strengthen skills and promote formal employment must also address the specific barriers faced by women, particularly the challenge of reconciling paid work with unpaid care responsibilities, which are disproportionately borne by women (OECD, 2017^[12]). These constraints contribute directly to Mexico's high female informality rate (Figure 2.8, panel A) and relatively low female labour force participation (Figure 2.8, panel B). Limited access to affordable childcare (Figure 2.9) and the short school timetables of children often prevent women from taking up full-time employment, completing their education, or pursuing training opportunities, as also discussed in the 2024 Economic Survey of Mexico. With women devoting on average nearly 40 hours a week to unpaid domestic and care work, twice as much as men, many women are concentrated in informal occupations that provide flexibility but offer little security, few benefits, and limited prospects for career development.

Figure 2.8. Women face higher informality rates and lower labour market participation

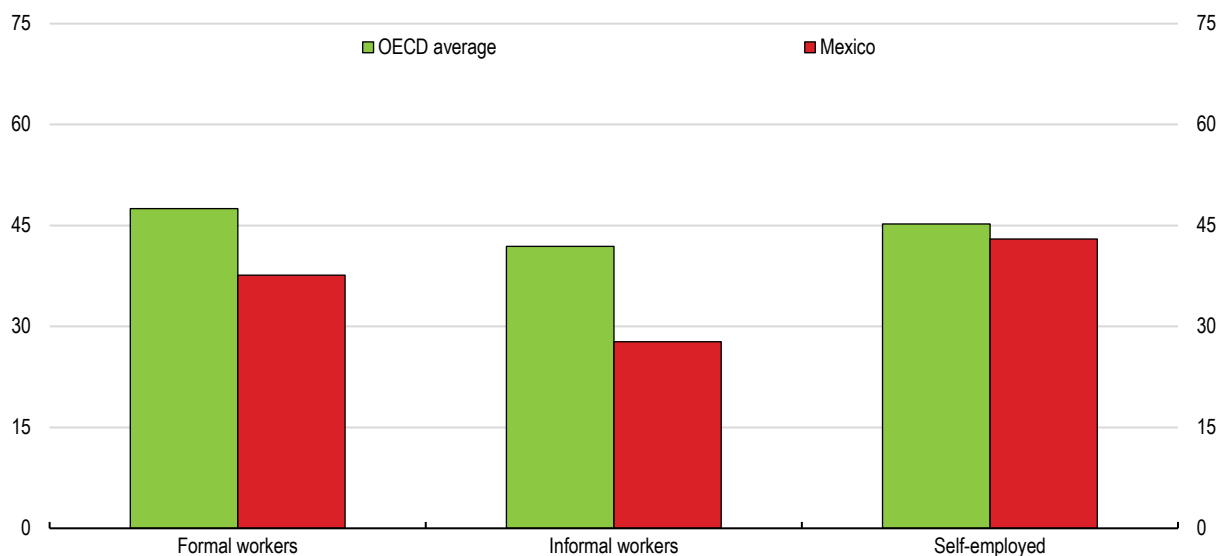
Note: In Panel A, data refers to workers aged 15+ years. In Panel B, data for Argentina, Brazil, Chile and Peru are from ILOSTAT database. LAC is a simple average of Chile, Colombia, Costa Rica, Argentina, Brazil and Peru.

Source: INEGI; OECD Labour Force Statistics (database); and ILOSTAT (database).

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Figure 2.9. Mexicans perceive limited access to affordable childcare and other family supports

Share of respondents indicating that they agree with the statement “My household has access to good quality and affordable public services in the area of family supports (e.g. childcare, parental leave, etc.)”, 2024

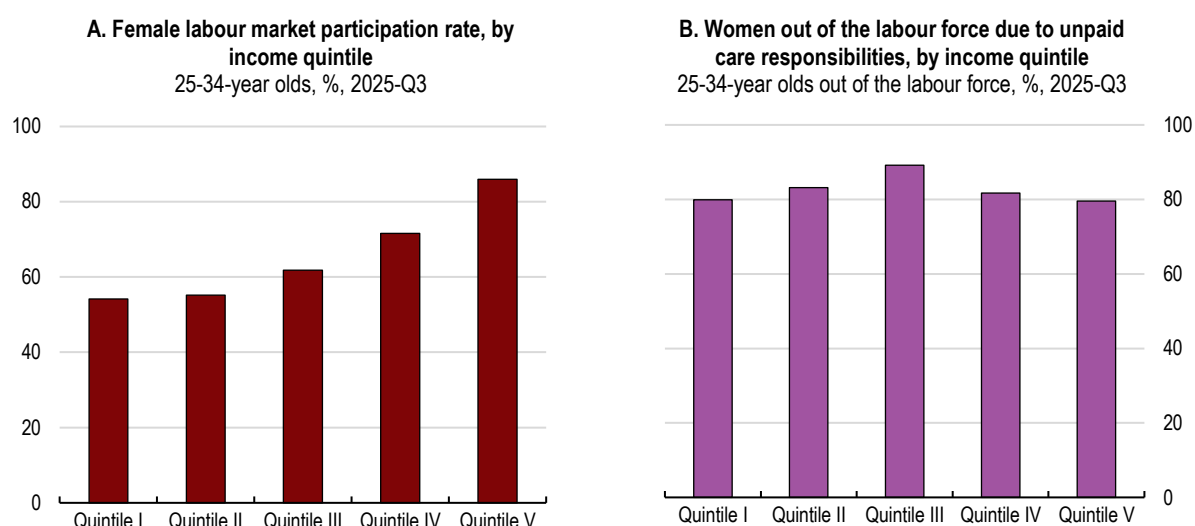


Note: Formal workers are proxied by dependent employees with a contract, while informal workers are proxied by those without one. The share of dependent employees without a contract correlates strongly (86%) with informality rates based on social security enrolment from Mexico's National Survey of Occupation and Employment (ENOE). The OECD average refers to the 27 countries currently covered by the OECD Risks that Matter Survey. Source: OECD estimates based on micro-data from OECD Risks that Matter Survey 2024 (<https://oe.cd/rtm>).

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Inadequate childcare provision is a major contributing factor (Figure 2.10). Informality is particularly high among women with caring responsibilities (Figure 2.11). Less than 5% of children under the age of three participate in an early education programme, well below the OECD average (Figure 2.12). Expanding access to high-quality early childcare is crucial, not only to support female formal labour force participation, but also as a key driver of children's skills development and later educational outcomes (see Section 2.2). Until its discontinuation in 2019, the *Estancias Infantiles* programme subsidised childcare for low-income working mothers. Evaluations show that beneficiaries experienced increased labour force participation and more stable and formal employment (Calderón, 2014^[13]). Its discontinuation in 2019 and replacement with a child allowance left a significant gap, as the new transfers are not linked to childcare provision and all households with children are eligible to receive them, regardless of income. As of September, 221,177 children were beneficiaries of the allowance. Coverage remains too limited to have a meaningful impact, and the benefit amount is considerably lower than the cost of childcare, making it insufficient for many families to afford childcare.

Figure 2.10. Care responsibilities are a barrier for women labour market participation



Source: OECD calculations using INEGI ENOE 2025-Q1 (database).

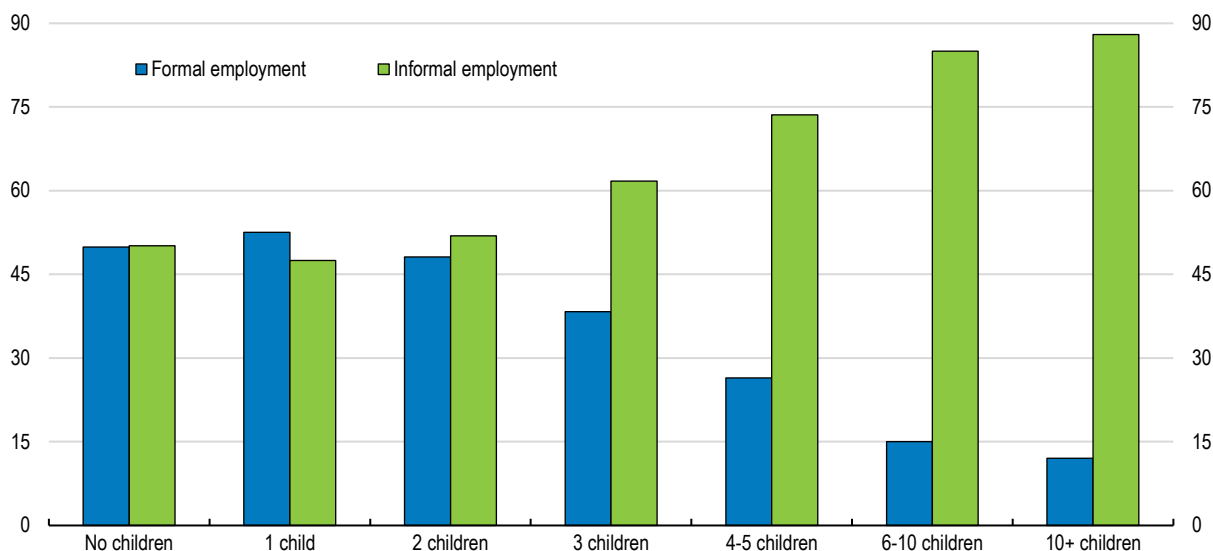
StatLink  <https://stat.link/jw0bm5>

Expanding access to early childhood education and care is therefore essential, as also recommended in the 2024 Economic Survey of Mexico. Estimates suggest that achieving universal coverage for children under six would cost around 1.2% of GDP (UN, 2020^[14]), around double current spending levels. Some states have already developed promising public-private care models. A coordinated federal strategy, designed in collaboration with subnational governments and employers, is also being developed. Establishing a federal network that prioritises low-income households and also covers families in informal employment would be a crucial step forward. The National Development Plan 2025–2030 provides a foundation for such a strategy, foreseeing the creation of a National Care System (*Sistema Nacional y Progresivo de Cuidados*). Initial priorities include the harmonisation of the legal and regulatory framework to set common quality standards, the modernisation of infrastructure (including the repurposing of underused schools), and the creation of an interoperable information system to assess care needs. The Child Education and Care Centres (*Centros de Educación y Cuidado Infantil*, CECI) are expected to be operated by the Mexican Social Security Institute (IMSS), while pilot programmes are testing new models to extend services to all children. The IMSS is also promoting a scheme between the private sector and the federal government (*CECI-Empresas*) for the joint establishment and financing of childcare services for the children of insured workers. The 2026 Budget also aims at promoting public spending to develop comprehensive care services, for children, elderly and people with disabilities, through the “Consolidation of a Caring Society” (*Consolidación de una Sociedad de Cuidado*), annex.

The availability of trained carers remains limited, underscoring the need to strengthen professionalisation through dual education models, competency certification, and updated curricula. Ensuring robust quality standards across the system will ultimately be essential for childcare services to deliver positive outcomes for both child development and women's access to formal employment (Box 2.3), as well as increasing parents' trust in childcare not provided by family. Complementary measures are also required to address gender stereotypes, for example through public campaigns that promote shared caregiving responsibilities, encouraging fathers' greater take-up of parental leave, and raising awareness of the developmental and learning benefits of early childhood education.

Figure 2.11. Informality is higher among women with greater care responsibilities

Formality and informality for women by number of children, % of total workers, 2024-Q1



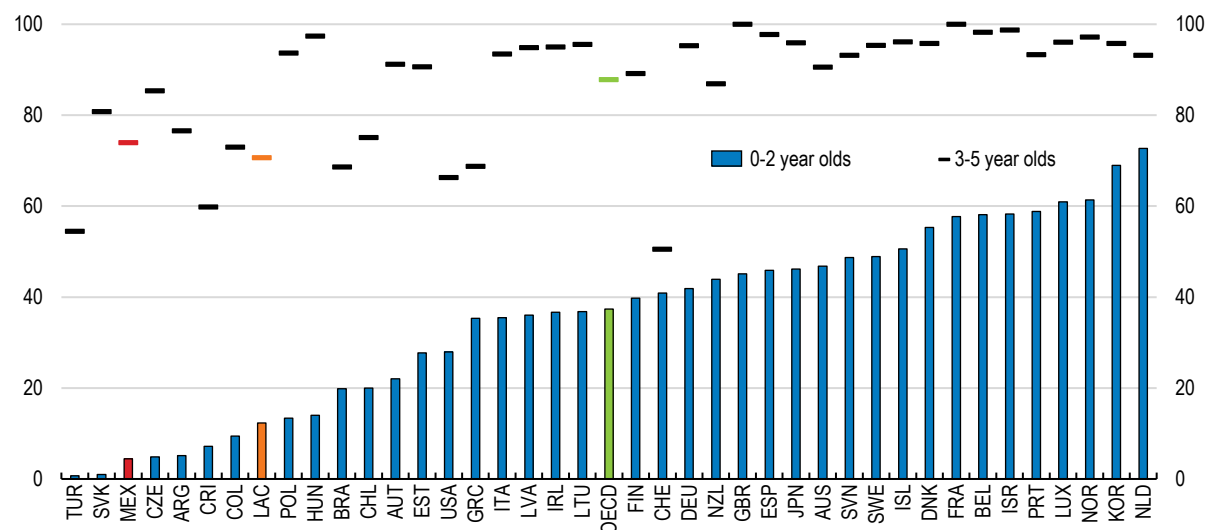
Note: The shares of formal and informal employment by number of children add up to 100%.

Source: México, ¿cómo vamos? and OXFAM México, *El laberinto de la informalidad: Mitos, trampas y realidades*.

StatLink  <https://stat.link/1fyqm7>

Figure 2.12. Few children attend early education and care

% of children enrolled in early education and care services, 2023 or latest



Note: LAC is a simple average of Chile, Colombia, Costa Rica, Argentina and Brazil.

Source: OECD Family Database.

StatLink  <https://stat.link/8xhuqz>

Box 2.3. Expanding good-quality childcare within fiscal constraints

The challenge of expanding access to childcare while maintaining good quality standards in a tight fiscal space is common across countries, and a few lessons can be shared. In the face of budget constraints, governments can scale up early childhood education and care by moving beyond direct (public) provision and leveraging diverse providers. Colombia, for example, leveraged existing (largely informal) care services by regulating a home-based care system which trains, certifies and pays stipends to caregivers, which corresponded with a significant increase in childcare enrolment and mothers' labour force participation (Rauls and Simon, 2020^[15]). This is like the system of at-home "assistant maternelle" care in France. These kinds of partnerships can expand supply more quickly than building up new public infrastructure.

Rapid expansion must be accompanied by quality standards to ensure the safety, well-being and development of children and to ensure that parents enrol their children in professional childcare options when they are available. Quality standards should encompass a range of structural aspects (e.g. staff-child ratios, class sizes, curriculum frameworks, staff training requirements, monitoring), which set the foundation for process quality (i.e. interactions that children have with other children, adults, their families and their environment) (OECD, 2025^[16]). Chile and Colombia have focused on caregiver qualifications. Chile mandates new childcare staff have university degrees, and Colombia has made efforts to formalise its workforce and promote training (Rauls and Simon, 2020^[15]). Attention should also be given to ensuring the fair compensation of childcare workers, to help attract and retain talent (OECD, 2025^[17]).

The use of new technology offers the potential to increase quality at lower cost. The government could, for example, be involved in procuring or regulating tools such as platforms for easier parent-teacher communication; tools for visual (e.g. CCTV) monitoring of children in the care facility (with the relevant privacy protections in place) by parents and/or regulators; digital or biometric verifications to ensure safe access to the facility; and digital tools for teacher training and reducing administrative burden on caregivers (e.g. time sheets and note-taking), which social workers increasingly use for case work in other OECD countries (Frey, Wijker and Hye, 2025^[18]). Advanced analytics could also be used to predict which childcare facilities require further inspection, helping agencies keep high quality of care and ensuring the well-being of children (Public Sector Tech Watch, 2018^[19]) without overburdening human regulatory staff.

The structure of the school day imposes another constraint on working mothers, even when children are older. Public primary schools often operate in shifts, providing only four to five hours of instruction. Without reliable after-school provision, many mothers are unable to work full-time or must depend on extended family for childcare. By contrast, countries with full-day schooling achieve higher levels of female labour force participation. Evidence from Mexico's Full-Time Schools Programme shows that extending the school day increased mothers' employment by more than five percentage points (Cabrera-Hernández, Padilla-Romo and Peluffo, 2023^[20]). The programme was discontinued by the federal government in 2022, although it remains in place in 6 states. Scaling up this programme would advance both women's access to formal employment and education outcomes. Some initial steps are being taken in this direction, with the programme "*La Escuela es Nuestra*" offering some schools the possibility to extend the school day to up to 8 hours.

Promoting the take-up of paternity leave entitlements for fathers can also support a more balanced distribution of unpaid domestic and care work. In many OECD countries, the gender division in parental leave has become increasingly equal and is approaching a 50/50 split in some cases (e.g. Iceland, Portugal and Sweden). As noted in previous OECD Economic Surveys, Mexico currently offers 12 weeks of paid maternity leave and 1 week of paternity leave. Extending the duration of paternity leave would be an important step toward fostering more equitable caregiving roles. Unlike maternity leave, which is financed through the social security system, paternity leave is funded by employers. Take-up among fathers remains low, partly due to social stigma and because access is restricted to formal workers. Financing the leave entitlement via the social security system, as for mothers in Mexico and for fathers in many OECD countries, could facilitate broader take-up.

Care responsibilities extend beyond children. The lack of eldercare services also limits women's ability to take-up formal jobs, a challenge that will intensify as Mexico's population ages. According to the Encuesta Nacional del Sistema de Cuidados, in 2022 there were 20 million people aged 60 and over, of whom 29% (5.7 million) received any form of care. Most of this support is provided informally within households, usually by an unpaid female family member such as a spouse, partner or daughter. A similar pattern is observed in households with members who have disabilities, where care is also largely informal and disproportionately falls on women. Expanding home and community-based services could ease this burden while also generating formal jobs in a sector with rapidly growing demand. Providing services to two million dependent elderly persons is estimated to cost 0.5% of GDP annually and could create up to 800000 formal jobs (UN et al., 2020^[21]). Efforts are underway to strengthen training and certification programmes for caregivers, but coverage remains limited. There is also a pressing need to improve administrative data to better assess levels of dependency among older adults and people with disabilities, to plan services effectively.

Women's low participation in STEM studies remains another significant barrier to strengthening their presence in the formal labour market. In higher education, women account for only about one-third of enrolment in STEM programmes, although those who do enter achieve completion rates around 10 percentage points above those of men (OECD, 2025^[22]). A similar pattern is observed at the upper secondary level, including in new technical tracks, where female participation remains markedly lower than that of men. Women with STEM qualifications face an informality rate that is about half the overall rate for women. Recognising these challenges, the National Development Plan 2025–2030 sets objectives to increase female enrolment in STEM fields and also includes efforts to encourage more women to pursue programmes traditionally dominated by men, such as dual vocational programmes in technical fields. Policy recommendations to promote greater female participation in STEM, including mentoring schemes, are discussed in Chapter 4 of this Survey.

Table 2.3. Policy recommendations

MAIN FINDINGS	RECOMMENDATIONS (Key recommendations in bold)
<i>Building skills to reduce informality</i>	
55% of employment in Mexico is informal among the highest in the OECD and Latin America. Informality is especially prevalent among youth and adults with low education.	Adopt a comprehensive strategy to reduce informality, including by improving learning outcomes in schools and expanding upskilling training for workers.
Youth without secondary education face low learning outcomes limited formal labour market opportunities. Mexico has no national standardised learning assessments for students and teacher quality is uneven.	Introduce standardised learning assessments to diagnose students' needs, early warning systems to identify at risk students and provide at risk students with targeted tutoring and individualised learning support. Improve teachers' training by closely engaging teachers in the design of professional development programmes and by prioritising subject areas where student diagnostic tests reveal the greatest weaknesses.
30% of tertiary graduates are employed informally, while fast growing sectors face shortages. Dual vocational programs are being gradually deployed across the country with positive outcomes in terms of acquired skills.	Increase the systematic use of labour market and skills forecasts to adjust university admission quotas and align fields of study with evolving demand. Expand dual vocational training schemes with stronger employer engagement and modernised curricula and facilitate the participation of more SMEs in training activities.
Career guidance is uneven across education levels. The lack of systematic career orientation contributes to skill mismatches and complicates school-to-work transition.	Strengthen career guidance at all education levels, including by providing systematic information and counselling on upper-secondary vocational and technical pathways.
Mexico lags other Latin American countries in terms of English skills. Good knowledge of English is an increasingly important requirement for a formal job.	Strengthen English language learning by starting instruction in primary school and improving teacher training and instructional materials.
<i>Removing barriers to women's employment</i>	
The shortage of affordable childcare forces many women out of the labour force or into informal work as the only option to combine work and care.	Establish a publicly funded federal network of early education and care, giving priority to low-income households and covering as well informal workers.
Eldercare responsibilities largely fall on women, limiting their job options.	Gradually expand formal eldercare services, prioritising low-income households and introducing co-payment schemes for higher-income groups to ensure affordability and sustainability.
There is a shortage of trained childcare and eldercare workers constraining the expansion and quality of care services.	Professionalise childcare and eldercare by expanding dual education, updating curricula and scaling up competency certification.
Short school days limit women's ability to take up formal jobs or pursue further education and training.	Increase the number of primary schools providing full-day schedules, particularly in low-income areas.

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- UN (2020), *Costos, retornos y efectos de un Sistema de cuidado infantil universal, gratuito y de calidad en México*, ONU Mujeres and CEPAL, https://www2.unwomen.org/-/media/field%20office%20mexico/documentos/publicaciones/2020/diciembre%202020/twopager_cepал_on_umujeres_esp.pdf?la=es&vs=2542 (accessed on 11 October 2021). [14]
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3

Promoting decarbonization and adapting to climate change

Alberto González Pandiella, OECD

Mexico has taken significant steps to reinvigorate its climate ambition and reengage with global efforts to reduce greenhouse gas emissions. The government has recently pledged to achieve net-zero emissions by 2050, a significant policy shift from the previous administration. Achieving these ambitious targets will require decisive progress in reducing emissions from the electricity sector, which in turn depends on unlocking the country's considerable renewable energy potential. Recent moves to increase private sector participation in the electricity sector are promising, but attracting investment at the scale needed to meet targets will depend on a regulatory environment that provides clarity, stability, and long-term confidence. Strengthening adaption is an urgent priority given Mexico's high vulnerability to climate change. The country is experiencing growing water stress, driven by rising temperatures, shifting precipitation patterns, and increasing demand linked to economic and population growth. Strengthening water management is vital to adapt to climate change , ensure sustainable use of water resources and enhance the reliability of supply both for households and firms.

3.1. Accelerating emission cuts

Mexico faces significant challenges in advancing decarbonization and adapting to climate change. The country's energy mix remains dominated by fossil fuels, while regulatory uncertainty has constrained the expansion of renewable energy despite abundant solar and wind potential. Climate change impacts are already visible through rising average temperatures, prolonged droughts, and increasingly severe hurricanes, which threaten water security, agricultural production, and coastal infrastructure. Reducing emissions in the electricity sector, a key enabler of economy-wide decarbonisation, will be central to addressing these challenges. Expanding renewables generation offers a cost-effective way to cut emissions while simultaneously meeting rising energy demand. A cleaner and more reliable electricity supply would also enhance Mexico's competitiveness by improving energy affordability and reducing exposure to volatile fossil fuel markets. It would also strengthen energy security by lowering dependence on imported natural gas, which currently supplies around two-thirds of Mexico's electricity generation. Accelerating the deployment of renewable energy and upgrading grid infrastructure can thus generate both environmental and economic benefits.

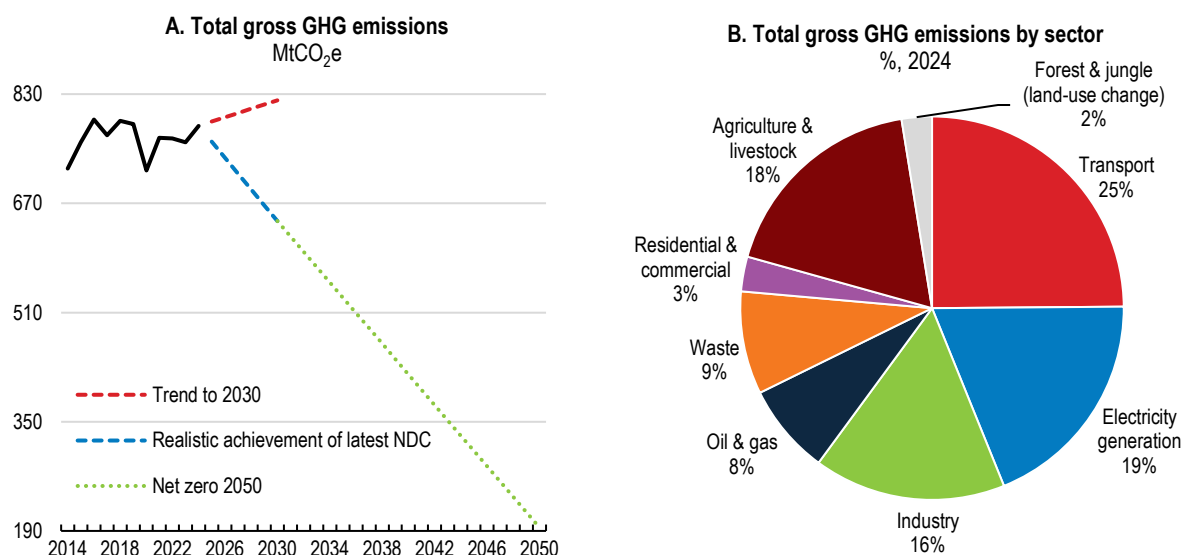
While emissions have continued to rise in recent years (Figure 3.1, panel A), Mexico is now restoring its ambition to reduce greenhouse gas emissions and re-engaging with global efforts to combat climate change. The new government has pledged to achieve net-zero greenhouse gas emissions by 2050, marking a decisive shift from the previous administration's stance and aligning Mexico more closely with the goals of the Paris Agreement. Until recently, Mexico's emission reduction targets only extended to 2030, limiting the country's ability to signal a clear long-term direction. An updated Nationally Determined Contribution (NDC) was published in November 2025 with more stringent goals than those set out in the 2022 NDC, which was assessed as inconsistent with the 1.5°C temperature limit (OECD, 2024^[1]). These renewed commitments should provide a clearer roadmap for government agencies and the private sector, strengthen policy predictability and improve incentives for investment, helping both to reduce emissions and boost growth prospects.

The transport and electricity sectors are Mexico's largest sources of greenhouse gas emissions (Figure 3.1, panel B). Previous Economic Surveys have emphasized the need to reduce emissions from the transport sector by strengthening public transportation systems, integrating urban and mobility planning, and improving tax design (OECD, 2022^[2]; OECD, 2024^[1]). Efforts are currently underway to expand the interurban train network, with plans to build 3,000 kilometres of new rail infrastructure across four major routes. Mexico was the first emerging economy to introduce a carbon price in 2014. However, at 3 EUR per ton of CO₂, the tax remains below the OECD average (62 EUR per ton of CO₂) and covers mainly road fuels, but not fuels used in other sectors, such as natural gas, while coal is taxed at a reduced rate (see also chapter 1). Broadening the carbon tax base and gradually increasing the rate, as recommended in previous Surveys (Table 3.1), would create stronger price signals for emissions reductions, particularly in the transport sector. Maintaining and strengthening Mexico's long-standing efforts on forest conservation would also be key to mitigating climate change, as forests provide important carbon sinks while simultaneously helping to preserve biodiversity, protect water resources, prevent soil erosion, and support rural livelihoods.

Mexico has also taken steps to price carbon in the energy and industrial sectors through the launch of Latin America's first emissions trading scheme (ETS). A pilot phase ran from 2020 to 2021, covering approximately 300 large entities in the energy and industrial sectors. During this period, emission allowances were freely allocated based on historical emissions. The government originally intended to transition to a fully operational ETS in 2023, with broader coverage extending to several hundred companies. However, implementation has been delayed. In October 2025, the authorities agreed on the final regulation for the first operational phase of the ETS. The regulatory assessment process is now underway, with publication expected by March 2026. Once operational, the ETS would represent a significant advance in Mexico's climate policy framework. Over time, a well-functioning ETS would help reduce emissions across all sectors of the economy, including energy uses beyond electricity generation.

A catalogue of mitigation actions has been prepared, though financing needs for their implementation have not yet been quantified. Developing a comprehensive estimate of investment requirements will be essential to translate Mexico's decarbonisation goals into an actionable financing strategy. Quantifying investment needs, encompassing both mitigation and adaptation actions (see next section), would help identify funding gaps, guide the prioritisation of projects, and support the design of financing instruments aligned with the country's climate objectives. It would also allow for a clearer allocation of responsibilities between public and private actors and to strengthen coordination across ministries, public financial institutions, and subnational governments.

Figure 3.1. Mexico is setting more ambitious emission reduction targets



Source: SEMARNAT.

StatLink  <https://stat.link/cho5jd>

Table 3.1. Past OECD recommendations on fighting climate change

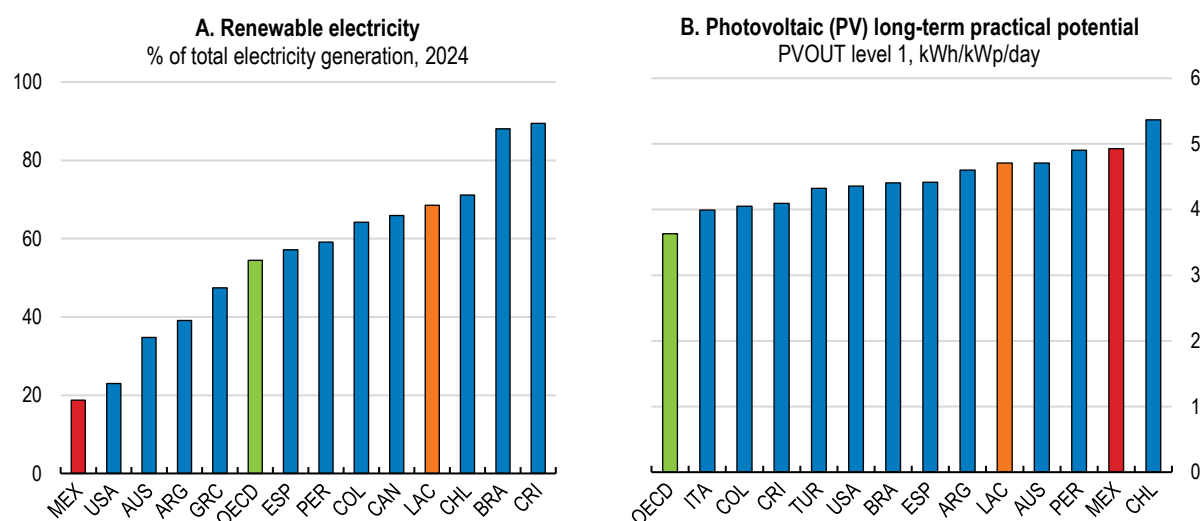
Past OECD recommendations	Actions taken since the 2024 survey
Adopt regulations that promote private sector participation in renewables generation, ensure legal certainty and expand and improve electricity transmission and distribution infrastructure.	New legislation stipulates that the 54% share of electricity generation reserved for the state-owned utility include joint ventures with private companies and independent power producers, which creates room for meaningful private sector participation.
Gradually increase the carbon tax, broaden its base, and use part of the revenues to offset the effects of higher energy prices on low-income households.	No action taken.

3.1.1. Making the most out of renewable resources

Decarbonising the electricity sector will be critical for Mexico to meet its emissions reduction targets and enable low-carbon development across the economy. The country has recently raised its ambition regarding the energy transition, committing to a significant expansion of renewable electricity generation, setting an ambitious target for clean sources to supply 38.5% of electricity generation by 2030 and 41.3% by 2035. While Mexico is endowed with abundant and well-distributed renewable resources across the country, including solar, wind, and geothermal, these remain largely underutilised (Figure 3.2). The share of electricity generated from clean energy sources declined to 24.3% in 2024, from 27.5% in 2021. This drop reflects regulatory changes since 2018 that have discouraged private investment in renewables. These included the suspension of long-term renewable energy auctions in 2019 and a series of attempted reforms aimed at reinforcing the

role of the state-owned utility (CFE), at the expense of private sector participation. Achieving the target for renewables will require restoring investor confidence, introducing transparent procurement mechanisms and ensuring a predictable regulatory environment.

Figure 3.2. The share of electricity generated from renewable is low despite high potential



Note: In Panel A, renewables include hydro, geothermal, solar (thermal and PV), wind and tide/wave/ocean energy, as well as combustible renewables (solid biomass, liquid biomass, biogas) and waste (renewable municipal waste). The underlying data are obtained from the World Energy Statistics Dataset in the IEA World Energy Statistics and Balances Database. In Panel B, data was last updated in 2020. For both panels, LAC is a simple average of Chile, Colombia, Costa Rica, Argentina, Brazil and Peru.

Source: OECD Green Growth (database); and World Bank Global Atlas Solar (database).

StatLink  <https://stat.link/zdwokv>

Achieving the ambitious renewable energy target will require a substantial increase in private sector investment. Although recent legislation mandates that the state-owned utility CFE must retain at least 54% of total electricity generation, this share includes joint ventures with private companies and independent power producers, leaving space for meaningful private sector participation. This marks a welcome departure from the previous administration's efforts to curtail private involvement in the electricity sector. In October 2025, the government published new regulations for the Electricity Industry, Geothermal Energy, and Energy Planning and Transition Laws, aiming to update the sector's legal framework. Looking ahead, unlocking private investment will depend on the establishment of a regulatory framework that provides clear incentives and long-term certainty, for example through predictable tariff structures, stable rules for clean energy certificates, transparent procurement mechanisms for new capacity, and clearly defined long-term planning for transmission expansion.

The newly established National Energy Commission, which replaced the former independent energy regulator, is a deconcentrated entity within the Ministry of Energy. Although it is intended to function with technical and operational autonomy, its institutional placement within the Ministry creates risks regarding perceived regulatory independence and impartiality, key for fostering investors' confidence (see also Chapter 1). To mitigate these risks, it will be important to ensure that the Commission operates transparently and according to clear, rules-based procedures. This includes establishing well-defined processes for permit approvals, public consultations, regulatory reviews, and appeals. Safeguards should also be in place to guarantee a level playing field between public and private actors in the electricity market. Strengthening the professional capacity and procedural autonomy of the Commission can enhance trust in the regulatory framework and support the needed scaling up of private investment.

Public investment will also play a vital role in achieving Mexico's renewable energy goals, particularly by modernising and expanding the electricity transmission network. A stronger transmission system is essential to connect new clean energy projects and meet rising electricity demand in a cost-effective and sustainable

manner. Grid congestion and capacity saturation have become increasingly common in key transmission corridors (Carrillo et al., 2022^[3]) and are expected to worsen as demand continues to grow. The state-owned utility CFE, which manages the transmission system, has consistently under-executed its allocated federal budget for infrastructure investments. For example in 2023, the federal budget approved for transmission was 43% of what CFE had originally planned, and actual spending reached just 22% of the planned investment (IMCO, 2024^[4]). Execution has been hindered by weak long-term planning, limited project preparation capacity, complex procurement processes, and shifting investment priorities within CFE. Prioritising transmission within CFE's investment strategy and ensuring full execution of budgeted resources will be critical to integrating additional renewable capacity and maintaining grid reliability. The latest government plans foresee the construction of 275 new transmission lines between 2025 and 2030, along with improvements in 524 electrical substations.

3.1.2. Integrating climate objectives into fiscal planning and budgetary processes

One important way to strengthen mitigation policy and reflect Mexico's renewed commitment to climate action is by integrating climate objectives into fiscal planning and budgetary processes. Aligning fiscal policy with climate goals is essential to translate long-term emission reduction targets into actionable and measurable investments. While Mexico has raised its ambition on mitigation, fiscal frameworks have yet to fully incorporate climate priorities in a systematic manner. In contrast, several OECD countries, including regional peers such as Costa Rica, have begun embedding climate-related spending and contingent liabilities from climate events into their fiscal management systems. Mexico could take similar steps by institutionalising climate-responsive budgeting practices that align public spending with mitigation objectives. A positive development in this regard is the launch of Mexico's Sustainable Taxonomy in 2023 (OECD, 2022^[2]; OECD, 2024^[1]), which provides a framework to classify and prioritise investments that contribute to environmental and social goals, including climate change mitigation. This tool can guide both public and private investment decisions, enhance the transparency of climate-related expenditures, and improve accountability.

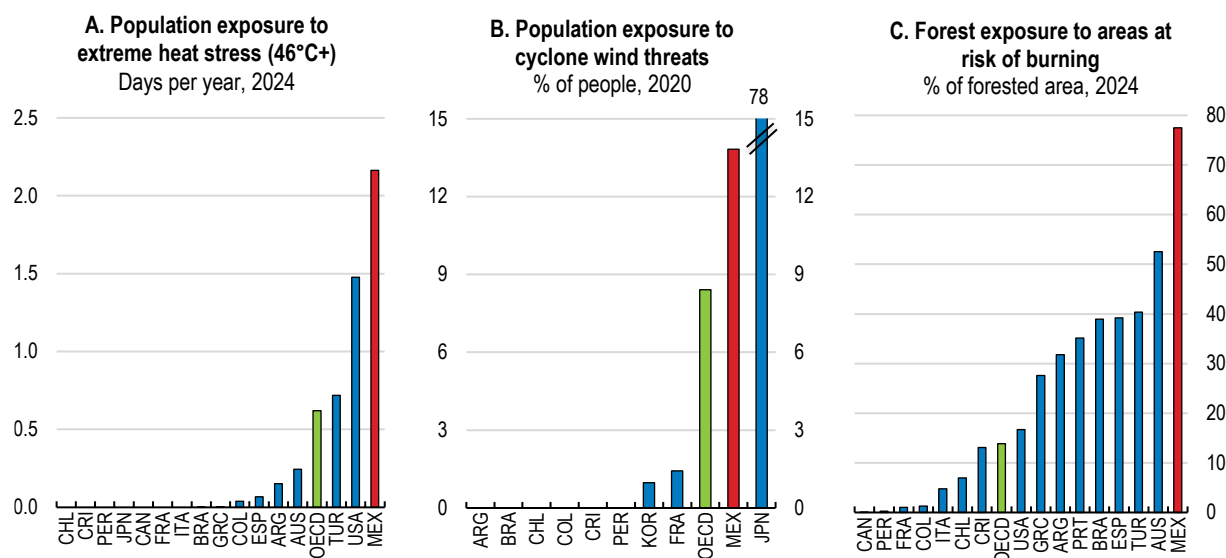
To build on this progress, Mexico could further institutionalise climate budgeting practices—such as tagging mitigation-related expenditures, linking investments to emissions outcomes, and integrating climate objectives into medium-term fiscal planning. These steps would help ensure that public spending is effectively aligned with the country's climate goals while increasing transparency and accountability. Mexico is already active in mobilising green finance through instruments such as green bonds and sustainable development bonds. Continued expansion and diversification of these green and sustainable bond instruments would help mobilise additional private capital and scale up investment. The financial sector has also begun assessing its exposure to climate-related risks through stress testing, which is a positive step toward better understanding vulnerabilities. A key next step would be to strengthen climate-related financial disclosures, building on international frameworks such as the Task Force on Climate-related Financial Disclosures. Improving transparency in how financial institutions manage and disclose climate risks would support more informed decision-making and accelerate the reallocation of capital toward mitigation priorities.

3.2. Strengthening measures to adapt to climate change

Mexico is one of the most vulnerable countries to climate change due to its geographic location, ecological diversity, and socioeconomic conditions, with 68% of its population and 71% of its economy exposed to climate change impacts (GCF, 2025^[5]). Situated between two oceans and home to a wide range of ecosystems, from arid deserts to tropical rainforests, the country is highly exposed to climate-related hazards such as droughts (Boumahdi and González-Pandiella, mimeo^[6]), hurricanes, floods, and heatwaves (Figure 3.3). These events have become more frequent and intense in recent years, with growing impacts on agriculture, water resources, biodiversity, and public health. For instance, nearly 70% of Mexico's land has experienced significant soil moisture loss since 1980 (OECD, 2025^[7]).

Rural and low-income communities are especially vulnerable, as they often lack the infrastructure and financial capacity needed to adapt to and recover from environmental shocks. Mexico's high reliance on climate-sensitive sectors, such as agriculture and tourism, further increases its vulnerability. Smallholder farmers, in particular, increasingly suffer from unpredictable rainfall patterns and prolonged droughts, which threaten food security and rural livelihoods. Alterations in hydrometeorological conditions have caused significant losses in agriculture and livestock, adversely impacting more than 50% of total production (GCF, 2025^[5]). In Mexico, 88% of the 145 species grown for food depend on pollinators, which have been largely affected by changing climatic conditions (GCF, 2025^[5]). Coastal communities are also increasingly exposed to rising sea levels and extreme weather events, endangering infrastructure, housing, and economic activity.

Figure 3.3. Exposure to climate hazards is high



Note: In all Panels, OECD refers to a weighted average of OECD member countries with available data. In Panel B, data refer to wind threats of a hurricane category 3 likely to cause extensive damage in a 100-year return period. In panel C, forest cover is assessed using forest cover data from 2020.

Source: OECD Climate-Related Hazards (database).

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Mexico's framework to address climate change adaptation is based on the General Law on Climate Change (LGCC), enacted in 2012 and subsequently updated. Under this framework, Mexico developed the National Climate Change Strategy (ENCC) in 2013 and updated it in 2025. The Strategy sets medium- and long-term objectives for both mitigation and adaptation across various sectors. Mexico also established the National Climate Change System (SINACC) in 2012 with the objective of aligning policies, incentives and resources. The latest Nationally Determined Contribution has strengthened its adaptation component by introducing a new axis on climate security and loss and damage. However, Mexico has not yet formally developed a national adaptation plan. National adaptation plans provide a strategic and long-term framework to identify climate adaptation needs, integrate resilience into national policies and prioritize actions. Establishing a comprehensive and formal National Adaptation Plan would help Mexico consolidate and update its current climate efforts, systematically assess vulnerabilities and integrate adaptation into relevant new and existing policies. It would provide a clearer basis for quantifying investment needs and mobilising the necessary domestic and international climate finance. Preparatory work towards developing a national adaptation work is under way, with the ambition of finalising it by the end of 2026.

A National Adaption Plan can also help to coordinate actions across levels of government. This can be useful in Mexico, where adaptation responsibilities are shared among federal, state, and municipal levels. The federal government sets national policies, coordinates efforts, mobilises resources, promotes research, and monitors progress. States are tasked with developing regional action plans, aligning their policies with national climate

goals, coordinating with municipalities, and implementing projects. Municipalities focus on local planning, land use regulation, public service adaptation, community engagement, and disaster response. While this structure is designed to ensure that adaptation efforts flow from national plans to local action, it requires strong coordination across levels of government. Although there have been positive examples, such as Mexico City's collaborative network model (Cid et al., 2024^[8]), where municipalities coordinate both horizontally, with neighbouring municipalities and civil society, and vertically, with federal agencies, overall coordination has been uneven, resulting in fragmented implementation. Many municipalities lack the technical and financial capacity to fully integrate climate resilience into their planning. Providing targeted technical assistance and training to municipalities, particularly those with limited institutional capacity, would help strengthen local implementation, reduce regional disparities and facilitate that adaptation actions are more effective and aligned with national goals.

Monitoring and evaluation mechanisms are essential for assessing the effectiveness of climate adaptation policies and guiding needed adjustments over time. While Mexico does not yet have a comprehensive monitoring, evaluation and learning system for climate adaptation, it has made progress with the development of the National Atlas of Vulnerability to Climate Change, a structured, nationwide mapping tool that visualises territorial exposure and sensitivity to climate hazards. The Atlas could provide useful inputs into future national assessments, but further progress is needed to enhance its usefulness and precision. Covering more hazard types and increasing data granularity, both for climate risks and socioeconomic conditions, are pending challenges. To maintain its relevance and usability, it is also essential that the Atlas is regularly updated. There is also a need to upgrade early warning systems, which remain focused on seismic and tropical cyclone hazards. The National Meteorological System currently provides partial monitoring of rainfall and river conditions and other risks, such as floods, landslides, droughts, wildfires, and volcanic eruptions, are not yet comprehensively covered, despite the country's vulnerability to such events. Improving the dissemination of alerts through digital technologies and expanding their coverage to rural and remote areas would ensure that all communities receive timely alerts and are better prepared to respond.

Mexico has made progress in strengthening its climate risk insurance framework, but significant gaps remain. Recent advances include sovereign catastrophe bonds for earthquakes and hurricanes, public insurance for federal infrastructure, and local initiatives such as the parametric reef insurance in Quintana Roo. The private sector has also introduced innovative climate-linked products, including mangrove parametric insurance and pilots for smallholder farmers. The government's two main risk-transfer mechanisms include a national catastrophic insurance scheme and the International Bank for Reconstruction and Development Catastrophe Bond for the Caribbean and Mexico (IBRD CAR), which provides parametric coverage for major earthquakes and tropical cyclones. The elimination of the trust fund associated to FONDEN, the national disaster fund, has increased the government reliance on ad-hoc budget allocations for disaster recovery. To strengthen resilience, Mexico could build on these existing mechanisms by establishing a well-governed national disaster resilience fund to ensure predictable financing for post-disaster response and reconstruction. Expanding parametric coverage for critical infrastructure, where the speed of recovery is essential, would also facilitate faster and more efficient reconstructions following disasters. While insuring all public assets may not be cost-effective given the government's borrowing capacity, targeted instruments can strengthen financial resilience by ensuring timely payouts and reducing fiscal volatility.

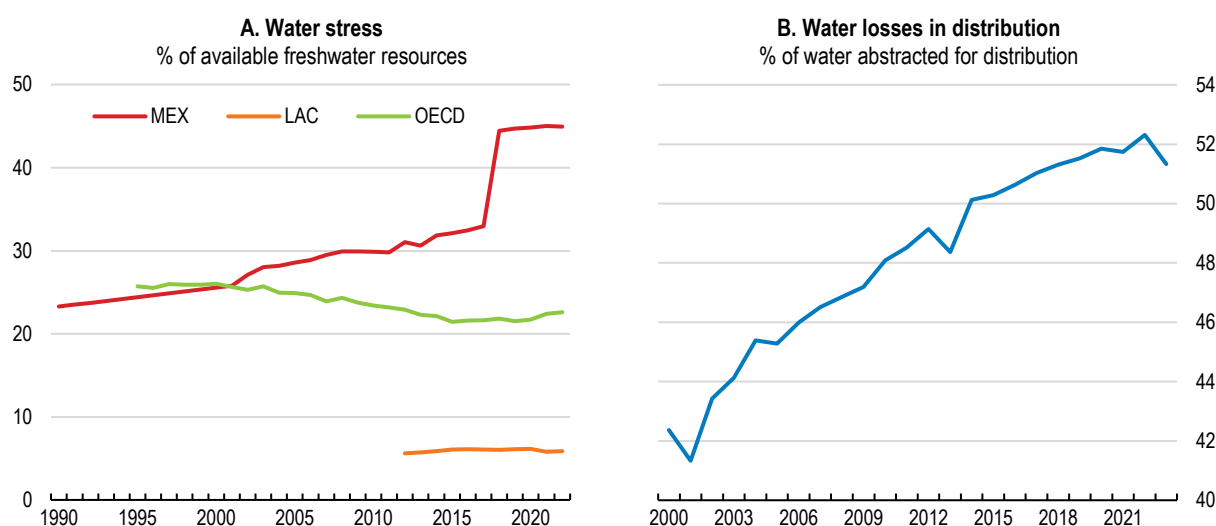
Beyond the sovereign level, households and firms also face large protection gaps against climate-related risks. Insurance penetration among households and firms for climate-related risks remains low. Only about a quarter of homes in Mexico has property insurance, which typically covers risks such as fire and theft, but often does not include protection against natural disasters unless purchased separately. This leaves a large portion of households and small businesses unprotected against losses from floods, hurricanes or earthquakes. A key challenge is informal housing, which put lives at risk and complicates urban planning and weakens the enforcement of building standards. Stronger enforcement of land-use regulations and construction standards, as analysed and recommended in the 2024 OECD Economic Survey, would also be essential to boost insurance penetration. Another important barrier is low financial inclusion, which limits access to and understanding of traditional insurance products, as analysed in the thematic chapter of the 2022 OECD Economic Survey of

Mexico (OECD, 2022^[2]). In this context, parametric insurance can offer a practical entry point for expanding climate risk coverage. By providing faster, simpler payouts based on predefined triggers, such as wind speed or rainfall thresholds, rather than damage assessments, these products are more accessible to smallholder farmers, informal workers, and low-income households. As such, parametric models can serve as a stepping stone toward broader adoption of conventional indemnity-based insurance, helping to gradually increase financial resilience across vulnerable communities. To support wider uptake, the government could promote a culture of risk awareness through public campaigns that highlight how insurance can protect livelihoods and speed up recovery. Targeted incentives, such as tax deductions or premium subsidies for low-income households insuring against major hazards, could further increase coverage for vulnerable groups without crowding out private provision for higher income households and strengthen local resilience. In poor or remote communities where insurance is often unavailable or unaffordable, part of the premium could be subsidised through existing housing programmes, or complemented by innovative schemes such as simplified, low-cost insurance products for informal settlements, as seen in South Africa.

3.3. Improving water availability and quality

Mexico faces growing water stress (Figure 3.4), driven by a combination of rising temperatures, shifting rainfall patterns and increasing demand from population growth and economic activities. Over the past decades, the amount of water available per person has declined significantly, placing increasing pressure on freshwater resources. At the same time, Mexico has one of the lowest shares of the population connected to public wastewater treatment systems in the OECD (Figure 3.5), which limits the potential for water reuse and contributes to pollution in rivers and aquifers. These trends are intensifying the risks of water scarcity, droughts, and regional imbalances in water availability, with particularly severe consequences for vulnerable communities, agricultural producers, and ecosystems. They also increase operational risks and costs for businesses that depend on reliable water access, potentially undermining investment and competitiveness. Without stronger water management policies and investment in water infrastructure, these pressures are likely to intensify in the years ahead.

Figure 3.4. Water stress and distribution losses are high



Note: In Panel A, water stress refers to freshwater withdrawal by major economic sectors as a proportion of available freshwater resources, after considering environmental water requirements. LAC is the simple average of Chile, Colombia, Costa Rica, Argentina, Brazil and Peru. In Panel B, the primary type of losses of water are losses during distribution. Losses during distribution occur between a point of abstraction and a point of use or between points of use and reuse of water. They may also include problems associated with water meters and theft.

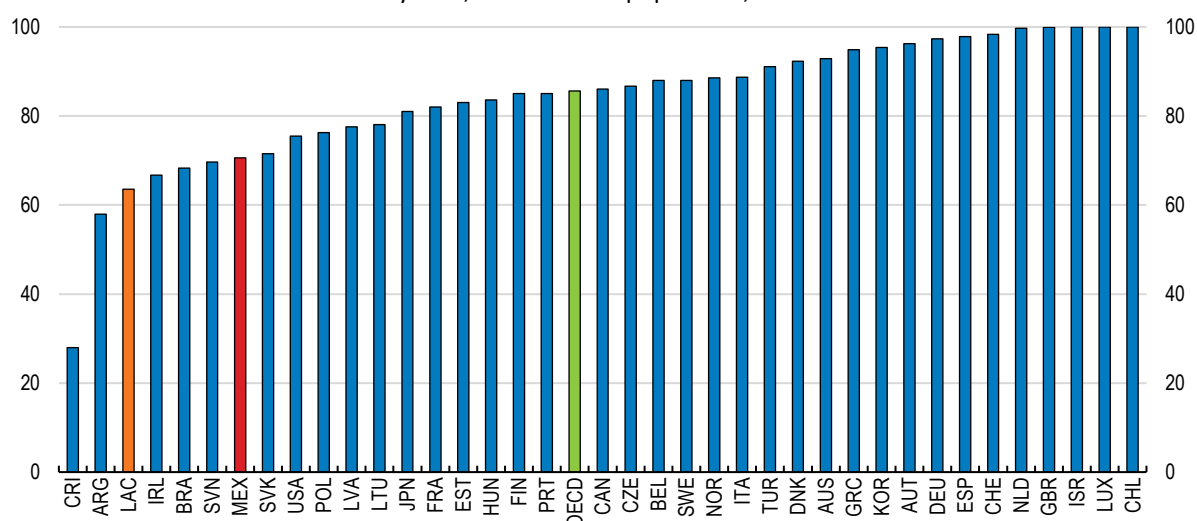
Source: FAO AQUASTAT (database); and OECD Water Accounts (database).

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Strengthening water management is critical for Mexico to adapt to climate change and ensure the sustainable and efficient use of water resources. A major barrier is the limited availability and quality of water data. Accurate, consistent, and timely information on water availability, usage, and quality is essential for effective planning, allocation, and enforcement, as illustrated by several OECD countries (Box 3.1). However, due to budget constraints, the number of monitoring sites managed by CONAGUA has declined from 5000 in 2012 to 1300 in 2024. At its peak, the network allowed monitoring of major rivers and water bodies, with an original goal of expanding to 10000 sites for full national coverage. Measurement frequency has also dropped, often to just once per year, and the range of parameters recorded has been significantly reduced. Automated stations are no longer functional, and all data collection is now manual. These gaps severely hinder the ability to manage water resources, assess environmental risks, and ensure access to safe water. Upgrading data infrastructure, through digital metering, remote sensing, and automated monitoring systems is urgently needed. Some positive steps are being taken under the 2025–2030 National Water Plan, which includes an automated monitoring project in the Tula, Atoyac, and Lerma-Santiago rivers. It would enable real-time measurement of the physicochemical characteristics of water and allow for the detection of atypical events that affect water quality in these rivers.

Figure 3.5. The share of wastewater treatment is low

Connection to wastewater collection system, % of resident population, 2023 or latest



Note: OECD average refers to an unweighted average and excludes Colombia, Iceland and New Zealand. LAC average is an average of Chile, Costa Rica, Argentina, and Brazil. Argentina: data are estimates for urban areas only. Mexico: data is estimated based on treated wastewater, there is no official information so data for total connection to wastewater collecting system dates back to 2010.

Source: OECD Environment Statistics: Water (database).

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Box 3.1. Best practices in water data and information systems

Accurate, up-to-date, and publicly accessible water data is essential for effective water governance and several OECD countries have established robust and integrated water information systems that offer valuable lessons:

- **Australia** has developed the *National Water Account* and *Water Data Online* platforms. These tools provide open, real-time data on water availability, use, and entitlements across jurisdictions, enabling informed allocation decisions and drought management.
- **The Netherlands** integrates high-resolution hydrological and quality monitoring into real-time dashboards managed by *Rijkswaterstaat* and local water boards. These systems are central to adaptive planning, flood control, and risk reduction.

- **France** operates the *Système d'Information sur l'Eau (SIE)*, a national platform aggregating water use and quality data across river basins. It supports compliance with EU directives and enhances transparency through open government data portals.
- **Sweden**, through *SMHI* and municipal operators, maintains centralised hydrological and quality datasets, which are used to guide infrastructure planning, climate adaptation, and community awareness initiatives.
- **The United States** combines the *USGS National Water Information System (NWIS)* and the *EPA Water Quality Portal* to deliver extensive real-time data on surface and groundwater. These tools support regulatory enforcement, environmental protection, and public accountability.

These examples underscore the importance of coordinated institutional frameworks, modern monitoring technologies, and public data access in achieving sustainable and equitable water management

Beyond data limitations, the current framework for water rights and concessions presents significant governance and sustainability concerns. Nearly 360 000 water concessions have been granted over the past three decades, often without adequate technical, environmental, or social safeguards. Many are based on outdated or incomplete hydrological data, and weak enforcement has allowed expired or non-compliant permits to remain in use. Furthermore, permits are not systematically linked to actual consumption data, complicating oversight and making it difficult to detect overuse or illegal extraction, especially from groundwater. Priorities for reform include the digitalisation of water rights and usage data and expanding monitoring and enforcement using remote sensing technologies and targeted field inspections. To address this issue Mexico could prioritize the digitalization of water rights and usage data and increasing audits, including through remote sensing technologies and field inspections. The ongoing review of the Public Water Rights Registry (REPD), under the 2024-2030 National Water Plan, and efforts to integrate satellite-based monitoring into enforcement are important steps in this direction.

The highly fragmented institutional landscape further complicates effective water governance. Responsibilities for water management are dispersed across the three levels of government and involve numerous private actors. CONAGUA operates through 13 hydrological-administrative regions and 20 local offices, while there are 26 basin councils and more than 200 auxiliary bodies. Each of Mexico's 32 states has a State Water Commission, while around 2,356 municipal or inter-municipal entities manage water and sanitation services. This fragmentation weakens coordination, reduces accountability, and complicates policy implementation. Addressing these challenges requires reinforcing CONAGUA's role as national coordinator and strengthening its capacity to promote coherent, transparent, and effective governance. In parallel, capacity-building for subnational authorities is essential to support the local implementation of national water policies.

Financial sustainability is another pressing concern. One key challenge is the lack or poor quality of water metering, which limits the ability to track consumption, detect inefficiencies, and implement volume-based pricing. Tariff setting is also highly fragmented, with each municipality determining rates independently, often without transparency or public oversight (IMCO, 2023^[9]). Many tariffs are set below the actual cost of water extraction, treatment, and distribution, with federal subsidies covering the gap. While these subsidies help ensure affordability, particularly for low-income households, they are untargeted and thus create unnecessary fiscal costs by also supporting higher-income households who do not need them. They also reduce incentives for water conservation and contribute to chronic underinvestment in infrastructure. Expanding the use of smart metering would support more accurate billing and accountability. A transparent, regularly updated, and cost-reflective tariff framework is also essential to promote efficiency and ensure the long-term financial sustainability of water services. Affordability can still be protected through targeted transfers, rather than universal subsidies. Municipalities should also have the autonomy to adjust tariffs independently, without needing approval from state authorities, as it is currently the case.

Infrastructure modernisation is also urgently needed. An estimated 46% of distributed water is lost due to leaks in ageing networks, outdated technologies, and inadequate maintenance (Lopet et al., 2017^[10]). Many regions, particularly rural and suburban areas, continue to lack reliable access to clean water and wastewater treatment. This undermines public health, environmental quality, and economic development. In response, the government has launched a major initiative under its National Water Plan 2024-2030 to restore and clean up the Lerma-Santiago, Tula, and Atoyac rivers, three of the country's most polluted water bodies, selected for their high levels of industrial and urban contamination and their strategic location across multiple states. The clean-up of the Tula River will serve as the foundation for Mexico's first large-scale national circular economy project, included in *Plan México*. This project envisions the modernisation of the Tula refinery's treatment plant and the construction of a 700-hectare industrial park equipped with facilities to separate and convert organic and inorganic waste into reusable resources, such as charcoal and fertiliser.

Expanding these initiatives to additional critical water bodies is essential, alongside broader investment in pipe replacement, wastewater treatment capacity, smart water technologies, and strengthened maintenance systems. Financing these investments will require a combination of cost-reflective tariffs to cover operating and maintenance costs, increased public investment for larger scale infrastructure projects, and innovative financing mechanisms. Public-private partnerships can help mobilise private capital and expertise, while linking a portion of federal transfers to performance-based criteria could incentivise improvements in efficiency and service delivery at the local level. The National Water Plan also foresees the modernisation of irrigation systems, in coordination with the Ministry of Agriculture, to improve water-use efficiency in the agricultural sector.

Table 3.2. Policy recommendations

MAIN FINDINGS	RECOMMENDATIONS (Key recommendations in bold)
Strengthening mitigation	
The electricity sector is one the largest sources of greenhouse gas emissions. The share of electricity generated from clean energy sources has fallen due to regulatory changes that have discouraged private investment. The new administration has set an ambitious target for clean energy sources to account for 38.5% of electricity generation by 2030. Achieving this target will require significant private sector investment.	Establish clear, transparent, and predictable procedures for granting renewables energy generation permits and for conducting reviews and handle appeals.
The carbon tax applies to a limited set of fossil fuels and at relatively low rates, with key sectors such as natural gas and gasoline exempt.	Broaden the carbon tax to cover all fossil fuels, raise rates in line with carbon content, and use part of the revenues to support vulnerable households.
Meeting the renewable energy target requires upgrading and expanding the transmission grid, with suffers from saturation and congestion. Increasing electricity demand will exacerbate these problems.	Prioritise investment in electricity transmission infrastructure and improve planning to ensure full and timely execution of allocated budgets.
Mexico has prepared a catalogue of mitigation actions but has not yet quantified the investment needs required to implement them.	Quantify investment needs for climate mitigation across key sectors and integrate the results into fiscal planning and public investment plans.
Strengthening adaptation	
Mexico is highly exposed to climate-related hazards such as droughts, hurricanes, floods, and heatwaves. Although preparatory work is starting Mexico has not formally developed a national adaptation plan.	Establish a comprehensive and formal National Adaptation Plan, identifying adaptation needs and priorities.
Key hazards, such as floods or droughts, are outside the scope of current early warning systems.	Strengthen early warning systems, encompassing a broader range of hazards and improving the reach of warnings, and building local technical capacity
Many municipalities lack the technical and financial capacity to fully integrate climate adaptation criteria into local planning.	Provide technical assistance, financial resources, and training to municipalities, especially those with limited institutional capacity.
Most households and small businesses are unprotected against losses from floods, hurricanes, or earthquakes. Low financial inclusion is a barrier for their uptake of traditional insurance.	Expand climate risk insurance coverage through parametric schemes and by subsidising premiums for low-income households.
Strengthening water management	
Water data is fragmented and often outdated, hampering the monitoring of overuse, illegal extraction and water quality and hindering policy design.	Develop a robust national water information system based on accurate, up-to-date, and consistent data on water resources, usage and quality.
Numerous water concessions were granted without adequate technical or environmental safeguards and based on outdated usage and hydrological data, contributing to overexploitation. Weak enforcement and outdated registries have allowed expired or non-compliant concessions to continue operating.	Prioritize the digitalization of water rights and increase audits, including through remote sensing technologies and field inspections.
Approximately 46% of water is lost through leakages caused by aging networks, outdated technologies, and insufficient maintenance. Many regions lack reliable access to clean water or adequate wastewater treatment.	Gradually invest in the rehabilitation of aging water infrastructure and expand wastewater treatment and mobilise private capital and expertise, especially for large-scale infrastructure projects.
The current methodology for setting water tariffs is highly fragmented, with each municipality determining rates independently. In many cases, tariffs are set below the real cost of extraction, treatment, distribution, and maintenance, with federal subsidies bridging the gap.	Establish a more transparent and cost-reflective water tariff framework, including the implementation of volume-based pricing, and ensure affordability through targeted transfers to low-income households

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4

Boosting digitalisation

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Mexico's digital transformation offers major opportunities to boost productivity, employment, and improve public service delivery. The new Agency for Digital Transformation and Telecommunications can accelerate reforms to boost digitalisation. To fully realise the benefits of digitalisation, Mexico should address persistent challenges, including high concentration in the mobile telecommunications market, low digital adoption among firms, particularly SMEs, cybersecurity vulnerabilities, and poor digital skills. Ensuring sound pro-competition regulations in the telecommunications market is critical to advance digitalisation. Aligning the spectrum fee scheme to international best practices, streamlining rights of way, standardising local regulation and promoting infrastructure sharing can foster investment and boost connectivity, including in underserved areas. Scaling up digital government can reduce administrative burdens, while a stronger focus on digital skills is critical to align the workforce with evolving labour market demands. Establishing a robust AI governance framework could promote investment and help Mexico fully capitalise on the opportunities offered by artificial intelligence and advanced computing technologies.

4.1. Leveraging digital adoption to drive productivity in Mexico

Mexico is undergoing a digital transformation that could have significant implications for economic growth, employment, and living standards. Digitalisation holds the potential to enhance aggregate productivity and raise wages, an especially critical opportunity given Mexico's structurally low productivity level (Figure 4.1, Panel A). Productivity growth has not only lagged the OECD average but has also diverged from that of regional peers and average OECD (Figure 4.1, Panel B). With population aging (CONAPO, 2023^[1]) expected to increasingly constrain the country's labour force expansion, the main driver of past growth (Figure 4.2), enhancing productivity is becoming ever more urgent.

Previous OECD Economic Surveys have analysed key factors influencing productivity, including infrastructure (OECD, 2024^[2]), business regulations (OECD, 2024^[2]), innovation (OECD, 2019), urban development (OECD, 2024^[2]) and financial inclusion (OECD, 2022^[3]). Other chapters in this Survey examine additional drivers such as trade, rule of law, corruption and crime, competition (Chapter 1), skills, and informality (Chapter 2). This chapter focuses on digitalisation offering a comprehensive evaluation of Mexico's digital transformation landscape. Section 4.2 assesses the current state and key challenges in areas such as digital infrastructure, technology usage and affordability, and the digital divide. It reviews past governance frameworks and their outcomes, and evaluates the new approach adopted by the current administration. It also highlights disparities in states' capacity to benefit from digitalisation, warning that without targeted policy action, these gaps may continue to widen.

Digital technologies may increase productivity by reshaping the structure of the economy and transforming products, services, processes, marketing and other operational activities. Digital platforms and electronic payments enable firms to expand their customer base, access new markets, and improve business models. Mobile applications integrated into marketing strategies allow firms to better understand and engage with customers, improving service personalisation and customer satisfaction. Adoption of IT systems, artificial intelligence, and robotics facilitates automation, reduce operational costs, and boosts efficiency and profitability. Cloud computing technologies support real-time monitoring, optimising manufacturing production processes with greater precision and speed.

While the digital transformation offers significant opportunities, it also brings critical regulatory challenges that must be addressed. Key risks include data protection and cybersecurity, particularly as reliance on cloud computing and internet-based services increases, heightening the potential for data breaches and privacy violations. Ensuring robust frameworks for personal data protection is essential. Effective regulation of digital markets is also needed to prevent platform providers from gaining excessive market power, including practices like exploiting proprietary data or engaging in price discrimination through customer profiling. Additionally, guaranteeing the independence and impartiality of the telecommunication regulator is vital for promoting competition, driving innovation and attracting investment. These issues, along with best practice examples, are explored in Section 4.3.

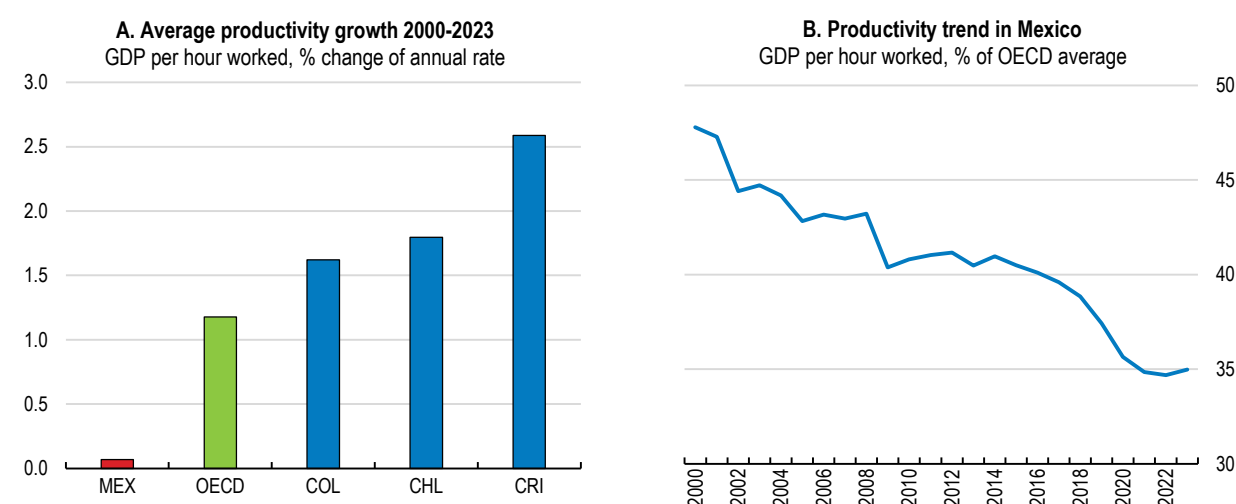
Mexico needs advancing digital government to streamline public service delivery, reduce bureaucratic costs and delays, and enhance transparency and accountability. These improvements can help curb corruption, build public trust, and boost the efficiency of tax collection and administration. Section 4.4 reviews recent policy efforts in digital government and explores solutions to key challenges. They include expanding digital service coverage through universal digital identity, mandating interoperability across systems, improving coordination across government levels, and strengthening cybersecurity. To ensure digital government contributes to equitable service provision, it is crucial to ensure digital accessibility of public services and provide adequate support to local governments.

Addressing skills shortages is essential to advancing Mexico's digital transformation. While the lack of skilled talent is a major barrier, the rapid adoption of digital technologies also risks disrupting existing business models and causing job displacement, particularly in sectors reliant on routine tasks. Section 4.5 explores both the risks and opportunities digitalisation presents for the labour market. To harness its benefits and mitigate adverse effects, Mexico must strengthen its education system to deliver foundational and advanced skills, and

promote retraining and upskilling initiatives aligned with labour market needs. These efforts are crucial to prevent labour market polarisation, support high-quality job creation, and foster inclusive growth.

Emerging technologies, particularly artificial intelligence (AI), could play a pivotal role in Mexico's digital future. From streamlining manufacturing processes and strengthening financial risk management to revolutionizing healthcare diagnostics and personalizing education through adaptive learning, AI holds immense promise for boosting productivity across sectors. However, as outlined in Section 4.6, despite existing initiatives (OECD AI Policy Observatory, 2025^[4]) Mexico faces significant hurdles in boosting AI adoption, including the need for increased investment and a robust talent pipeline. The section emphasises the urgency of establishing a national AI strategy and enacting targeted regulations aligned with global standards to ensure that innovation progresses responsibly, safeguarding privacy, security, and transparency. Mexico's adherence to the OECD AI Principles and its participation in the Global Partnership on AI provide a strong foundation for these efforts.

Figure 4.1. Productivity growth in Mexico has been very weak for the past two decades

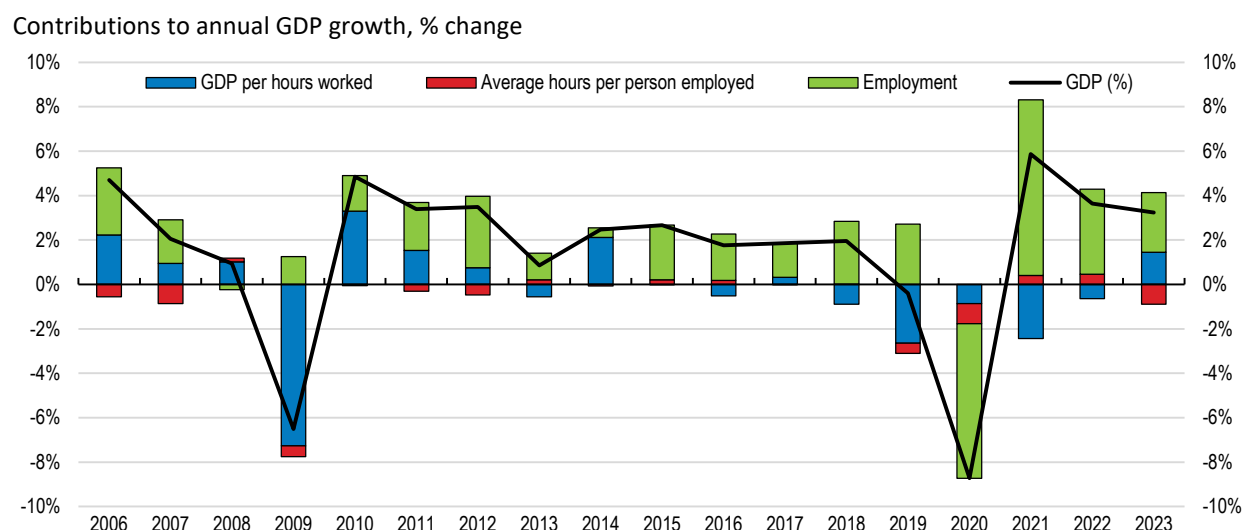


Note: In Panel A, GDP per hour worked is measured as US dollars per hour, PPP converted, constant prices 2020.

Source: OECD Productivity (database).

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Figure 4.2. Mexico's growth has relied on labour force expansion rather than productivity gains



Source: OECD Productivity (database).

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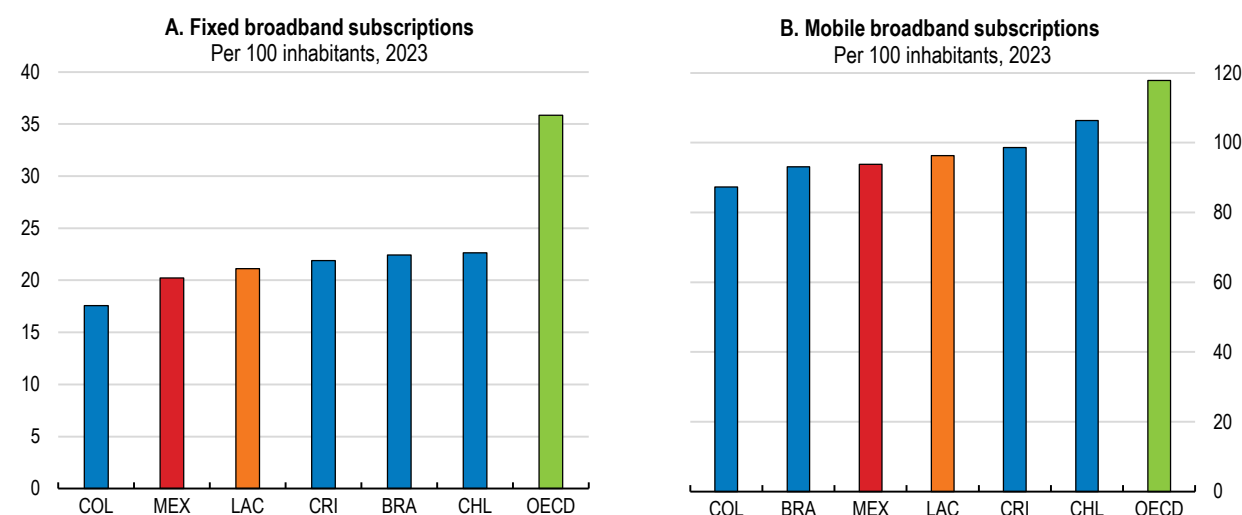
4.2. Mexico's digital development

4.2.1. Connectivity gaps remain significant

A robust digital infrastructure is fundamental to the development of a thriving digital economy. High-speed broadband, advanced 5G networks, and reliable electricity grids are essential enablers of digital transformation that facilitates business innovation, supports participation in the digital economy, and enhances the delivery of digital services to citizens.

Mexico has made progress in recent years in expanding and improving its digital infrastructure, leading to an increase in broadband accessibility. In providing access to digital technologies, Mexico's performance is comparable to that of its regional peers, although it still lags behind the OECD average (Figure 4.3). Average broadband speed and 5G network coverage remain below OECD standards. The average broadband speed reaches 47 Mbps, significantly lower than the OECD average of 120.8 Mbps. Similarly, 5G coverage stands at 52%, a notable improvement from 18.8% in 2022, yet still falls short of the OECD average of 76%. This hinders the broader adoption of data-intensive digital technologies such as cloud computing, digital communications, online transactions, and machine-to-machine applications. These technologies are increasingly vital across various sectors, including education, retail and agriculture, and are essential for boosting innovation and productivity. Mexico also needs expanding its mobile telecommunications infrastructure, as approximately 15% of municipalities, home to 2.1% of the population, lack any passive infrastructure provider (e.g., towers), while 36% have only one, affecting another 8.1% of the population (IFT, 2024^[5]). In its 2026 budget proposal, the Mexican government allocated approximately USD 700 million to the Mexican Space Agency to support satellite projects that include also the expansion of connectivity in regions where terrestrial infrastructure is not feasible.

Figure 4.3. Mexico needs to further improve its digital infrastructure



Note: LAC is a simple average of Chile, Colombia, Costa Rica and Brazil.
Source: OECD Going for Digital (database).

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Investing in digital infrastructure is essential not only to expand and improve connectivity, but also to accommodate the growing volume of internet data and to modernise existing systems for integration with high-speed, data-intensive technologies. These investments are expected to be substantial in Mexico, as in other Latin American countries (CET.LA, 2025^[6]). Facilitating such investment will require an enabling regulatory environment in both the telecommunications and digital markets (see Section 4.3). Adequate regulation can help attract private investment, ensure fair competition, and support the deployment of next-generation infrastructure.

Further investment is also needed to strengthen Mexico's advanced digital infrastructure. While installed data centre capacity is growing, currently at 235 MW, with an additional 70MW planned, it remains well below major global players such as the United States (53 GW), China (31.2 GW), the European Union (11.9 GW), India (3.6 GW) and Brazil (590 MW), the largest in Latin American. Moreover, none of the world's top 500 supercomputers is located in Mexico.

4.2.2. The use of digital technologies is rising, but from a low base

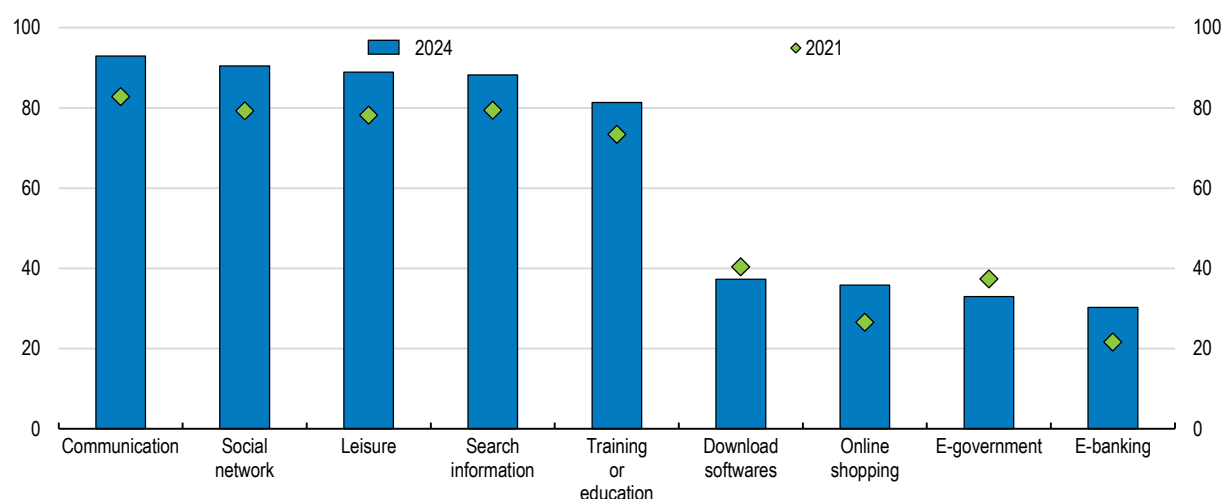
The use of digital technologies is increasing in Mexico, supported by improvements in digital infrastructure coverage. With 12 million of additional internet users over the period 2021-2024 (+13%) (INEGI, 2024^[7]), internet penetration among individuals aged 16-74 reached 84.5%, around 7 percentage points higher than in 2021, yet still behind most OECD countries and regional peers such as Chile, Costa Rica and Brazil.

Approximately 20 million Mexicans (nearly 16% of the population) still do not use the internet. This exclusion is more severe in rural areas, where 31% remain offline, compared to 13% in urban areas. Key barriers include lack of digital skills (9.1%), limited interest or perceived relevance (3%), infrastructure gaps (2%), and economic constraints (2%). To uphold internet access as a constitutional right, targeted policy actions are needed to close these gaps. Priorities include enhancing digital skills (Section 4.5), raising awareness of internet benefits, expanding infrastructure, and reducing access costs.

Achieving widespread diffusion and effective use of digital technologies is a critical pillar of digital transformation. While many Mexican internet users engage in online learning, information searches and communication, activities like e-commerce and e-banking are growing from a low base (Figure 4.4), potentially due to concerns around security and trust (see section 4.4.3) and a low level of financial inclusion, as analysed in the 2022 Economic Survey of Mexico. Engagement with online government services remains limited, also in international comparison (Figure 4.5), and has declined (INEGI, 2024^[7]), highlighting the need for stronger public sector efforts to expand digital service delivery (Section 4.4).

Figure 4.4. The number of Mexicans using the internet for online shopping and e-banking is increasing

Internet users by usage, % of internet users

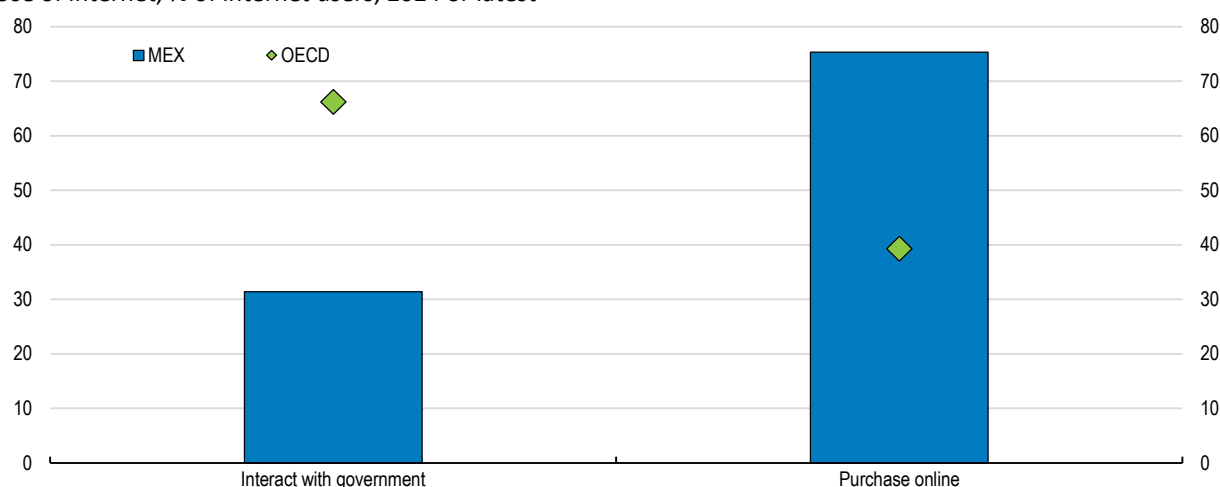


Source: INEGI Encuesta Nacional sobre Disponibilidad y Uso de Tecnologías de la Información en los Hogares (ENDUTIH) (database).

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Figure 4.5. Few Mexicans use internet to access government services

Use of internet, % of internet users, 2024 or latest



Source: OECD Going Digital Toolkit (database).

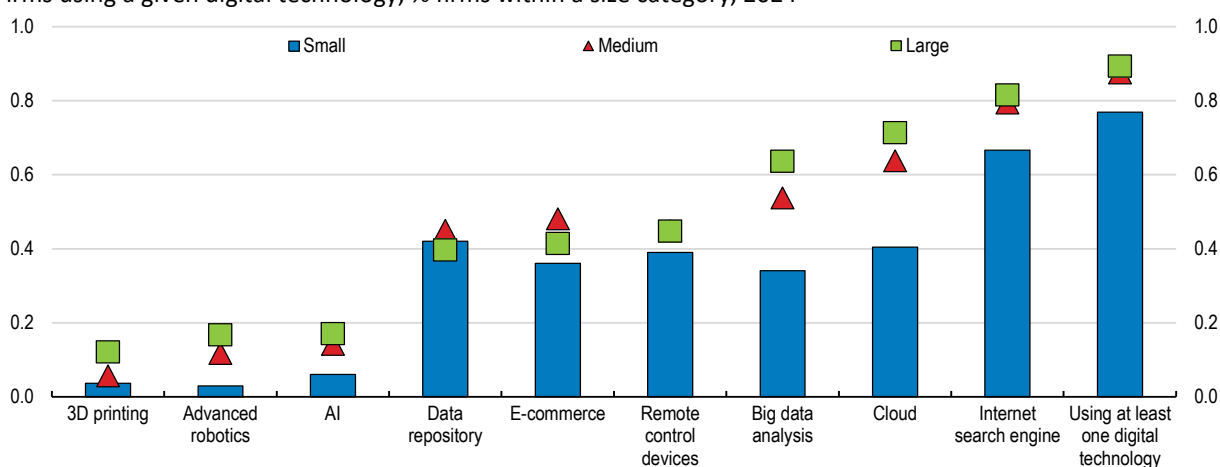
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Micro, small, and medium-sized enterprises (MSMEs) lag larger firms in the uptake of digital tools, and this gap widens as technologies become more sophisticated (Figure 4.6). Internationally, Mexican firms are below the OECD average in having a web presence (Figure 4.7) or purchasing cloud services (see section 4.6), though they outperform the OECD average in e-commerce adoption. Digitalisation presents a powerful opportunity to boost aggregate productivity by narrowing the digital adoption gap. By embracing digital technologies, MSMEs can enhance operational efficiency, access new markets, integrate into digital value chains. Survey data confirms that firms using internet report higher productivity through increased sales and reduced costs (IFT, 2023^[8]). Across all firm sizes, those using digital technologies also show higher wages and profit per employee (Figure 4.8).

Given that MSMEs contribute an estimated 52% of GDP and account for over 70% of employment, improving their digital capabilities is critical to Mexico's broader economic performance. However, budget constraints and limited awareness of digital benefits (Movistar, 2023^[9]) remain key barriers. The rapid expansion of Fintechs offers a promising avenue to support SME digitalisation (Finnovista, 2025^[10]), though the sector remains relatively small and most new credit initiatives focus on consumer credit. To accelerate SME digitalisation, Mexico could scale and refine existing government programs, as discussed in section 4.6.

Figure 4.6. Small firms lag behind in the adoption of digital technologies

Firms using a given digital technology, % firms within a size category, 2024



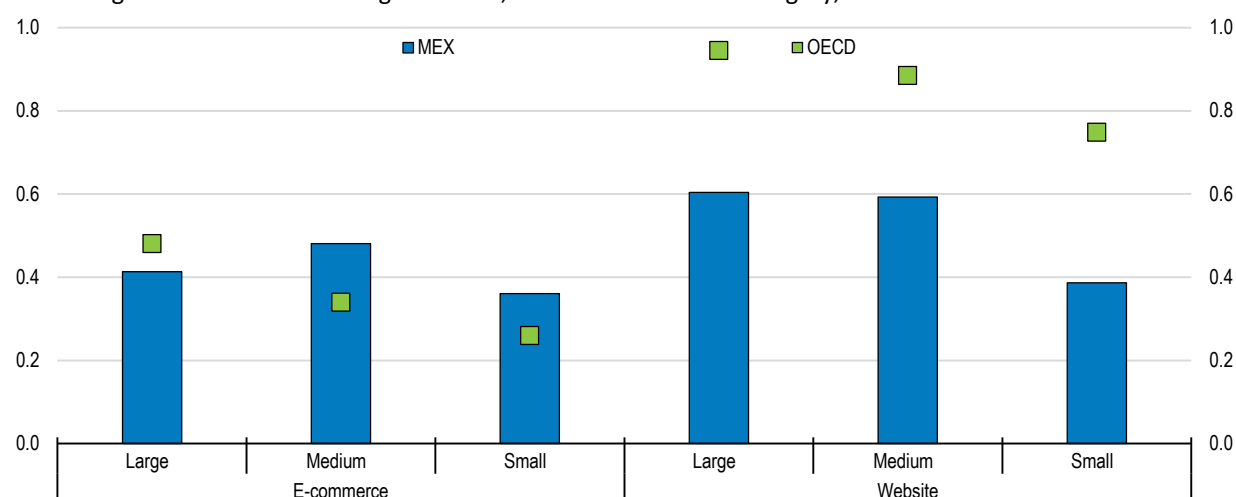
Note: Firms are classified as small (11–50 employees), medium (51–250 employees), or large (251+ employees).

Source: INEGI Censos Económicos 2024 (database).

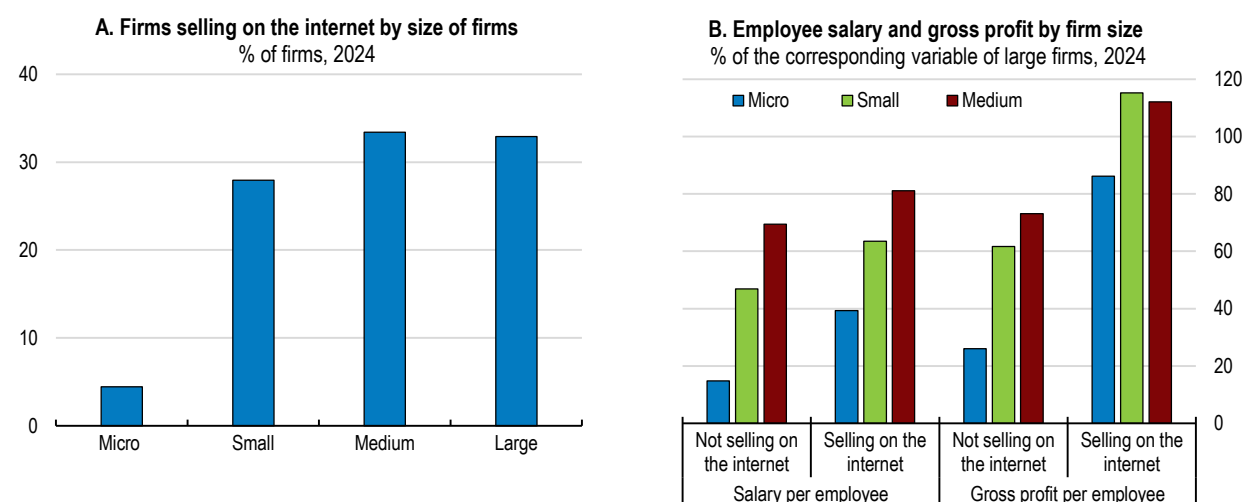
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Figure 4.7. Few firms have a website

Firms using e-commerce and having a website, % firms within a size category, 2024



Note: Businesses are classified as small (11–50 employees), medium (51–250 employees), or large (251+ employees).

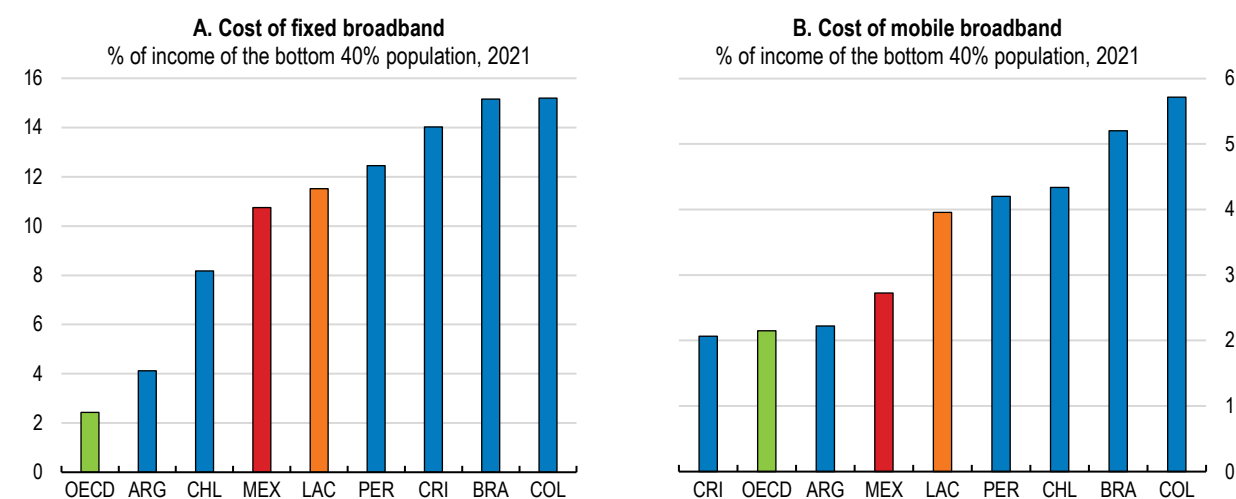
Source: INEGI, *Censos Económicos 2024* (database); and *OECD Going for Digital* (database).StatLink  <https://stat.link/hq6kv1>**Figure 4.8. Firms selling on the internet have higher wages and profits**

Note: Businesses are classified as micro (0–10 employees), small (11–50 employees), medium (51–250 employees), or large (251+ employees).

Source: INEGI *Censos Económicos 2024* (database).StatLink  <https://stat.link/jps4f1>

Affordable telecommunications are a key enabler of digital transformation, directly influencing the ability of individuals and businesses to access and benefit from digital technologies. Broadband services in Mexico have become increasingly affordable in recent years, particularly in the mobile segment. Between 2018 and 2024, the price of mobile phone services declined by 11% in nominal terms and 46% in real terms, supported by the 2013 telecommunications reform (OECD, 2025^[11]). In contrast, fixed-line telephone service prices remained nominally unchanged but fell by 34% in real terms over the same period.

The differing price dynamics between mobile and fixed broadband had varied impacts on affordability for low-income households. For the bottom 40% of the population, mobile broadband is approximately one-fourth the cost of fixed broadband and is comparable to the OECD average. In contrast, in Mexico the cost of fixed broadband accounts for a share of low-income users that is five times higher than the OECD average, posing a significant barrier to inclusive digital access. (Figure 4.9).

Figure 4.9. The cost of fixed broadband is high for low-income households

Note: In both Panels, LAC is a simple average of Chile, Colombia, Costa Rica, Argentina, Brazil, and Peru.

Source: IDBB 2021.

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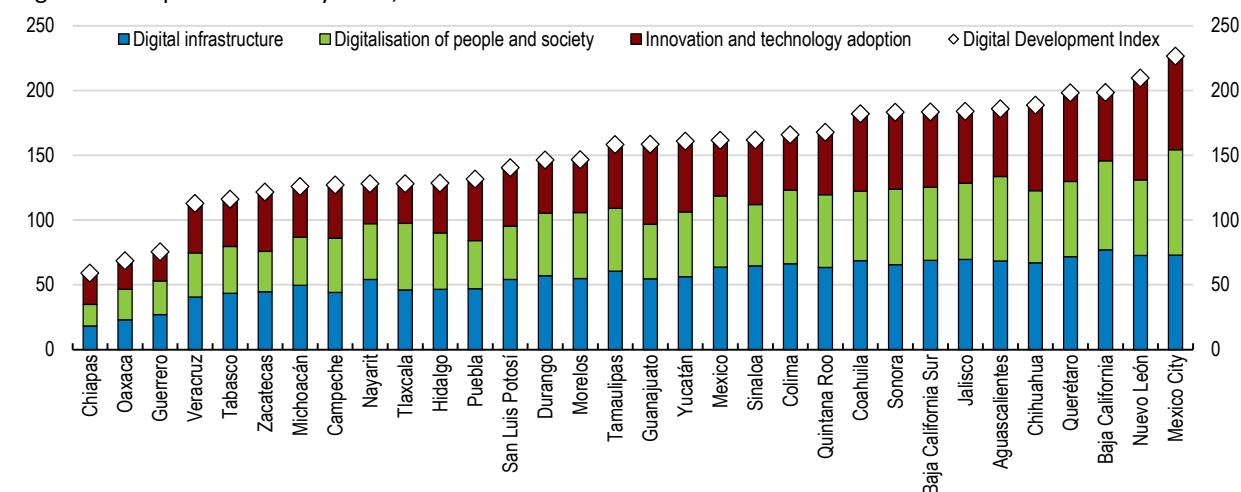
Market concentration remains relatively high in Mexico's telecommunications sector, particularly in the mobile segment. Enhancing competition and strengthening regulatory oversight could help further lower broadband prices and improve service quality. These goals fall under the mandate of the newly established telecommunications regulator and the forthcoming competition authority. Section 4.3 will examine the effectiveness of this new institutional setup and outline strategic actions to support their mandates.

4.2.3. Readiness to digitalisation is uneven across states and firms

Mexican states vary significantly in their readiness to embrace the digital transformation. Large gaps exist in infrastructure, internet penetration, access to digital tools and services, and digital skills (Figure 4.10). Leading states (e.g., Ciudad de México, Nuevo León) score around five times higher than lagging states (e.g., Oaxaca, Guerrero) in digital development state indexes (Centro México Digital, 2024_[12]).

Figure 4.10. Digital readiness is uneven across states

Digital Development Index by state, 2024



Note: The chart shows the Digital Development Index together with the three pillars composing it: digital infrastructure, digitalisation of people and society, and innovation and technology adoption.

Source: (Centro México Digital, 2024_[12]).

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Long-standing structural inequalities, combined with Mexico's geographical and cultural diversity, compounds digital divides. States with low digital capacity also tend to rank low on the Human Development Index (HDI), which reflect regional disparities in health, education, and living standards. If left unaddressed, digital gaps risk deepening existing social and economic inequalities. The uneven distribution of digital enablers, such as infrastructure, connectivity and skills, across regions risks further widening regional disparities and hindering inclusive development (Box 4.1).

Box 4.1. Can digitalisation drive economic convergence in Mexico?

Mexico faces persistent regional disparities, with limited evidence of economic convergence among its states. This is confirmed by a beta-convergence analysis (Barro and Sala-i-Martin, 1992), which assesses whether poorer states have been catching up with richer ones over the 2003–2022 period, conditional on their starting conditions. During this period, real GDP per capita grew sluggishly, averaging just 0.5% per year. In particular, the following model is estimated:

$$\ln(\Delta GDPpc_{i,2003-22}) = \alpha + \beta \ln(GDPpc_{i,2003}) + \varepsilon_i$$

where $\ln(\Delta GDPpc_{i,2003-22})$ is the growth rate of real GDP per capita between 2003 and 2022 of state i , $GDPpc_{i,2003}$ is the initial level of real GDP per capita, α is a constant and ε_i is the error term. β is the parameter capturing convergence: a significantly negative β indicates that poorer states grew faster, consistent with convergence. Estimates reject the hypothesis of regional convergence (Table 4.1).

Table 4.1. Regional economic convergence is not significant

Model	OLS	SAR	SEM
β	-0.0042	-0.0052	-0.0052

Note: lack of the symbol * implies lack of statistical significance at least at the 90% level. OLS stands for Ordinary least square. A spatially lagged dependent variable model (SAR) accounts for the possibility that growth in one state might depend on the growth rate of the neighbouring states. A spatially lagged errors model (SEM) accounts for systematic measurement errors due to the spatial correlation of the variables.

Source: Boumahdi (forthcoming).

Digitalisation in Mexico risks deepening rather than narrowing regional disparities. For digitalisation to drive convergence, lagging states would need to exhibit higher growth potential and digital readiness than leading ones. However, state-level indicators of economic growth potential and digital readiness show that wealthier states, primarily located in the North and Centre of the country, are significantly better positioned to benefit from digital transformation. In contrast, poorer states, mostly concentrated in the South-West, lag behind in both dimensions, suggesting that digitalisation is likely to amplify existing gaps (Figure 4.11).

Figure 4.11. Level of digital readiness and potential growth across Mexican states



Note: States are classified based on their position in the distribution of the average between digital readiness and growth potential indicators. Those in the lowest quartile are labelled “low”, the second lowest “intermediate low”, the second highest “intermediate high”, and the top quartile “high.”

Source: Boumahdi and Maravalle (forthcoming); and Centro México Digital.

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4.2.4. The government is strengthening institutional capacity and strategic coordination for the digital transformation

Since January 2025, Mexico's digital policy has been consolidated under a new authority, the Agency for Digital Transformation and Telecommunications (ADTT). Reporting directly to the executive, the ADTT is responsible for implementing the objectives of the National Development Plan in areas such as digital inclusion, e-government, ICT development, data governance and cybersecurity. The ADTT's broad mandate encompasses oversight of telecommunications and broadcasting, infrastructure expansion, ensuring universal access, and improving spectrum allocation. It also designs regulations for digital markets, data protection and digital government, while promoting interoperability and administrative simplification. Recent legal reforms, including the Law to Eliminate Bureaucratic Procedures and the updated Telecommunications and Broadcasting (*Ley en materia de Telecomunicaciones y Radiodifusión*) consolidate key functions and provide a strong legal foundation for the ADTT to lead digital government and data policy across the federal public sector.

Backed by strong political support and a centralised mandate, key prerequisites for successfully promoting digitalisation across the country, the ADTT holds significant influence over Mexico's digital agenda. International evidence shows that a successful digital transformation requires strong governance, a clear strategic vision, effective coordination across government levels, and integration of digitalisation into legal and institutional reforms to ensure long-term sustainability (OECD/CAF, 2023^[13]) (Box 4.2).

Box 4.2. Advancing digital government: the cases of Colombia and Iceland

Colombia has achieved a high level of digital readiness through its comprehensive Digital Government policy, which integrates digital strategy, e-government, cybersecurity, infrastructure sharing, and smart city initiatives. These efforts have significantly improved public sector management and the provision of public services to citizens. For example, a residence certificate that took six weeks and required in-person visit can now be obtained online in a few minutes. Colombia's Digital Government policy is structured around two pillars. ICT for society enhances public access to data and promotes citizen participation in the design of policies and regulations. ICT for government strengthens institutional performance and public servants' digital skills.

Iceland, since launching its national digital strategy in 2021, has made notable progress by adopting a whole-of-government approach. Key achievements include the Ísland.is portal, which centralises access to state services, and mobile-accessible digital certificates that allow secure verification of rights without physical documents.

Source: (ITU, 2023^[14]; IBRD/WB, 2022^[15]; OECD, 2018^[16]; EC-OECD, 2025^[17]).

A major challenge for ADTT lies in coordinating with Mexico's state and local governments, which hold significant regulatory authority. While ADTT mandates are binding across public administration in some areas, gaps remain, particularly in areas like cybersecurity. Limited local capacity can hinder effective implementation, as discussed in Section 4.4.1 on administrative simplification. Expanding the ADTT's mandate to include explicit coordination with local governments and strengthening intergovernmental coordination mechanisms will be essential to ensure consistent implementation of national digital policies and reinforce Mexico's institutional capacity for digital transformation.

Despite its broad responsibilities and mid-term goals, ADTT's resources remain modest, 3 billion Mexican pesos (160 USD million) in 2025 and 3.85 billion Mexican pesos (205 USD million) in 2026). This underscores the need for clear priorities and detailed action plans to ensure effective implementation. Mexico would benefit from a multiannual budgetary planning for its national digital strategy, including project investment plans. Such planning should also consider leveraging existing resources within federal agencies that collaborate with ADTT on joint initiatives. This would enable more accurate resource planning and budgeting. Drawing on international best practices, Mexico could adopt financial mechanisms that promote

quality management in ICT projects. For example, Norway's Ministry of Finance conducts annual budget assessments as part of a broader quality assurance framework. Mexico could also expand funding mechanisms to support local digital initiatives, fostering intergovernmental cooperation and more consistent implementation of national digital policies.

4.3. Strengthening Mexico's regulatory framework of the digital economy

Effective regulation of telecommunications, digital markets, and data protection is critical to Mexico's digital transformation. Strong institutions and sound policies can expand coverage, foster competition, attract investment and ensure a safe and trustworthy digital environment. This section reviews Mexico's digital regulatory framework and highlights reforms needed to boost connectivity, improve market outcomes and protect users.

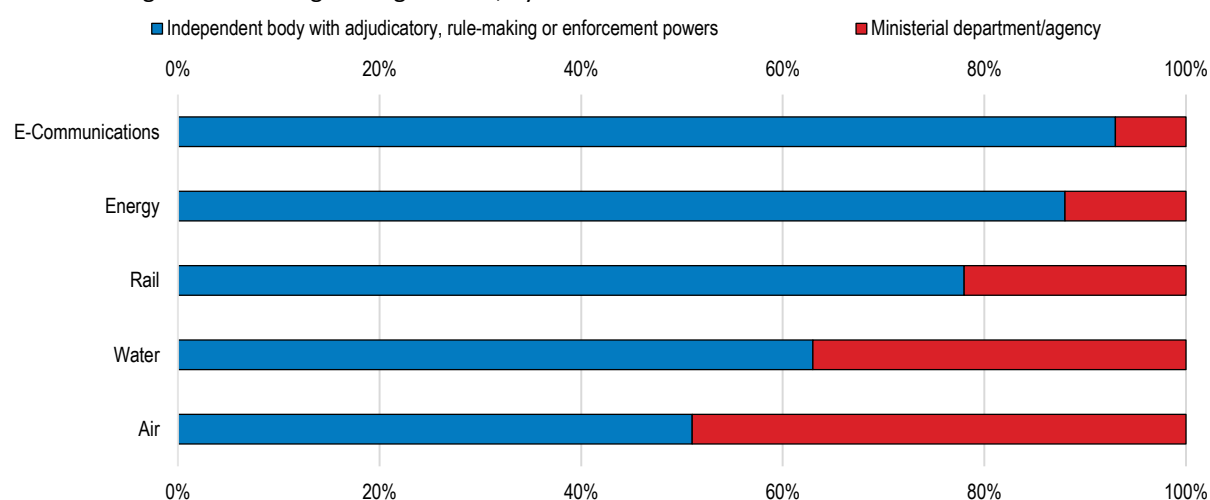
4.3.1. Safeguarding independent telecom regulation

In 2025, Mexico dissolved the independent Federal Telecommunications Institute (IFT) and transferred its functions to a new Telecommunications Regulatory Commission (CRT) under the Agency for Digital Transformation and Telecommunications (ADTT) to eliminate duplication, reduce costs, and improve public governance. Unlike the IFT, the CRT lacks autonomy: its members are appointed by the President and confirmed by a simple Senate majority. This reform raises concerns about impartiality and long-term regulatory certainty, which are essential for attracting investment in broadband and 5G.

Independent regulators are the norm across OECD countries (Figure 4.12) and are associated with greater investor confidence, stronger competition and more innovation. Mexico's own experience with the independent IFT is one of significant progress, with mobile broadband subscriptions increasing by 93.9 million and prices falling by 69% to 85% between 2013 and 2023 (OECD, 2025^[11]). OECD Best Practice Principles for the Governance of Regulators emphasise that a single, independent regulator should oversee the sector and have commensurate powers to carry out its role and operational distance from government. Weakening regulatory independence risks deterring investment in broadband and 5G, slowing connectivity improvements.

Figure 4.12. Most countries have an independent regulator in the e-communications sector

Share of all regulators with a given legal status, by sector



Note: The survey includes regulators from 44 countries, 37 OECD countries (United States excluded) and seven non-OECD countries (South Africa, Brazil, Bulgaria, Croatia, Malta, and Peru).

Source: (Van Langen et al., 2025^[18]) ECD 2023 GSR indicators survey.

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Ensuring the true independence of Mexico's telecommunications regulator is essential for safeguarding impartial decision-making and promoting fair market competition. To function effectively, such a regulator should be supported by a robust governance framework that ensures its effective operation, safeguards regulatory integrity, impartiality and independence, and enables it to fulfill its mandate (OECD, 2014^[19]; OECD, 2021^[20]). High levels of independence, from both the entities it regulates and the government, enhance trust in regulatory decisions, promote open market access, and prevent the abuse of dominant positions. This can be achieved through measures such as decoupling board members' mandates from the political cycle and strengthening the technical requirements for appointments, thereby insulating the regulator from political influence. Other options could include transforming the CRT into a self-governing body (*órgano descentralizado*), which would grant it greater autonomy than its current status as a deconcentrated entity (*órgano desconcentrado*).

Enhancing transparency in the appointment process of the members of the CRT is also critical. Mexico could draw on international best practices, such as those adopted in Colombia, where three out of four members of Colombia's Communications Commission, part of the Communications Regulatory Commission, are selected through a public, merit-based competition. This process includes a widely publicised call for applications and a rigorous technical evaluation conducted by the National University.

The regulator should also be provided with adequate resources to fulfill its mandate. In particular, the CRT should be capable of monitoring and enforcing recent measures issued by the IFT to increase competition in communications markets. In the mobile services market, for example, these measures prevent the predominant operator from delivering locked terminal equipment, establishing mandatory or minimum contract terms for telecommunications services, bundling terminal equipment discounts with service provision, and using win-back strategies for 60 days after a user switches providers. In addition, these recent measures aim to facilitate the replicability of public rates offered by the predominant operator and strengthen the predominant operator's obligations to provide information to the regulatory authority.

4.3.2. Safeguarding competitive neutrality and regulatory effectiveness

Two state owned enterprises (SOEs) play a significant role in Mexico's telecom sector: Altán Redes, which holds a wholesale concession and exclusive rights over the 700Mhz spectrum band, key for 5G (Ebyte, 2024^[21]; Xiang et al., 2021^[22]); and Federal Electricity Commission (CFE), which provides retail services in underserved areas. While these entities can help extend coverage, their strong position also raises concerns about competitive neutrality, especially after CFE's recent acquisition of a 23% stake in Altán.

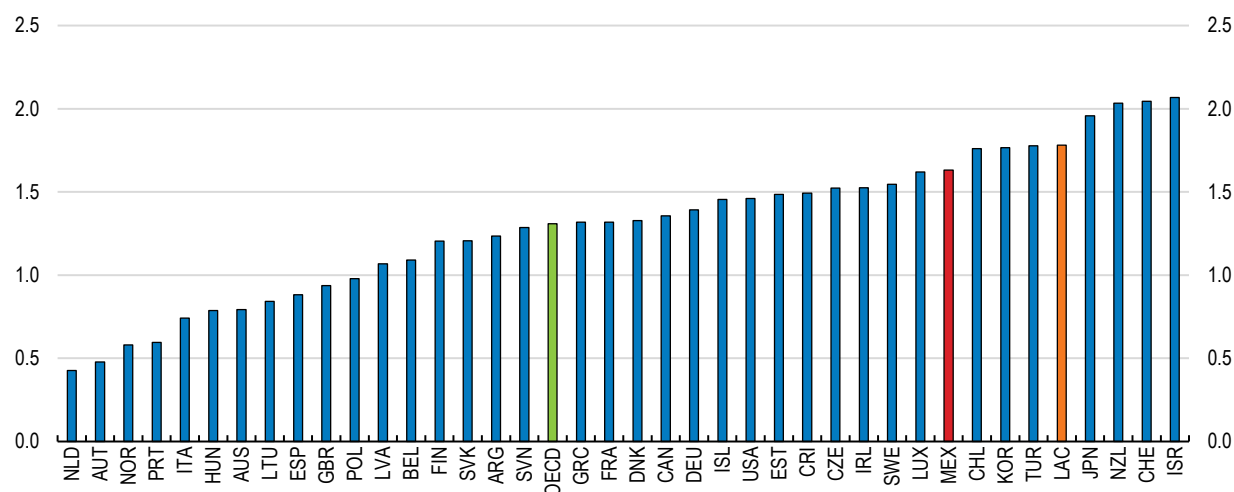
Recent regulatory changes increase the risk of infringing competitive neutrality, a principle requiring that SOEs do not benefit from undue advantages over private competitors solely due to public ownership. The July 2025 Telecommunications and Broadcasting Law (*Ley en Materia de Telecomunicaciones y Radiodifusión*, articles 79, 127, and 130) allows SOEs to be assigned frequency for commercial use. This possibility raises doubts about the enforceability of the safeguards established by the former regulator to ensure a level playing field, particularly in relation to the Federal Electricity Commission (CFE). International best practice requires SOEs to compete on equal terms with private firms. Mexico should ensure strict separation between regulator and operator roles, enforce safeguards against conflicts of interest and strengthen transparency in SOE operations. Strengthening the autonomy of Mexico's new telecommunications regulator, as discussed in section 4.3.1, is essential for maintaining this separation. Reforming the governance of the CFE in line with the OECD guidelines on corporate governance of State-Owned Enterprises can help reduce the risk of political interference, enhance transparency, and promote more efficient and accountable management.

Another pressing issue is the high level of regulatory barriers to competition in Mexico's telecommunications sector, which exceed the OECD average (Figure 4.13). A central concern is the future of asymmetric regulation, a key tool for promoting competition by imposing stricter obligations on dominant firms while easing requirements for smaller players. Under Mexico's 2025 telecom reform, responsibility for asymmetric regulation is split between the Telecommunications Regulatory Commission (CRT) and the National Antitrust

Commission (CAN). The CAN will define the criteria to identify dominant firms, while the CRT will define how asymmetric measures are applied, monitored and enforced. Entrusting full responsibility for asymmetric regulation to the communications regulator is in line with best practice in most OECD countries. This regulatory tool has been instrumental in bridging the connectivity gap in rural areas, particularly by facilitating simplified concession procedures for community and indigenous networks.

Figure 4.13. Regulatory barriers in the telecommunications sector are high in Mexico

Product Market Regulation (PMR) in e-communications sector, index, from 0 ("more competition friendly") to 6 ("less competition friendly"), 2023-2024



Note: LAC is a simple average of Chile, Colombia, Costa Rica, Brazil and Peru.

Source: OECD Product Market Regulation (PMR) (database).

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4.3.3. Making spectrum more affordable

Spectrum fees in Mexico are among the highest in the OECD, mainly due to elevated annual charges. The total cost of most frequencies is almost twice the international median (GSMA, 2022^[23]) (Figure 4.14), and contributes to persistent high market concentration (IFT, 2023^[24]) (Figure 4.15), with one operator holding approximately 56 % of mobile broadband connections (IFT, 2024^[25]). These costs are an important factor deterring new entrants, limiting the growth of operators other than the preponderant and slowing network expansion, especially in rural and underserved areas. The high cost of spectrum in Mexico stems from a dual-pricing scheme: an upfront auction fee combined with a high, administratively determined, annual fee. In practice, the annual fee accounts for 70% to 90% of the total spectrum cost, unlike the more common OECD model, where auctions determine the full payment amount (OECD, 2022^[26]).

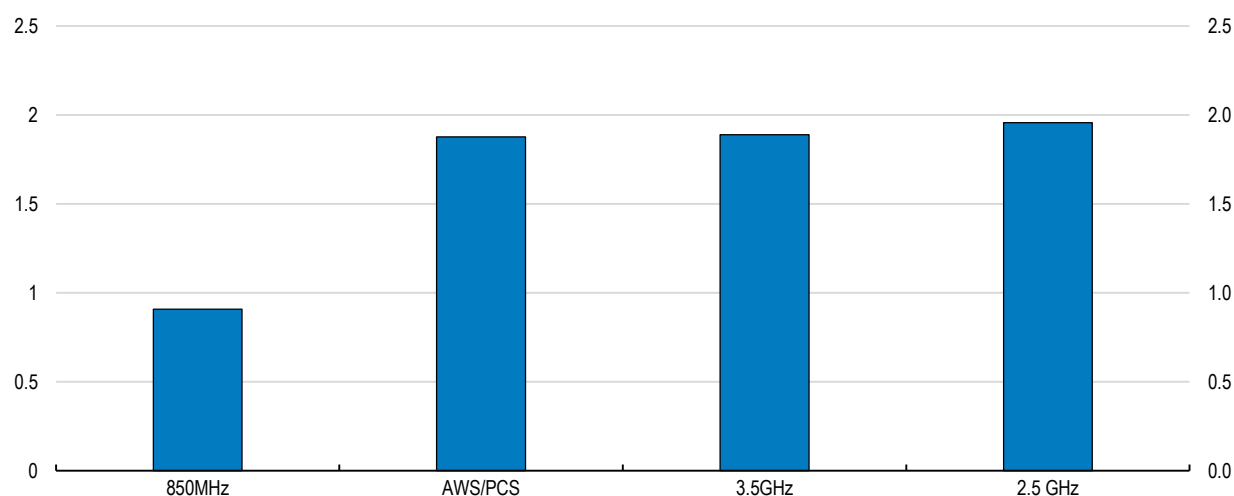
High spectrum cost adversely affects the viability of investments in mobile networks (GSMA, 2025^[27]), leading to the return of frequencies one company returned all its spectrum holdings in Mexico, citing high spectrum costs as a key factor. Recent tenders have seen low participation, leaving several frequency blocks unassigned. As of 2025, Mexico's total allocated spectrum stands at 562 MHz, well below the International Telecommunication Union's recommended minimum of 1,280 MHz (CIU, 2025^[28]).

Aligning spectrum pricing with international practice, shifting towards one-off auction fees and reducing annual administrative fees, would lower barriers to investment and support 4G and 5G deployment. Experience across the OECD has shown that transparent and well-designed spectrum licensing regimes provide legal certainty to foster long-term investment and innovation. Mexico's elevated annual fees have also failed to maximise fiscal returns. Instead, they have discouraged full spectrum allocation, prompting some

operators to return previously assigned frequencies. Between 2020 and 2023, the IFT estimated that Mexico lost approximately 13 billion pesos (around USD 700 million, or 0.04% of 2024 GDP) due to underutilised spectrum (IFT, 2023^[24]), with further losses likely if current pricing policies persist. The most recent auction left the large majority of blocks unassigned (38 out of 41), signalling waning interest from operators and further potential losses. In contrast, the OECD emphasises the role of spectrum assignment as a tool to enhance economic and social welfare, not just fiscal revenue (OECD, 2022^[26]).

Figure 4.14. The cost of spectrum in Mexico is high in international comparison

Total cost of spectrum in Mexico by frequency, multiple of international median cost, 2021

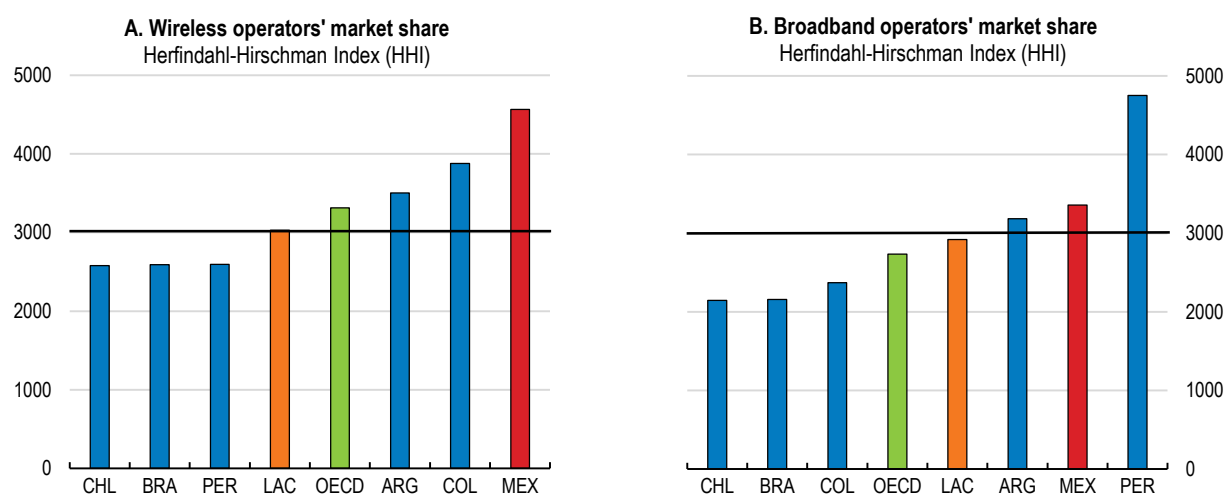


Note: The international median is computed over 40 countries: Argentina, Australia, Austria, Belgium, Brazil, Canada, Chile, Colombia, Costa Rica, Croatia, Czech Republic, Denmark, Dominican Republic, Finland, France, Germany, Greece, Honduras, Hong Kong, Hungary, Iceland, Ireland, Luxembourg, Netherlands, Norway, Paraguay, Peru, Poland, Portugal, Romania, Slovakia, Slovenia, South Korea, Spain, Sweden, Switzerland, Turkey, and United Kingdom.

Source: IFT 2023.

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Figure 4.15. The wireless and broadband markets remain highly concentrated



Note: A market is considered competitive for values of the HHI below 3000. Data for Mexico refers to 2024 and for all countries to 2021. LAC is the simple average of Chile, Colombia, Argentina, Brazil, and Peru.

Source: *Inclusive Internet Index 2023* (database); and IDDB 2025 (Mexico only).

StatLink  <https://stat.link/vojwq7>

Reducing annual fees could encourage investment and help to expand infrastructure in underserved areas, and modernise existing networks. Studies indicate that aligning spectrum costs with global averages could extend 4G coverage to 5 million more Mexicans and increase data speeds by 30% (IFT, 2023^[24]). While this policy shift may initially reduce fiscal revenues, it would significantly lower the risk of spectrum remaining unallocated or being returned, likely increasing revenues over time, as to generate a higher present discounted value of the future stream of fiscal revenues of as much as 45 billion Mexican pesos (IFT, 2023^[24]).

To foster mobile deployment and bridge connectivity divides, Mexico could reduce spectrum costs by reforming its current fee structure. In line with OECD recommendations (OECD, 2017^[29]), the country could rebalance the distribution between upfront auction fees and recurring annual charges to ensure that auctions reflect the fair market value of spectrum. This may involve eliminating or lowering annual fees in future auctions to consider the effects of these recurring fees on meeting policy objectives.

The June 2025 telecom reform introduces a mechanism to lower spectrum costs through discounts tied to infrastructure investment or expanded coverage in underserved areas. International experience shows that well-designed non-monetary spectrum access schemes can effectively accelerate 5G deployment (e.g., European Union, Colombia, Ecuador, Peru, Panama and Brazil). According to the Agency for Digital Transformation and Telecommunications, applying a 30% discount would have reduced the average spectrum cost below the international average by approximately 9.4% in 2023, 12.7% in 2024, and 15.6% in 2025. In the absence of such discounts, costs would have continued to exceed global benchmarks. It is therefore essential that the upcoming frequency auction regulation, due within six months of the establishment of the new Telecommunications Regulatory Authority, sets out clear, transparent conditions and provides adequate economic incentives to sufficiently reduce spectrum costs.

4.3.4. Streamlining local regulation for broadband infrastructure deployment and enhancing infrastructure sharing

Deployment of broadband infrastructure faces significant obstacles from local regulations, including restrictive zoning, cumbersome permitting and inconsistent rules across municipalities. At the municipal level, regulatory requirements for mobile networks installations often exceed what is technically or legally justified, increasing compliance costs and complexity (CONAMER, 2020^[30]). For broadband networks, access to rights of way is a critical bottleneck that has slowed infrastructure expansion.

The deployment of telecommunication infrastructure in Mexico could accelerate by streamlining rights of way, standardising local procedures and promoting infrastructure sharing. One key barrier is the failure of local regulations to align with the General Law on Human Settlements, Land Use Planning, and Urban Development. Many local rules still restrict network deployment by limiting infrastructure to specific land uses, excluding residential areas, or imposing outright bans. To address these challenges, states and municipalities should update their regulations to remove such restrictions. Additionally, standardising procedures and requirements, particularly among neighbouring municipalities, and making them easily accessible online would reduce administrative burdens and accelerate infrastructure deployment.

The 2025 Telecom Reform grants the newly established Telecommunication Regulatory Commission (CRT) powers that might advance both infrastructure sharing and the streamlining of local regulation. First, the CRT is authorised to issue guidelines governing infrastructure sharing, which concessionaries must consider when drafting infrastructure sharing agreements. In cases of disagreement, the CRT is empowered to set technical and tariff conditions. Second, the CRT is mandated to develop a national regulatory framework for the deployment of telecommunication infrastructure, which will be mandatory across all levels of government. This is a welcome development, as access conditions to the preponderant operator's infrastructure, including wholesale tariffs, have repeatedly been identified by the regulator and market participants as a constraint on effective competition (IFT, 2022^[31]). It will be essential for the CRT to exercise these powers and monitor their effectiveness in promoting infrastructure sharing and standardising local regulation.

4.3.5. Strengthening regulation of digital markets

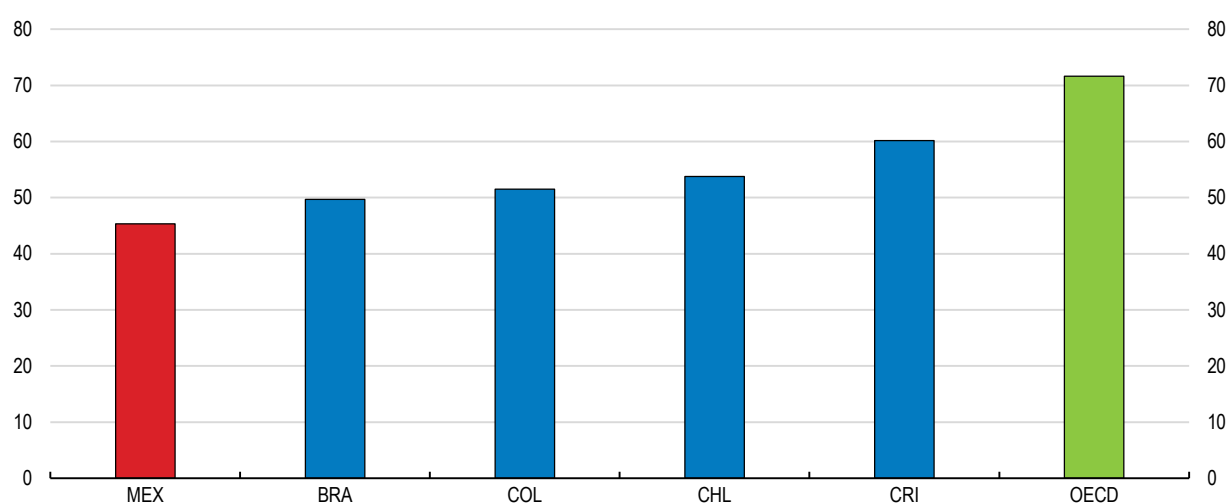
Digital platforms bring innovation and new opportunities but are prone to concentration and winner takes all dynamics. Mexico's regulatory framework lags behind international peers in addressing these risks and regulating key emerging technologies such as digital platforms and artificial intelligence (AI) (Figure 4.16). In this context, the new telecom law, which expands the authority of the newly established Telecommunication Regulatory Commission to include digital platforms, represents a positive step.

Mexico's digital market regulation could be strengthened by adopting asymmetric obligations and promoting interoperability, in line with international best practices (OECD, 2021^[32]). Interoperability is widely used in the UK, EU, and US to enhance competition, especially in markets dominated by large online platforms (LOPs). Asymmetric regulation is often adopted by imposing obligations on LOPs, identified through clear criteria set by the competition authority. These obligations may apply to core platform services (as in the EU or UK) or to all LOPs activities (Germany) and even be tailored to individual platforms (as in the UK and Germany) allowing for some regulatory flexibility.

Mandating interoperability can reduce entry barriers, prevent exclusionary practices, and enhance competition, as recognised by many regulators (OFCOM, 2023^[33]). It enables easier user access and supports multihoming (using multiple platforms) by lowering switching costs and preserving network effects. Historically, interoperability has driven innovation, such as in tech standards and financial protocols. Mexico could adopt various regulatory approaches to interoperability regulation (Box 4.3), drawing on global practices to ensure consistency, reduce compliance costs, and protect user experience. International collaboration among authorities can improve enforcement and guide reforms (OFCOM, 2023^[33]). Effective regulation requires deep market understanding through studies, antitrust cases, and merger reviews. Engaging stakeholders and leveraging specialised units, like the UK's Data, Technology and Analytics unit and Digital Markets Unit, can support implementation and compliance.

Figure 4.16. Mexico lags behind in regulation of digital platforms and other emerging technologies

Regulation of emerging technologies, 2020



Note: The indicator refers to the simple mean of the average answer to the question: "In your country how adequately regulated are the emerging technologies and their applications (e.g. artificial intelligence, robotics, digital platforms)?" where 100 = "regulation is adequate".

Source: NRI 2024.

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Box 4.3. Mandating interoperability in digital markets

In the **United States**, interoperable standards are proposed by a technical committee including company representatives, independent experts, and potential market entrants. The Federal Communications Commission approves proposals that promote market entry, are non-discriminatory, and do not reinforce existing market power. This flexible, industry-informed approach allows adaptation to evolving technologies and prohibit self-preferencing

In the **European Union**, the *Digital Markets Act* (DMA) mandates interoperability in specific contexts, particularly in markets with strong network effects and for number-independent interpersonal communication services (e.g., instant messaging and video calling apps).

In the **United Kingdom**, the *Digital Markets Unit* within the Competition and Markets Authority (CMA) has the authority to impose platform-specific codes of conduct and uses interoperability to address market power. The CMA's investigations into online platforms and digital advertising identified limited interoperability as a contributing factor to entrenched dominance, prompting regulatory intervention.

Source: (OFCOM, 2023^[33]; Scott Morton, 2025^[34])

4.3.6. Reinforcing the data regulation framework

Data regulation in digital markets pursues two main objectives: fostering competition and protecting privacy. As data is an essential input in digital markets, restricting access or granting it on discriminatory terms may constitute an anti-competitive practice, especially when done by firms with significant market power in segments with strong network effects and economies of scope. To reduce the advantage of the incumbent and foster competition, regulation should focus on how data is used, protected, and shared, rather than limiting data collection, ensuring that consumer interests are safeguarded. At the same time, the vast amounts of personal data generated online raise significant privacy concerns, as platforms often collect and use this data in ways that may conflict with users' privacy expectations.

In Mexico, competition authorities have already blocked a digital platform acquisition due to concerns over potential misuse of user data to stifle competition (COFECE, 2024^[35]). To further mitigate such risks, Mexico could consider strengthening its regulatory framework, including enhancing data portability provisions. Data portability facilitates competition by allowing users to transfer their personal data between platforms, reducing switching costs and enabling market entry. Mexico could draw lessons from the European Union's Data Act, which sets out rules for data access and use. Key aspects of this law include protections against abusive contractual terms and measures to simplify switching between data processing providers.

Mexico's data protection framework underwent major changes following the November 2024 constitutional reform and the March 2025 Federal Law on the Protection of Personal Data. These reforms dissolved the National Institute for Transparency, Access to Information, and Protection of Personal Data (INAI), an autonomous body recognised internationally for its privacy oversight. Regulatory and supervisory powers have now been transferred to the Ministry of Anti-Corruption and Good Governance, under the executive branch, and to a new decentralised body, Transparency for the People (*Transparencia para el Pueblo*).

The reform raises questions on the robustness of citizens' rights to access public information and the use of personal data by public institutions. The elimination of INAI is a significant institutional shift away from a specialised autonomous body towards a model in which key oversight functions are exercised within the executive branch. International standards, such as OECD Privacy Guidelines, recommend establishing privacy enforcement authorities "with the governance, resources and technical expertise necessary to exercise their powers effectively and to make decisions on an objective, impartial and consistent basis" (OECD, 2023^[36]). In this context, centralising oversight within the executive branch can create risks about the perceived independence and transparency of data protection. To mitigate these risks, it will be important to strengthen

the institutional safeguards, technical capacities, and resources of the new supervisory bodies to ensure effective and impartial enforcement.

Mexico's legal framework for private-sector data use remains largely unchanged, maintaining ARCO rights (access, rectification, cancellation, and objection) and core principles like legality and consent. However, its effectiveness depends on clear and transparent secondary legislation, which is still pending. Frequent legal challenges have weakened enforcement and created uncertainty. To improve regulation, Mexico could develop a clear methodology for fines, impose stricter rules on dominant firms, ease compliance for smaller ones, and implement new regulation gradually through business dialogue. Establishing specialised courts for data-related disputes would enhance resolution. Expanding the law to cover areas like minors' data, data portability, privacy by design, and impact assessments would further strengthen protection.

Mexico can strengthen its data protection framework by restricting platforms from unilaterally changing privacy policies. Many platforms lack transparency, with complex terms that most users (97% of young adults) accept without reading (COFEC, 2024^[35]). Recent cases show platforms retroactively authorizing personal data use for AI training without opt-out options. While Mexican authorities did not intervene, Brazil and the U.S. have taken action against such practices.

Given the global nature of data flows, international cooperation is essential. Mexico could work through the Ibero-American Data Protection Network to align standards and stay updated with technological changes. Drawing on the EU's General Data Protection Regulation, Mexico could adopt strong user rights like purpose limitation, informed consent, data access, and portability, ensuring clearer obligations for data processors.

Mexico's data protection authority should also be empowered to oversee AI-related privacy risks. This includes implementing robust monitoring and evaluation mechanisms to ensure compliance with data protection regulations and enforcing corrective actions when necessary. Adopting a national AI regulation, as discussed in section 4.6, is a critical step toward defining the exact scope of institutional oversight. This framework would clarify how Mexico would balance the need for safeguarding citizens' rights and promoting innovation by enabling responsible data access for AI firms.

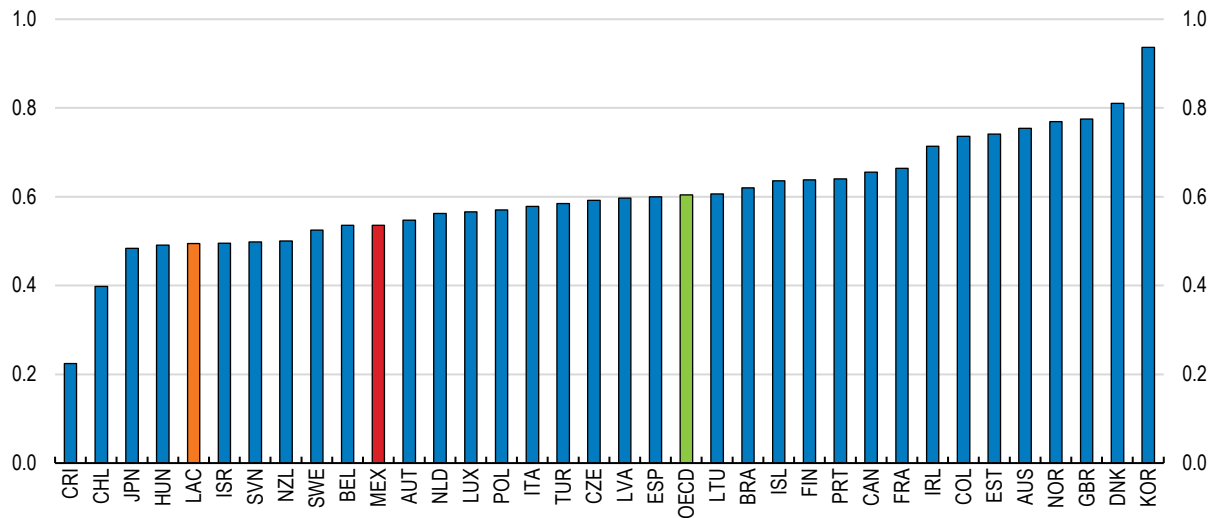
4.4. Advancing digital government

Mexico lags the OECD average in digital government (Figure 4.17), defined as the strategic use of digital technologies to create public value by improving efficiency, policy effectiveness, and governance transparency (OECD, 2014^[19]). The creation of the Agency for Digital Transformation and Telecommunications (ADTT) in 2025 (see Section 4.2.4) offers a strong foundation for advancing digital government. The agency's strategy prioritises procedural simplification as a precursor to digitalisation. Looking ahead to 2030, ADTT aims to implement a national digital identity, simplify all federal, state, and municipal procedures, and digitise 80% of the most frequently used services. These efforts are expected to cut the number of procedures, requirements, and resolution times by 50%. These goals are ambitious given Mexico's federal structure and the wide disparities in institutional capacity, technical resources and digital infrastructure across states, which may pose challenges for uniform implementation, as outlined in different sections throughout the chapter.

To advance digital government Mexico requires to simplify and digitalise administrative procedures, enhance intergovernmental coordination and interoperability, expand digital service coverage, advance its open data policy, and reinforce cybersecurity frameworks. Each of these areas will be examined in the following subsections, highlighting recent policy initiatives, identifying remaining challenges and proposing solutions.

Figure 4.17. Mexico has room for progressing in the digital transformation of the public sector

OECD Digital Government Index, from 0 to 1 (or “highest level of digital maturity”), 2023



Note: LAC is a simple average of Chile, Colombia, Costa Rica and Brazil. The OECD Digital Government Index (DGI) assesses countries' capacity to leverage data and technology for a human-centric, integrated digital transformation across government. It evaluates performance across six key dimensions: Digital by design, Data-driven public sector, Government as a platform, Open by default, User-driven, Proactiveness. The DGI is a composite score ranging from 0 to 1, with 1 indicating the highest level of digital government maturity.

Source: OECD Government at a Glance Indicators (database).

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4.4.1. Digitalisation can reduce and simplify administrative procedures

The simplification and digitalisation of administrative procedures is a key goal of the National Agency for Digital Transformation and Telecommunications (ADTT). To achieve it, its strategy builds on the successful model of Mexico City's Digital Agency for Public Innovation (ADIP), particularly its emphasis on centralising political and regulatory authority, and mandating interoperability and data sharing (Box 4.4). Recent legislative reforms have strengthened ADTT's mandate, designating it as the lead agency for designing and overseeing digitalisation and simplification policies across all levels of government (federal, state, and local). This new legislation also establishes guiding principles for reducing bureaucratic complexity and improving access to public services. A constitutional amendment now requires all public sector entities to implement ADTT's streamlining and digitalising policies. The inclusion of former ADIP staff within ADTT brings valuable expertise, further strengthening its capacity to deliver on its mandate. While these reforms mark significant progress, it remains essential to evaluate their implementation to ensure they effectively reduce administrative burdens for citizens and businesses (OECD, 2010^[37]; OECD, 2020^[38]). As of June 2025, the average time to complete federal administrative procedures decreased from 61 to 59 days, resulting in estimated savings of approximately 1.1 billion Mexican pesos (around 60 million USD) (ADTT, 2025^[39]).

Box 4.4. Mexico City's digital government transformation

Mexico City achieved a rapid digital transformation between 2018 and 2023 by centralising its digital agenda under the Digital Agency for Public Innovation (*Agencia Digital de Innovación Pública*, ADIP). Established by law, ADIP operates with technical and managerial autonomy and leads efforts in administrative simplification, digital government, ICT governance, and data management. Key enablers of this digital transformation are:

- Mandatory data sharing and interoperability, by which public institutions are required to share data with ADIP and ensure interoperability of their ICT systems.

- ADIP's regulatory and strategic authority on administrative simplification, secondary regulations, authorisation of ICT acquisition and development, coordination with other public bodies.

A cornerstone of the city's digital strategy, Key CDMX digital file (*llave CDMX expediente digital*) is a unified platform that enables residents and businesses to access and manage procedures and services in Mexico City. Main achievements of the digital government transformation include increasing the number of digital procedures from 10 in 2018 to 197 today, covering 85% of uses by citizens; the deployment of 34 thousand free public internet points; the launch of an open data platform with access to 450 datasets; and the introduction of a digital platform for public procurement procedures (TANGUIS).

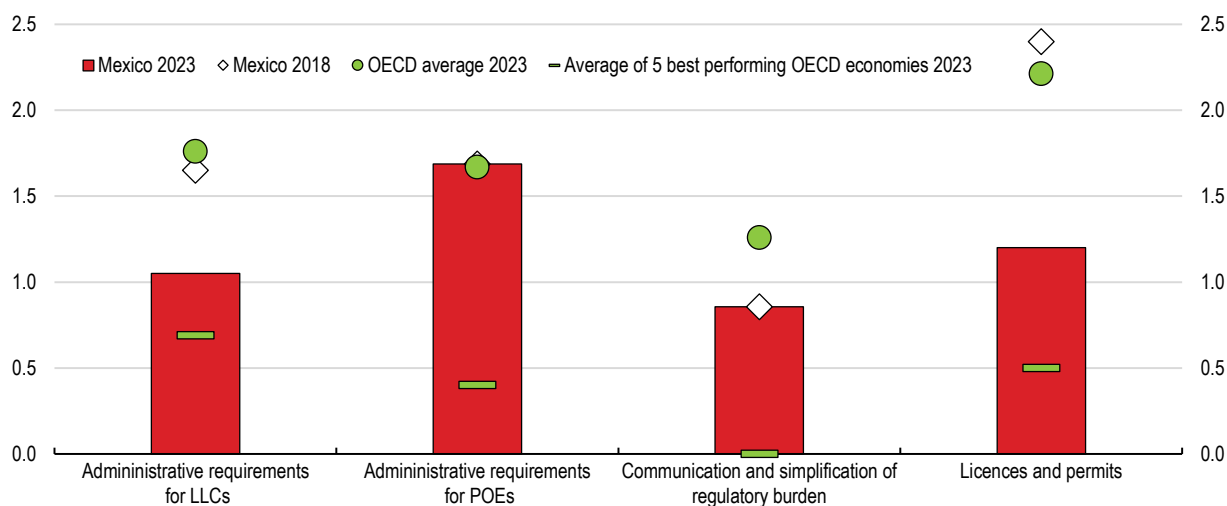
Source: (Merino and Muñoz del Olmo, 2025^[40])

Digitalisation is a powerful enabler of more efficient, higher-quality, and broader public service delivery. However, it requires the standardisation and simplification of administrative procedures as a foundational step. By reducing costs, shortening delivery times, and enhancing service coverage, digitalisation can transform how citizens and businesses interact with government. To unlock these benefits, Mexico must first streamline its procedures. To this end, the ADTT will develop for each procedure national models to be gradually implemented across all levels of government. The design process will prioritise areas identified by states and begin with mapping existing procedures, followed by re-engineering to eliminate redundancies and align with digital requirements. Where necessary, regulatory or legislative adjustments will be made during a final normalization phase.

Mexico has made progress in using digital government to improve public service delivery for business activity through two key initiatives: the One-Stop Shop for Investors (VUIMX) and the upcoming Digital Window for Investors (VDNI), announced for November 2025. These efforts are timely, as the quality of business regulation continues to lag behind top-performing OECD countries (Figure 4.18), and improving it is a strategic priority for Mexico to enhance its investment climate (see chapter 1 in this survey).

Figure 4.18. There is room to simplify business regulation in Mexico

Index, from 0 ("more competition friendly") to 6 ("less competition friendly"), 2023-2024



Note: LLCs=Limited Liability Companies and POEs=Personally-Owned Enterprises.

Source: OECD Product Market Regulation (database).

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VUI MX offers foreign investors clear, detailed guidance and support for navigating the procedures required to establish operations in Mexico. VDNI will centralise, simplify, and digitise all administrative procedures related to the creation, construction, and operation of businesses. It is expected to reduce regulatory

requirements from 466 to 51, and shorten the average time to start a business from 2.6 years to just one year. Implementation of the VDNI at the federal level can build on the experience of digital one-stop windows already operating in five Mexican states, developed in collaboration with the OECD.

Tailored support for SMEs, however, remains limited. Mexico could adopt best practices from countries like South Korea, Peru, and Uruguay, which offer digital tools to boost SME participation in trade (OECD, 2025^[41]). In Canada the BizPal platform helps SMEs identify and obtain the necessary permits and licenses to start and operate a business. Similarly, the United Kingdom's Primary Authority program offers regulatory advice to SMEs across various domains, including health, environmental standards, and trading regulations (OECD, 2020^[42]).

4.4.2. Ensuring strong intergovernmental coordination and interoperability

Standardising administrative processes across jurisdictions is essential for achieving simplification and digitalisation. In turn it requires fostering effective coordination among federal, state, and municipal governments and ensuring IT system interoperability.

As highlighted in the 2024 Economic Survey of Mexico, coordinating implementation across local governments remains a major hurdle to streamlining public administration and regulation. While Mexico's federal structure allows for local flexibility, it has led to a highly fragmented regulatory landscape, with inconsistent requirements across states and municipalities. This complexity places a heavy burden on businesses, 40% cite regulatory compliance time as a major obstacle, with figures reaching 80% in some states. This fragmentation hampers productivity, especially for SMEs, and fosters corruption through discretionary rule enforcement. Only 3% of local procedures are digitised, underscoring the urgent need for digital government reform.

Mexico's current reform agenda aims to address these issues through the introduction of binding national models, interoperable systems, and digital files. Implementation will be led by local agencies, coordinated by the ADTT, which may provide technical support. Given the scale of the reform, rollout will be gradual, extending over several years. Success will depend on ensuring adequate human and financial resources at the local level and strengthening the skills of local staff. To support effective implementation, Mexico should invest in capacity-building programmes and secure sufficient budgetary resources for them. To improve coordination, Mexico could formalise collaborative spaces across government levels to align on governance, technology, data, and regulations, following practices like the European interoperability framework (Criado, 2025^[43]).

Achieving the technical interoperability across public sector IT systems is essential for creating a unified digital file system (*expediente digital*), enabling users to store and access government-issued and submitted documents in a single, officially recognised repository. Through interoperable databases, public agencies will no longer need to request users documents already available in the system. However, ensuring interoperability presents significant technical challenges, given the diversity of software and IT infrastructure across public agencies.

To address these barriers, Mexico issued new legislation granting the ADTT the adequate governance authority. Operating under a federated model, where each administration manages its own data and connects to a central entity, Mexico's approach for interoperability aligns well with its decentralised federal structure. All public agencies are now mandated to ensure interoperability of their information systems and digital platforms in accordance with ADTT guidelines. They must also seek ADTT approval for any change to IT systems and hardware to maintain standardisation. While these measures are a positive step in the right direction, full interoperability will require substantial resources, particularly skilled technical staff, and will take years to achieve. As a first step, ADTT is mapping existing digital infrastructure and capabilities at the state and municipal levels. In addition, it has established the National Center for Public Technology, which maintains a code repository of reusable digital solutions. This initiative enables local governments to access and implement these technologies helping to reduce costs and accelerate the deployment of high-impact public digital services.

Mexico could promote international digital interoperability by engaging in intergovernmental initiatives to harmonise standards, share resources, and support cross-border projects. Aligning national regulations with global frameworks would enhance open data efforts and enable cooperation on key issues like trade, customs, health, migration, and justice.

4.4.3. Expanding digital service coverage and ensuring equitable service provision

A major barrier to Mexico's digitalisation is the limited coverage of digital identity, a foundational element in advanced digital governance systems like Estonia's (Box 4.5). In July 2025 Mexico introduced a mandatory official identity document, the new biometric Unique Population Registry Code (CURP), which will become essential for accessing public services. This reform, alongside measures like new Telecommunications Law requiring phone line registration with user identification, is expected to significantly boost adoption of digital identity. Widespread use of remote identity verification through biometric data (e.g., fingerprints, facial recognition) and secure authentication methods will be crucial for rapid uptake.

Widespread distrust in public institutions remains a major barrier (Figure 4.19) to the diffusion of digital identity. Almost half of Mexican adults are concerned that their personal data may be misused (ENCOAP, 2023^[44]). While governments may access personal data for legitimate purposes like law enforcement and national security, the absence of binding international standards and the risk of surveillance abuses, such as profiling, highlight the need for careful safeguards to balance privacy rights with public interest. For example, the identification obligation introduced by the Telecommunications Act yet lacks clarity on key aspects such as data protection measures, the specific responsibilities of concessionaires as data controllers, and mechanisms to ensure compliance without infringing on fundamental rights. These aspects should be addressed in the guidelines to be issued by the newly established Telecommunication Regulatory Commission, with particular attention to their consistency with the principles of personal data protection, proportionality, and minimal intervention.

Creating an autonomous privacy regulator, free from political influence, would strengthen public trust by safeguarding personal data and preventing misuse (see Section 4.3.6). France's *Commission Nationale de l'Informatique et des Libertés* offers a strong precedent. Established in response to public concern over privacy, it ensures that privacy and individual rights are respected amid technological advancements. Mexico's National Electoral Institute (INE) offers a domestic parallel. Since its founding in 2014 to guarantee free and fair elections, INE has become the country's most trusted public institution (Latonobarometro, 2024^[45]), thanks to its institutional independence and budgetary autonomy. A similarly structured privacy authority could play a vital role in safeguarding citizens' rights and reinforcing democratic accountability.

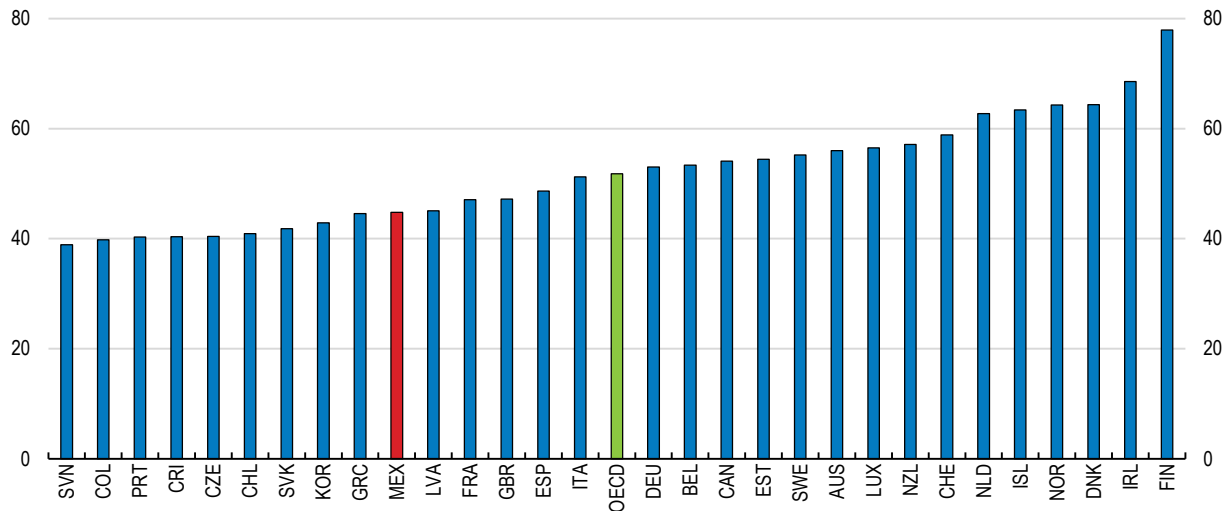
Box 4.5. Transforming public services through digital identity in Estonia

Estonia introduced its national digital identity in 2000, granting legal equivalence to electronic and face-to-face identification. Embedded in the national ID card, the digital identity enables secure authentication across digital platforms. Complementary tools such as Mobile-ID and Smart-ID extend secure access to mobile devices, ensuring universal usability. This system underpins both public and private sector transactions, with legal recognition across government agencies, incentivizing service providers to develop compatible platforms. Citizens can use their digital identity to access nearly all public services, including business registration, e-voting, e-prescriptions, health records, residence declarations, and social benefit claims. Digital signatures, enabled by the digital identity, are widely adopted and legally binding. Their mandatory recognition by public institutions accelerated uptake and built trust among users. The widespread use of digital identity and digital signatures is estimated to save Estonia approximately 2% of GDP annually.

Source: (OECD, 2019^[46])

Figure 4.19. Less than half of Mexicans trust the government to handle their personal data

% of adult population with high or moderately high trust in the civil service and confidence that government agencies will only use their data for legitimate purposes



Note: Share of responses corresponding to values in the range 6-10 on a 0-10 scale.

Source: OECD Trust Survey 2023.

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To expand digital service coverage in Mexico, tools must be inclusive and accessible to vulnerable groups. While digital services improve access, they can also exclude those with physical, psychological, financial, or social limitations, often the ones who need them most. Inclusive design and a multichannel approach, combining digital and traditional options, are key.

Since most Mexicans use mobile devices for internet access, mobile-friendly platforms are essential. Non-digital channels remain important for those who prefer traditional methods. Support networks, like family and friends, can help bridge access gaps, as seen in Poland's inclusion of seniors (Ciesielska, Rizun and Chabik, 2022^[47]). Data-driven methods, such as big data and administrative datasets, can help identify and support vulnerable groups, as done in European employment programs (Csillag, 2024^[48]). Iceland's use of digital power of attorney also enables trusted individuals to assist those unable to manage digital accounts.

4.4.4. Enhancing data intelligence and open government data policy

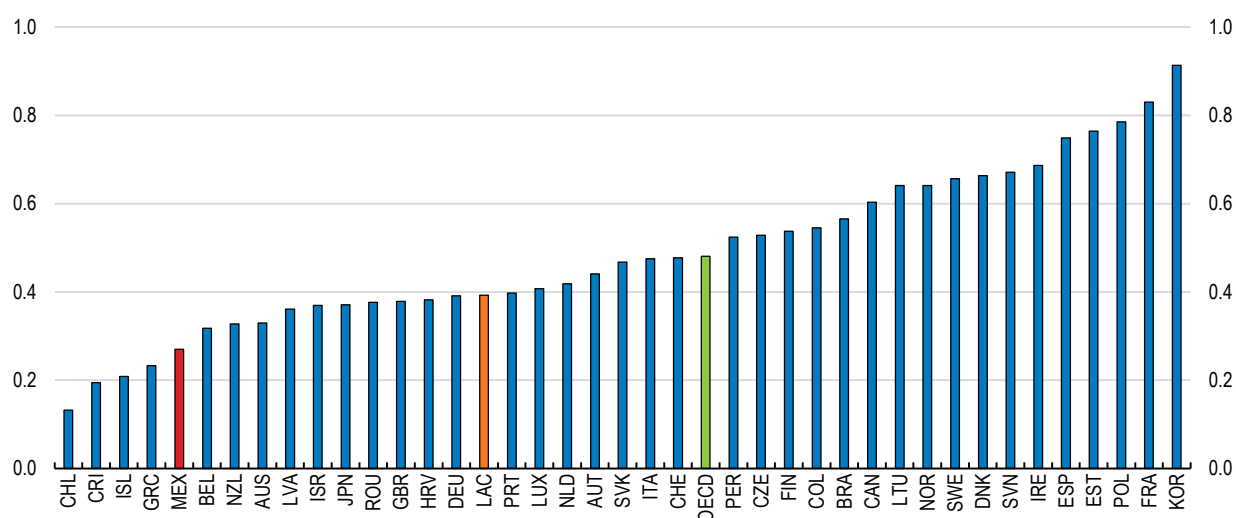
The National Agency for Digital Transformation and Telecommunications (ADTT) aims to leverage advanced technologies to improve policymaking, detect irregularities, and prevent fraud, key steps toward improving government transparency, efficiency and accountability. Ensuring public access to data, algorithms, and policy-making processes, within legal and public interest boundaries, is essential to promoting transparency, accountability and inclusiveness, while preventing digital exclusion.

The ADTT has already achieved promising early results from enhancing data intelligence, as improved customs controls have led to a 26% increase in enforcement in early 2025. However, significant obstacles remain. Legal barriers currently prevent ADTT from accessing all federal databases, limiting its data collection capacity. Amending Mexico's security and telecommunications laws would enable better data management at the federal level. Additionally, limited computational capacity poses a challenge. A new data centre under development in Hidalgo represents a positive step. However, additional investment in data infrastructure is needed to ensure the country has the processing power required to support large-scale digital services and data integration.

Mexico has room for improving its open government data policy (Figure 4.20). Key areas for progress include publishing data in reusable formats, engaging stakeholders to identify data needs and expand access to high-value datasets. Mexico has taken steps in the right direction, notably through its MX Open Data Infrastructure (*Infraestructura de Datos Abiertos MX*), an online survey designed to identify datasets most valuable to citizens, and the creation of the Open Data national Platform, which mandates all public institutions to publish data in standardised, reusable formats. However, further progress is needed in stakeholder engagement, particularly for assessing data quality. This would help Mexico unlock the full potential of open data for transparency, innovation, and public service improvement.

Figure 4.20. Mexico could enhance its open government data policy

Open, Useful and Re-usable data (OURdata) Index, from 0 to 1 (or "best government policies for open data"), 2023



Note: The OURdata composite score measures government efforts to design and implement national open government data policies and ranges from 0 ("worst") to 1 ("best"). LAC is a simple average of Chile, Colombia, Costa Rica, Brazil and Peru.

Source: OECD (2025), *Government at a Glance 2025*.

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To ensure public access to data, Mexico could adopt open-source software in the public sector and leverage digital platforms not only for information dissemination but also for collaborative governance. Such platforms would enable citizens and stakeholders to co-create public value through consultation, engagement, and shared decision-making.

OECD countries offer strong models for e-participation and government transparency. Colombia's *Urna de Cristal* uses multiple channels (TV, radio, social media, web, and SMS) to inform citizens about government actions and enables direct engagement with public institutions. Canada's *GCCollab* is an online portal for collaboration among public servants, academics, and stakeholders. France's *Policy of Contribution to Free State Software* promotes open-source development in the public sector by guiding civil servants in contributing to free software (OECD, 2020^[49]).

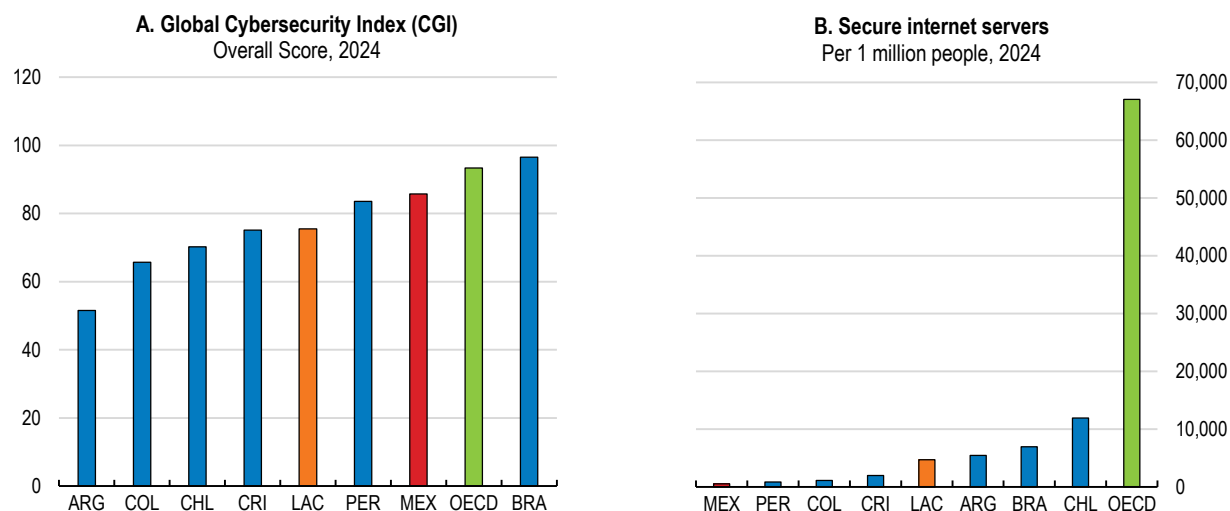
4.4.5. Making cybersecurity a priority

Cybersecurity is an increasingly critical issue for Mexican institutions and businesses, with the country representing a significant share of cyberattacks in Latin America. The growing frequency of attacks, which targeted major entities such as Pemex and the National Insurance and Finance Commission, exposes vulnerabilities in critical infrastructure. These incidents highlight weaknesses in Mexico's cybersecurity framework (Figure 4.21, Panel A), which suffers from gaps in legal frameworks, technical expertise, capacity development, and international collaboration to combat cybercrime (see also chapter 1 in this survey). For

instance, the adoption of basic security measures remains limited and few servers employ encryption technologies to secure online transactions (Figure 4.21, Panel B).

Establishing a comprehensive cybersecurity law is an urgent priority. Although Mexico published its National Cybersecurity Strategy in 2017, it still lacks a dedicated cybersecurity law, and the existing legal framework remains fragmented across various domains. A dedicated cybersecurity law would establish common standards, define new cybercrimes, and introduce specialised institutions, such as a cybercrime prosecutor's office or designated cybercrime judges. It could also lead to the creation of a National Cybersecurity Agency aligning Mexico with practices in other OECD countries (e.g., the U.S., France, Italy). A national agency would ensure consistent cybersecurity oversight across all levels of government.

Figure 4.21. Mexico is highly vulnerable to cyberattacks



Note: LAC is a simple average of Chile, Colombia, Costa Rica, Argentina, Brazil and Peru. In Panel B, secure Internet servers are servers that use encryption technology in internet transactions.

Source: World Bank Global Cybersecurity Index (database); and World Bank World Development Indicators (WDI) (database).

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Strengthening cybersecurity within the public sector is a second key priority. A recent survey revealed that just 17% of federal agencies are prepared for cyberattacks. To address it, Mexico established in 2025 the General Directorate of Cybersecurity (GDC) under the Agency for Digital Transformation and Telecommunications (ADTT). The GDC's mandate includes evaluating cybersecurity service providers, developing a new National Cybersecurity Strategy, training public sector personnel, and regulating cybersecurity maturity across federal administrations. In its first 11 months, the GDC has made progress, including the implementation of an early warning system that improved vulnerability detection in federal institutions. The CDG is also expected to publish the new National Cybersecurity Strategy in November 2025. However, its effectiveness is constrained by key challenges. It lacks a regulatory framework to assess cybersecurity maturity, its scope is limited to federal agencies, with non-binding cooperation at state and municipal levels, and it is severely understaffed with only 15 personnel. To effectively safeguard public institutions, Mexico must extend CDG's mandate to all public entities and increase its resources and staff.

To enhance the quality of cybersecurity and information security management in federal agencies, international standards such as ISO 9001 and ISO/IEC 27001 could be promoted. Establishing a national incident response center, possibly building on the existing Cyber Incident Response Center, would strengthen threat monitoring and response capabilities. The GDC could also lead awareness-raising efforts through public campaigns, training, and education programs. International cooperation could be expanded to achieve deeper engagement in areas like mutual legal assistance, extradition, and joint investigations. Collaborating with foreign governments, academia, and ICT firms on cybersecurity research would help develop advanced protection tools and methodologies.

4.5. Strengthening skills for the digital transition

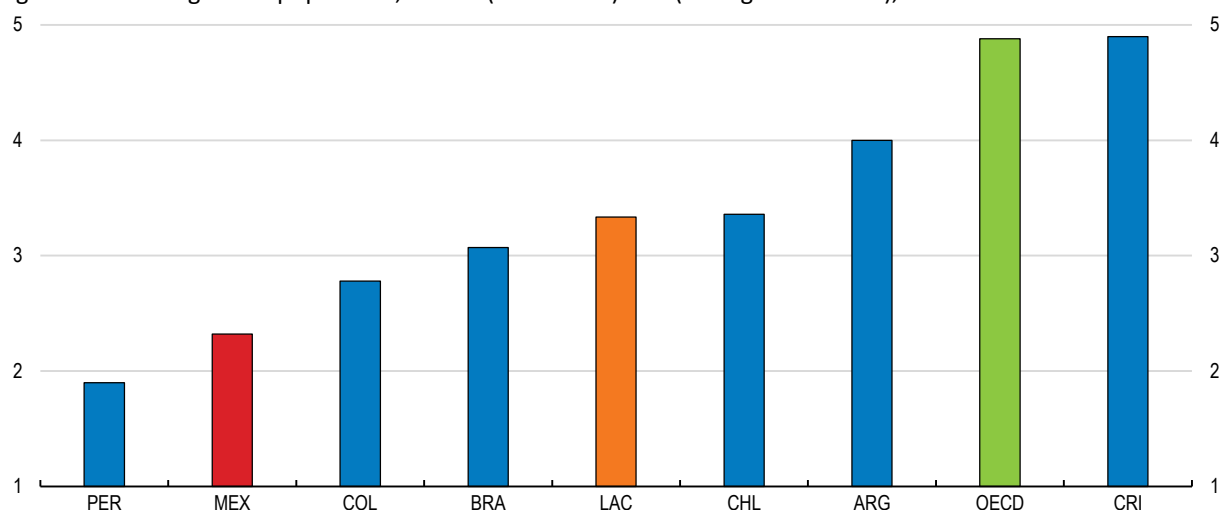
Mexico's digital transformation is hindered by a growing shortage of skilled talent. In 2023, 69% of firms reported difficulty finding qualified workers, up sharply from 38% in 2013, though below the global average of 77%, (Manpower, 2023^[50]; IMCO, 2023^[51]). However, the shortage is particularly acute in digital skills, with Mexican firms facing a more pronounced gap than most OECD countries and regional peers, (Figure 4.22). Even with investments in training, high turnover driven by intense competition often prevents firms from retaining talent long enough to realise productivity gains. Medium and large companies, typically more productive and quicker to adopt digital technologies, are disproportionately affected. Addressing these skill gaps is critical to unlocking Mexico's digital potential and sustaining productivity growth. The current administration has acknowledged these challenges and, through its Mexico Plan, elaborated a series of strategies aimed to create 1.5 million additional jobs in specialised manufacturing and technology sectors by 2030.

To fully harness the productivity potential of digital technologies, Mexico must also mitigate the disruptive effects of digital transformation on its labour market. This is key for fostering inclusive growth and sustainable development. The potential impact of generative AI on productivity and labour market provides an illustrative case. Its widespread adoption is estimated to boost aggregate productivity by 0.1% to 1.5% annually, and impacting up to 35% of jobs in Mexico, roughly 20.5 million positions (Gmyrek, Winkler and Garganta, 2024^[52]). Of these, one third (13.4%) may benefit from productivity gains, while 2.3% are at risk of full automation. The outcome for the remaining jobs remains will depend on whether AI replaces tasks or creates new complementary.

Against this background, policy action is required on multiple fronts. Strengthening basic education, to equip all Mexicans with foundational skills, including basic digital skills, will be key to support lifelong learning and adaptability to fast-changing labour market requirements. Expanding vocational and technical training and increasing tertiary education opportunities in STEM fields, are also crucial and will increase the pool of professionals with advanced digital skills needed by most innovative industries. Promoting targeted upskilling and reskilling programmes will help ensure current workers adapt to the evolving labour market demand. Enhancing digital competencies within the public sector can support the development of digital government services. The following subsections will explore each of these areas.

Figure 4.22. Digital skills among adults are not widespread

Digital skills among active population, from 1 ("not at all") to 7 ("to a great extent"), 2023



Note: Score computed based on the average response of companies operating in this country to the Executive Opinion Survey question: "In your country, to what extent does the active population possess sufficient digital skills (e.g. computer skills, basic coding, digital reading)?" [1 = "not at all"; 7 = "to a great extent"]. LAC is a simple average of Chile, Colombia, Costa Rica, Argentina, Brazil, and Peru.

Source: IDB (2023), *Informe anual del Índice de Desarrollo de la Banda Ancha: brecha digital en América Latina y el Caribe*.

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4.5.1. Improving foundational skills

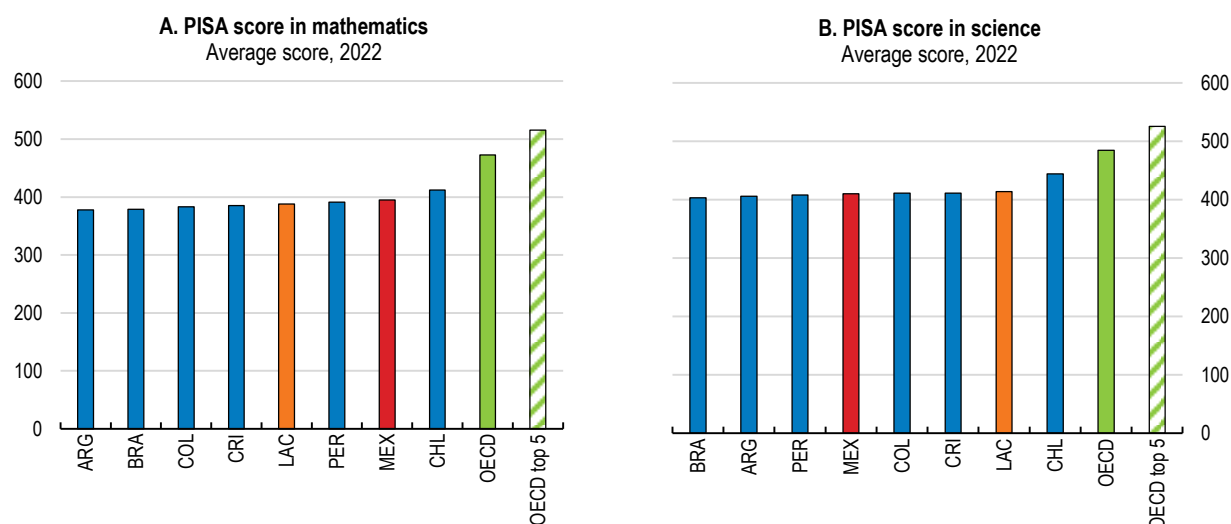
Improving educational outcomes is essential for Mexico's digital transformation, yet international assessments show that many young Mexicans perform well below the OECD average in foundational skills such as math and science (Figure 4.23). 15-year-olds score over 70 PISA points below the OECD average, equivalent to more than three years of schooling (OECD, 2023^[53]). Weak basic skills limit lifelong learning and basic ICT competencies. For instance, only 25% of Mexican youth and adults have used basic arithmetic formulas in spreadsheets, 14 percentage points below the OECD average (OECD, 2024^[54]).

Previous OECD surveys (OECD, 2024^[2]; OECD, 2022^[3]) and Chapter 2 of this Survey highlight persistent challenges, including low upper secondary attainment, still out of reach for 42% of 25–34-year-olds, regional disparities and limited learning times. Extending primary school hours and early childhood education, enhancing teacher training and targeting resources more effectively would raise performance, reduce regional disparities, and build the digital skills foundation essential for future growth.

Strengthening Mexico's digital education policy can help improve the overall effectiveness of its education system. A key pending challenge is to increase schools' connectivity, which lags behind OECD and regional peers. As part of the Plan Mexico, the current administration has committed to achieving universal school connectivity by 2030. Prioritising improving schools' connectivity and teachers training is critical to close digital divides. Innovative strategies, such as non-monetary spectrum access schemes (see Section 4.3.1), could help expand connectivity in underserved areas.

Encouraging teachers to engage in continuous professional development is essential for the effective use of digital education tools in the classroom. Incentives such as accreditation or certification for digital skills can sustain engagement.

Figure 4.23. Mexico lags behind in foundational skills



Note: LAC is a simple average of Chile, Colombia, Costa Rica, Argentina, Brazil and Peru.

Source: OECD PISA 2022 (database).

StatLink  <https://stat.link/jrtz32>

ICT skills are one of the 21st century competences that students are called to develop to be ready for today's rapidly changing society and job market. To prepare students for a digital future, Mexico should develop and implement a curricular framework across all educational levels that promotes digital skills and the responsible use of AI-based technologies, like in Austria (only in high school), Germany, Portugal and South Korea (UNESCO, 2022^[55]). This framework should introduce digital tools in everyday contexts, progressing to programming in modern languages, with an emphasis on information literacy, data analysis and computational

thinking. It could also promote extra-curricular activities such as computer clubs and online competitions to reinforce digital competencies. AI education tools should respect international standards (e.g., OECD Educational AI Guidelines and EdTech indicators) to ensure that AI in education is inclusive, ethical, and responsive to technological change. This approach would help equip students with the skills needed to thrive in a digital economy and foster a culture of innovation and responsible technology use.

To maximise the benefits of digital tools in education, Mexico requires robust monitoring and evaluation mechanisms to assess their impact on learning and digital literacy, thoughtful implementation, and targeted support for both students and teachers. This might be achieved by using evidence-based learning and assessment platforms that focus on digital skills, such as the OECD PILA platform. While technology can enhance learning, it also introduces risks like digital distractions, which can undermine learning outcomes. Students' susceptibility to distraction is influenced by how they interact with digital resources and the types of devices they use (OECD, 2024^[56]). Students' positive attitudes and self-confidence in using ICT, along with teachers' frequent use of digital technology in the classroom, are key drivers of improved learning outcomes (OECD, 2024^[57]). Reducing digital distractions requires policies that build students' digital skills and confidence, and equip teachers with training in digital pedagogy.

Improving Mexico's education information system is key to better decision-making, teacher training, and targeted student support, as analysed in the 2024 Economic Survey of Mexico. The lack of a national standardised assessments implies that there is no performance data that could be used for monitoring and improvement. Reintroducing assessments, designed mainly for diagnostic purposes and covering broader skills such as problem-solving and critical thinking, as recommended in Chapter 2 of this Survey, would help identify weaknesses and track progress. Mexico could also leverage digital education data more effectively by promoting responsible access for research and evaluating the use of digital resources in classrooms (OECD, 2023^[58]).

4.5.2. Strengthening advanced digital skills

Scaling up vocational education and training

Firms across Mexico face growing challenges in finding talent, and as the digital transformation reshapes all industries, digital skills become increasingly vital for Mexican workforce, even for non-ICT professions. For instance, digital literacy is now essential for manufacturing workers who need to operate advanced machinery, for healthcare professionals using telemedicine platforms, and for farmers adopting precision agriculture technologies. These developments highlight the need for a workforce that is digitally competent across all sectors, not just within the ICT sector.

Expanding vocational education and training (VET), including dual education programs, and strengthening its capacity to deliver digital competencies, is then essential to equip more Mexicans with the technical and digital skills needed for quality formal employment (see also Chapter 2). Currently, only 1% of 25-34 year-olds hold a VET qualification, compared with 22% on average across the OECD. A promising development is the rise in enrolment in *Bachillerato Tecnológico*, where 1.8 million students pursue both a high school diploma and a technical degree, around 20% in STEM fields, and where three new courses are being added to the programme focusing directly on digital skills. Dual education programmes, introduced in 2015, remain limited, with only about four thousand students and one thousand graduates, just a fraction of Mexico's six million high school students. Despite their small reach, these programmes have shown positive results, with nearly all participating companies (822 out of 834) expressing willingness to hire dual education graduates. Successful initiatives (Box 4.6) show how industry partnerships can train skilled technicians aligned with modern production needs, including digital manufacturing and automation. To strengthen technical education, the Agency for Digital Transformation and Telecommunications, in collaboration with the Ministry of Education and the National Council of Technical Education, plans to update upper secondary curricula in telecommunications and expand dual education across all upper secondary technical schools. The goal is to produce 150,000 new professionals annually by 2030.

Scaling up these programmes requires closer collaboration between schools and employers, especially in sectors where digital skills are becoming foundational, such as advanced manufacturing, automotive, and ICT services. Greater involvement of SMEs could broaden impact, particularly if they receive support to design digitally-oriented training plans and integrate apprentices, as in Spain's technical assistance programme for SMEs (OECD, 2017^[59]). Expanding short-cycle vocational programs with a strong digital focus could accelerate the development of Mexico's digital talent pool, offering faster, more inclusive pathways into labour markets. Given that many upper secondary graduates in Mexico lack basic digital competencies, vocational curricula should embed digital literacy, coding, data analysis and problem-solving as core components to close these skills gaps. In parallel, strengthening career guidance systems across different educational levels, as recommended in Chapter 2 of this Survey, will help to align learning pathways with evolving labour market needs and to reduce persistent digital and technical skills mismatches. To maximise impact, outreach efforts must highlight digital career opportunities through career guidance, interactive digital platforms, and partnerships with tech clusters. These initiatives should raise awareness of digital career opportunities and link students to fast-growing sectors of the economy.

Box 4.6. Dual education initiatives in Mexico

Several Mexican firms successfully adopted dual education to train technicians aligned with industry needs:

- The Bocar Training Center in Lerma trains up to 140 students in mechatronics and industrial mechanics. The program is certified by the German Chamber of Commerce and Industry.
- The BOSCH Technical Training Center in Toluca focuses on automotive sector training through the Dual Education model. Over 1,220 students have graduated, with 40% choosing to stay and work at BOSCH.
- The Volkswagen Dual Training Center in Puebla offers a 3-year program based on the German Dual Model, preparing specialist technicians for integration into Volkswagen de México and its supplier network. Local technical institutions collaborate with car companies to provide reskilling programs in the region.

Strengthening STEM tertiary education

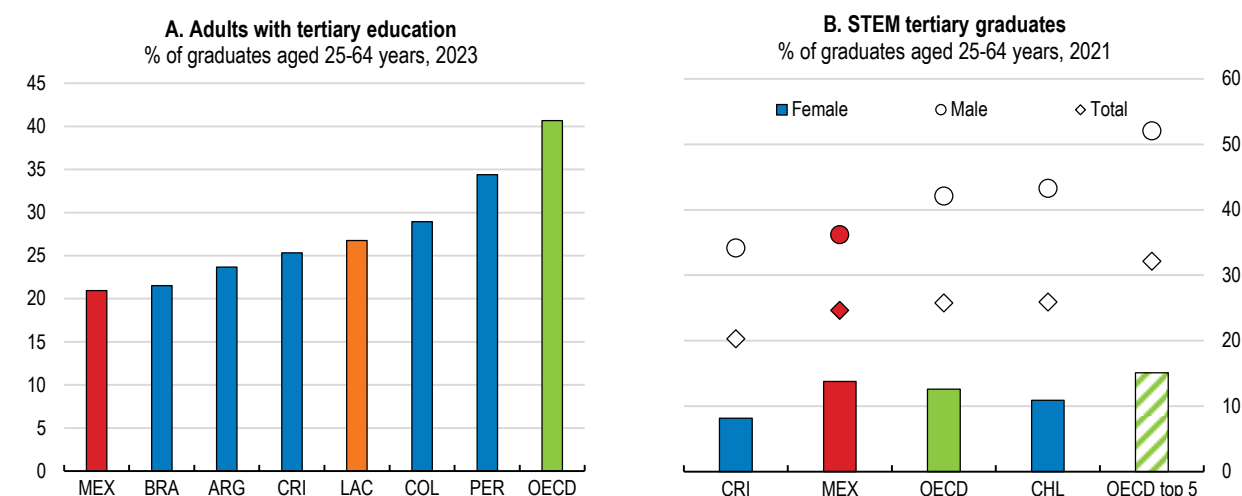
Firms increasingly require workers with advanced digital, literacy and numeracy skills to fully leverage new technologies and work methods driven by digitalisation. Yet, the share of adults in Mexico with tertiary education remains significantly below the OECD average across all levels (short-cycle, bachelor's, master's, and doctoral degrees) (Figure 4.24, Panel A). While the number of tertiary graduates, and the proportion of STEM graduates, is gradually increasing, the overall shortage of tertiary graduates restricts the pool of professionals with advanced digital and technological skills, constraining Mexico's ability to harness the full potential of digital transformation and innovation opportunities. The current administration has set the ambitious goal to expand higher education capacity by 330 thousand places by 2031. This includes the creation of a National Laboratory of Artificial Intelligence, announced for late 2025, which aims to graduate 10,000 students by 2026 in fields such as data analysis, AI, cloud computing, and cybersecurity. However, the plan lacks clarity regarding the distribution of these places across fields of study, the required funding, and mechanisms to ensure implementation. To ensure this expansion supports Mexico's digital future, a stronger emphasis on digital competencies, such as data analysis, software development, cybersecurity, and AI literacy, is essential.

Collaboration between higher education institutions and industry partners in designing digitally-focused curricula remains limited. Notable exceptions exist, particularly among technological universities. For instance, institutions in Querétaro and Puebla have successfully co-designed and co-delivered programmes with industry partners in sectors such as automotive and aerospace, tailored to regional needs. These models could be scaled up nationwide.

Making STEM fields more attractive, especially to women, is another priority. The gender gap in STEM remains significant, as in many OECD countries (Figure 4.24, Panel B). Strategies to boost female participation include early

exposure to STEM subjects, mentorship programmes, showcasing successful women in science and technology, and fostering inclusive learning environments that challenge stereotypes and encourage girls to pursue scientific careers. A promising example is the Tecnológico de Monterrey's pilot initiative under the international MakerWomenSTEM programme. This project aims to empower women in STEM by training mentors and creating dynamic, inclusive, and accessible educational spaces. This initiative should be rigorously assessed and, if proven successful, scaled up to broaden its impact nationwide.

Figure 4.24. There are still too few tertiary graduates



Note: LAC is a simple average of Colombia, Costa Rica, Argentina, Brazil and Peru.

Source: OECD (2024), *Education at a Glance 2024: OECD Indicators*; and OECD (2022), *Education at a Glance 2022: OECD Indicators*.

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Promoting upskilling and reskilling

Many Mexicans with low skills could improve their employability through targeted digital upskilling, as digital competencies are increasingly essential even for non-ICT professions. The potential pool is large: almost one in five young adults (18-29) is not in education, employment or training (NEET), and a substantial share of the population has low educational attainment (see section 4.5.1). Rapid technological is reshaping labour markets, requiring many workers to reskill for digital-intensive roles, especially as traditional occupations decline.

Mexico has launched promising training initiatives (Box 4.7), such as the *Youth Building the Future* programme (*Jóvenes Construyendo el Futuro*), which aims to reduce youth unemployment and support job readiness. While the programme facilitates temporary labour market entry (CONASAMI, 2023^[60]), its impact on permanent formal employment remains limited (CEFP, 2024^[61]). To improve and scale the programme, a full assessment of the digital relevance and quality of the training offered is needed, as recommended in the 2024 Economic Survey of Mexico. Strengthening the programme's digital components, such as basic IT skills, coding, and digital communication, could better align it with labour market demands.

To close skill gaps and reduce inequality, Mexico should further promote demand-driven digital training for low-skilled adults, who are less likely to participate in upskilling initiatives (OECD, 2017^[59]). International experience underscores the importance of collaborative, demand-driven training approaches to make upskilling accessible and effective. France's *Préparation Opérationnelle à l'Emploi* and *Action de Formation Préalable au Recrutement* programmes offer incentives for employers to hire and train low-skilled unemployed individuals, yielding strong employment outcomes. The UK's Union Learning Fund supports training initiatives co-designed by employers, employees, and learning providers, with over two-thirds of

participants advancing to higher qualification levels. Mexico could adapt and scale similar models to ensure digital inclusion and resilience in its workforce.

Box 4.7. Skills training programmes in Mexico

The Youth Building the Future programme provides practical training for unemployed youth aged 18–29 in public or private workplaces for up to 12 months, offering minimum wage support and health insurance. Priority is given to marginalised and vulnerable groups. Between 2019 and 2024, nearly 3 million young people participated, backed by an unprecedented investment of 115 billion pesos (USD 6.1 billion).

The Siemens SiTecSkills Academy offers targeted qualification programs focusing on technical reskilling and upskilling, complemented by professional consulting and support. Successful participants obtain certifications that strengthen their employability in Industry 4.0.

Siemens Xcelerator is a digital platform with courses, interactive classes and certificationsto that facilitate the acquisition of knowledge and skills on Siemens softwares.

The Roshfrans Technological Institute offers online specialised training in automotive mechanics and lubrication to his workers Confederación Nacional de Talleres. In partnership with CEDVA and the CONOCER National Skills System, it provides certifications endorsed by the Ministry of Public Education.

Online hackathon are digital events in which participants work in teams to develop technological solutions to previously posed challenges. They enable develop innovative ideas in a limited time (24 hours, 48 hours or more) and in a collaborative digital environment, connect multidisciplinary talent (developers, designers, marketers, etc.) and encourage creativity and critical thinking.

Cisco SE courses offer free online training in digital skills across eight modules, including cybersecurity, networking, and data science. These courses are promoted by the Ministry of Economy and the Ministry of Labour and Social Welfare, in collaboration with the Cisco Networking Academy.

Using digital platforms to match candidates with training and job opportunities is a promising strategy for reskilling (Commission/ETF/ILO/UNESCO, 2024^[62]; Brioscú et al., 2024^[63]; OECD, 2025^[64]). The *New Career Network*, promoted by the European Round Table for Industry, connects job seekers with top reskilling programs and employers, using AI for optimal job matching. In Mexico, similar platforms exist at the local level, such as in the automotive sector, but remain limited in scope. Expanding these initiatives nationally would require building networks of employers and training providers, integrating AI tools to analyse skills gaps, and co-designing personalised learning paths. Such platforms can make reskilling more responsive, inclusive, and aligned with labor market needs.

Mexico can promote online skills development through conventional providers and massive open online courses. However, effectiveness depends on well-designed content tailored to diverse learning needs and supported by strong testing and certification systems. Poorly structured courses, often too long or overly basic, can lead to low motivation and completion rates. Ensuring quality of online learning also requires training educators to teach effectively in hybrid environments that blend digital tools with in-person instruction.

Promoting online training and microcredentials can further strengthen digital upskilling. Well-designed online learning, supported by testing, certification, and trained educators in hybrid environments, can expand access at lower cost, while avoiding common pitfalls of low-quality online courses. Microcredentials, short, modular certifications often focused on digital and technical skill, offer flexible training options, making them well-suited to meet rapidly changing skill demands and reach a broad pool of learners (OECD, 2023^[65]). Their modular structure allows adaptation to diverse learner profiles, including those in initial education. To build an effective microcredential system, Mexico could draw on international experiences from OECD countries such as Finland, the Czech Republic, the Slovak Republic, Slovenia, and Spain where microcredentials have been successfully integrated into national education and workforce strategies (OECD, 2023^[66]).

4.5.3. Promoting digital skills in the public sector

Equipping the public sector workforce with digital and complementary skills is key to advancing Mexico's digital transformation. The ADTT's Public Coding School is a valuable initiative, offering free online ICT training with tutoring primarily for public servants, and aimed to train over 100 thousand individuals by 2030. However, broader competencies, including basic digital skills, professional expertise, socio-emotional abilities, and leadership, are needed across the workforce. To build on current efforts, Mexico could learn from OECD countries where reskilling in-house staff is often preferred over hiring scarce external talent. Best practices also highlight the importance of a comprehensive skill strategy including developing a digital competence framework, designing targeted training programs, offering incentives for participation, and regularly evaluating learning outcomes to support digital government (Burtscher, Piano and Welby, 2024^[67]). The ADTT's provision of a 120-hour course on technological foundations for the public sector, which benefited approximately 2,206 civil servants between January and July 2025, is a potential positive step, provided that its impact on participants' digital capabilities is effectively assessed and confirmed.

Developing a digital competence framework helps identify the skills civil servants need to drive digital transformation. It supports recruitment, training, skills assessment, and strategic workforce planning. Effective frameworks benefit from broad consultation with civil servants across institutions, external experts, and regular updates. For example, Denmark's Government Digital Academy uses a qualitative, stakeholder-driven approach to shape its digital skills model. In the United Kingdom, an expert council oversees the development of the Digital, Data and Technology Capability Framework.

Public administrations typically use a mix of formal training and informal learning to develop digital skills across different employee groups (Box 4.8). Short, self-paced online courses offer broad accessibility at low cost, while longer, tailored programs can be more effective when targeting civil servants in key strategic roles. To encourage participation, common incentives include certification upon course completion, often linked to career advancement or economic incentives, and flexible work arrangements to accommodate learning.

Box 4.8. International Approaches to Public Sector Digital Skills Development

Australia - The Australian Public Service Commission supports digital skills through formal programs offering nationally recognised qualifications, alongside informal learning like coaching and mentoring for female executives. However, these initiatives are targeted at selected individuals rather than the broader workforce.

France - France promotes digital government skills through multiple institutions. The Interministerial Digital Department offers workshops on key topics like service design and accessibility, and runs a coaching program for women in tech. The MENTOR platform centralises training for all civil servants, while programs like *Cycle Supérieur du Numérique* target select officials expected to influence broader teams.

Korea - Korea's National Human Resources Development Institute (NHI) provides structured training through both e-learning platform and in-person courses. Training is tailored to different skill levels and job roles. The Talent Development Platform supports informal learning and content sharing among civil servants. A unique feature is its integration with HR data to offer personalised training recommendations.

Source: (Burtscher, Piano and Welby, 2024^[67])

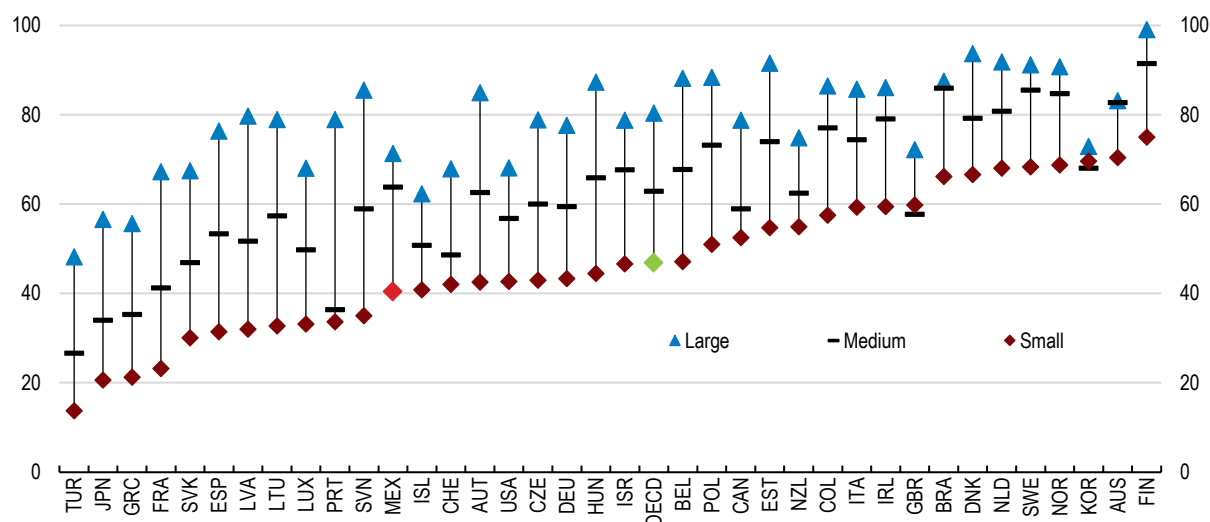
Evaluating digital training is essential to gauge its effectiveness and identify areas for improvement. Assessments may cover participant satisfaction, learning outcomes, and the impact on individual performance and organisational goals. In Spain, the BAIT system certifies digital skills of the Basque administrative staff. After completing training and passing the BAIT test, civil servants receive a certification that contributes to their digital profile and may support career advancement. In the UK, the Central Digital and Data Office conducts annual evaluations of digital roles. Test results are used as an indicator of employee's productivity and can justify pay increases, offering strong incentives for professionals to engage in skills assessments.

4.6. Harnessing the benefits of AI and emerging technologies

Mexico has yet to fully capitalise on the opportunities offered by advanced computing technologies, particularly artificial intelligence (AI), big data analytics, and cloud computing, to boost productivity and improve living standards. While around 362 companies are developing AI tools in areas such as machine learning, natural language processing, and predictive analytics, adoption remains limited: only one in three firms uses AI in any capacity, and adoption of advanced digital technologies remains limited (Figure 4.25).

Figure 4.25. Mexican firms lag behind in adopting advanced digital technologies

% business using cloud computing services by size of business



Note: Businesses are classified as small (10–49 employees), medium (50–249 employees), or large (250+ employees). Data for Mexico comes from INEGI Censos Económicos 2024.

Source: INEGI Censos Económicos 2024 (database); and OECD Going Digital (database).

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Mexico also trails regional peers in AI adoption, ranking eighth in the Latin American Artificial Intelligence Index 2025 (ILIA), behind Chile, Brazil, Uruguay, Colombia, Costa Rica, Argentina, and Peru. Key weaknesses include limited infrastructure (e.g., data centers, secure servers, high-performance computing), as well as legal uncertainties due to lack of governance. Notably, Mexico should update its national AI strategy, mechanisms for civil society engagement, and a dedicated institution to oversee AI development (Lagunes A. et al., 2024^[68]). Addressing these gaps is essential to unlock the transformative potential of AI and emerging technologies and position Mexico as a competitive player in the digital economy. This requires investment in infrastructure, multi-stakeholder collaboration, and a robust legal and regulatory framework to guide ethical and inclusive AI development.

4.6.1. Accelerating AI adoption among SMEs

The adoption of AI and emerging technologies is especially challenging for small and medium-sized enterprises (SMEs), the backbone of Mexico's economy (see also Section 4.2.3). To accelerate SMEs digitalisation, Mexico could expand and refine existing initiatives such as *Fit for Partnership*, which trains SME owners in Germany for international collaboration, *Prosoft Industria 4.0 MX*, which fosters human capital and IT services through public-private partnerships and Industrial Innovation Centers, and the digital platform MIPYMESMX2.0, which promote digitisation and business training for SMEs. While impactful, both programmes remain limited in scale and focus primarily on early-stage digital adoption. To fully unlock SME potential, broader support is needed. International best practice show that effective strategies combine digital skills training, targeted

funding, tailored solutions, and strategic advisory support (Box 4.9). Many OECD countries like Denmark and Germany, and regional peers like Brazil, offer a more comprehensive support, including funding for digital investments and free consulting and training services. Singapore's Go Digital programme stands out as a leading example, providing a robust suite of measures to accelerate SME digitalisation. To maximise impact, Mexico could consider expanding its support to include technical assistance, financing for ICT adoption, and ongoing training to ensure SMEs can integrate and utilise digital tools effectively.

Box 4.9. Supporting SMEs' digitalisation: the cases of Brazil, Denmark, Germany and Singapore

Brazil - Brazil's More Productive Brazil (*Brasil Mais Produtivo*) programme (2016–2018) supported around 3,000 manufacturing SMEs with consultancy services aimed at optimizing production processes. With a modest budget of USD 14 million, the initiative achieved an average 52% productivity increase among participating firms.

Denmark - Denmark launched *SME:Digital* and *SME:Robot* to promote full digitalisation. *SME:Digital* provides grants for consulting services, investment in digital solutions, and implementation support. Between 2018 and 2022, it funded nearly 6,000 digital projects. The programme also offers case studies and guidance to inspire and inform businesses.

Germany - Germany established a network of 26 *Mittelstand 4.0* Centres of Excellence (renamed Mittelstand-Digital Centres in 2021), offering comprehensive support across the entire value chain. In 2020, over 65,000 SMEs benefited from these services. Additionally, the Digital Now (*Digital Jetzt*) programme incentivises SME investments in digital technologies and IT security, including employee upskilling.

Singapore - Singapore's Go Digital programme offers a holistic framework to support SMEs in their digital transformation. Enterprises can identify suitable digital solutions through sector-specific Industry Digital Plans and access pre-approved solutions with grant support. For tailored guidance, SMEs can turn to the SME Digital Tech Hub and a nationwide network of SME Centres, which provide expert advice and implementation support. Between 2017 and 2020, participating firms achieved increases in revenues and productivity, with smaller firms experienced the greatest gains.

Source: Impact Evaluation of SMEs Go Digital Programme (2023); (OECD, 2020^[69]); (Radicic and Petkovic, 2023^[70]).

4.6.2. Building a National AI Strategy

Mexico's National Digital Strategy 2021–2024 does not currently address artificial intelligence (AI) or other emerging digital technologies (Ibarra, De la Pena and Santoyo, 2024^[71]). Although Mexico was an early mover with its 2018 AI strategy, the initiative lacked continuity and failed to evolve into a long-term public policy with defined goals and evaluation mechanisms. Today, no comprehensive law or strategy governs AI in the country. A constitutional reform bill introduced in 2025 aims to empower Congress to legislate on AI, paving the way for a General AI Law that is expected to be issued in 2026. Discussion from the Congress converge towards a framework including a National AI Commission, risk-based regulation, and protections for privacy and transparency. While progress is underway, implementation remains in early stages. In the absence of an AI law, Mexico could also advance AI governance by leveraging other legal instruments, such as data protection laws.

The Agency for Digital Transformation and Telecommunications (ADTT) is responsible for developing and implementing the Mexico's national Digital Strategy, which includes a forthcoming National Artificial Intelligence (AI) Strategy. This will be formalised through the issuance of a National Priority Programme Plan on AI. Mexico would benefit from an updated national AI strategy to keep pace with recent technological advancements, as implemented by most OECD countries. This strategy would provide a long-term vision and including concrete actions for the development, use, and governance of AI and other advanced technologies. It could also be supported by a public dashboard to monitor progress through an adequate set of indicators, ensuring transparency, accountability, and alignment with national development goals. To establish a national AI agenda Mexico could build on domestic efforts, such as the Mexico's National Alliance for Artificial

Intelligence (ANIA), and draw inspiration from existing national strategies (Box 4.10). Additionally, best practices in AI governance from countries that have established (Chile, Norway, Colombia), or are currently debating in Congress (Brazil), comprehensive institutional frameworks for AI, offer valuable insights for Mexico's approach (Box 4.11).

Box 4.10. Global Trends in National AI Strategies

National AI strategies tend to diverge in their top priorities, which include:

- **Leadership and Innovation:** The United States and China aim to become global leaders in AI, prioritizing technological advancement and allocating substantial resources to research, development, and application.
- **Talent and Education:** Canada and Singapore focus on building a skilled workforce and integrating AI education across sectors to encourage widespread adoption.
- **Sectoral Integration:** Japan, South Korea, and Canada promote AI development in targeted sectors such as healthcare, agriculture, and mobility to maximise its societal impact.
- **Independent Development:** Germany's strategy emphasises the creation of domestic AI tools, aiming to reduce reliance on foreign technologies and maintain technological sovereignty.
- **Ethics-Centered Approaches:** Ethical principles are a core component of most strategies, but they are central to the European Union's framework and strongly emphasised by Canada.

Source: (Ibarra, De la Pena and Santoyo, 2024^[71]; OECD, 2021^[72]).

Box 4.11. Best Practices in AI Governance: the case of Brazil, Chile and Norway

Brazil: Brazil has advanced its AI governance through the Brazilian AI Observatory which coordinates 11 AI centers focused on strategic sectors like health, industry, agriculture, and cybersecurity. It develops indicators to assess AI impact and maintains a repository of AI documents. The Center for Artificial Intelligence (C4AI/USP) collects training data for dialogue systems in Brazilian Portuguese and indigenous languages.

Chile: Chile is pioneering efforts to integrate ethical principles into public sector AI systems. The "Ethical, Responsible and Transparent Algorithms" project promotes fairness and transparency in AI used for public procurement. It has developed replicable tools to prevent discrimination and protect personal data in services like benefit allocation, hospital waitlists, and school admissions, ensuring these systems are free from gender, racial, ethnic, or social bias. In 2023, Chile issued Latin America's first regulation on algorithmic transparency and released practical guidelines to help public officials address legal and ethical AI challenges.

Norway: Norway launched its national AI strategy in 2020 with the goal of building world-class AI infrastructure through digitalization-friendly regulation, fast and robust connectivity, cross-sector data sharing, and high-performance computing capacity. The strategy focuses on strategic areas where Norway holds a comparative advantage, such as health, energy and mobility, oceans, and public administration. Ethical principles are highlighted as key drivers for the development and use of AI, ensuring respect for individual rights, freedoms, and data protection.

Source: OECD AI Policy Observatory.

4.6.3. Promoting fair and responsible AI regulation

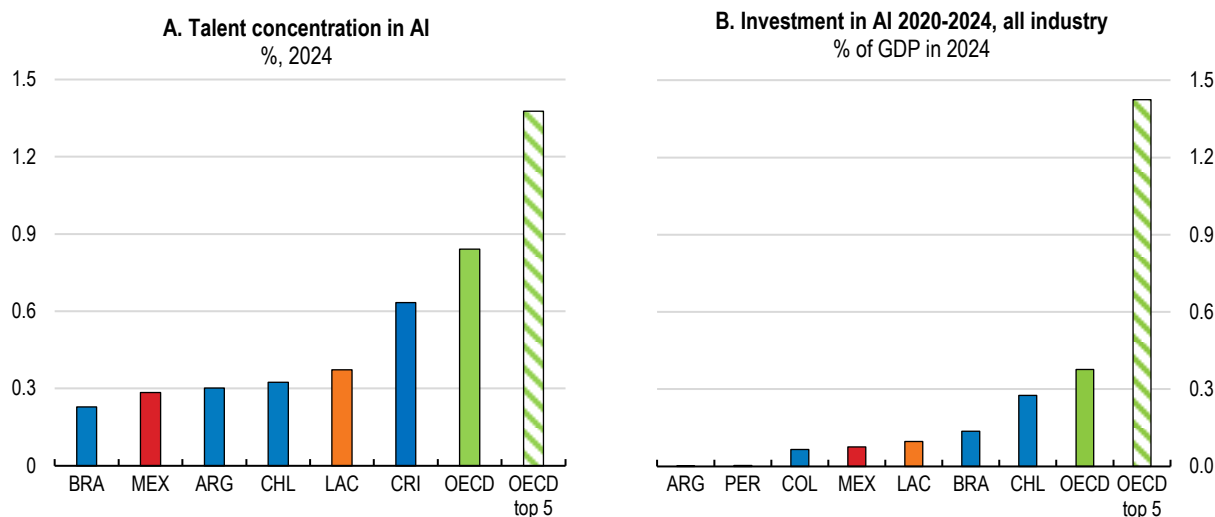
A key challenge for Mexico is to create a regulatory framework that encourages innovation while safeguarding fundamental rights. Flexible, targeted regulations on the use and adoption of AI can prevent overregulation, support digital economy growth, attract investment, and develop domestic talent (see section 4.5.1), two areas where Mexico currently lags behind (Figure 4.26).

To ensure responsible AI adoption, Mexico should establish clear, targeted regulations grounded in technological neutrality, economic competition, risk management, privacy, security, and transparency. Best

practices in AI regulation are still emerging globally, and while the European Union offers the most comprehensive framework to date, countries are exploring diverse approaches (Box 4.12). Aligning with international frameworks, such as the OECD AI Principles, which emphasise inclusive growth, human-centred values, transparency, safety, and accountability, would help harmonise governance and foster innovation.

Adopting a regulatory framework should also promote fair competition. This is especially important given the AI market's concentration among a few large firms. High development costs and infrastructure needs create barriers for new participants entering and competing. Competition authorities in Brazil, the U.S., UK, and EU have raised concerns about potential anticompetitive effects of AI partnerships and acquisitions, and emphasised fair dealing, interoperability, and consumer choice to safeguard competition and foster innovation.

Figure 4.26. Mexico needs more talent and investment in AI



Note: Panel A Top 5 OECD includes Israel, Luxembourg, Estonia, Switzerland and Finland. Panel B Top 5 OECD includes Israel, Sweden, United States, Estonia and Iceland. LAC is a simple average of Chile, Costa Rica, Argentina and Brazil. AI talent concentration at the country level is calculated using the counts of AI talent vis-a-vis the counts of LinkedIn members in that country. As such, AI talent concentration metrics may be influenced by a country's LinkedIn coverage and should be used with caution.

Source: OECD.AI Policy Observatory; and OECD STI (database).

StatLink  <https://stat.link/kzh2n6>

Box 4.12. Examples of AI Regulatory Approaches

The United States – The U.S. lacks comprehensive federal AI legislation, relying on existing laws and state-level regulations. The latest federal initiatives reflects a pro-economic-growth stance, emphasising minimal federal intervention and promoting innovation, infrastructure, and national security. Proposed federal legislation generally reflect a cautious federal approach, focusing more on oversight of government use of AI than on regulating the private sector.

European Union - The European Union's Artificial Intelligence Act is the world's most comprehensive AI regulatory framework. It uses a risk-based classification of AI systems with tailored obligation and established an EU AI Office responsible for guidance and monitoring. Member states must designate national surveillance authority and a notifying authority to ensure compliance. Innovation is supported through measures such as regulatory sandboxes for testing AI systems and targeted assistance for SMEs and startups.

The United Kingdom - The UK does not have a general statutory AI law but regulates AI through existing sector-specific laws, guided by a non-statutory, principles-based framework. This flexible approach may adapt to the rapid evolution of AI technologies while safeguarding core principles such as safety, transparency, accountability and contestability. These principles are voluntary and interpreted by existing regulators.

Source: (Harris, 2025^[73])

Table 4.2. Policy recommendations

MAIN FINDINGS	RECOMMENDATIONS (Key recommendations in bold)
Enhancing telecommunication and digital regulation	
A recent constitutional reform removed the formal independence of the telecommunications sector regulator. This implies a risk of regulatory impartiality, which can hinder investment in the sector.	Guarantee independence of the telecommunications regulator including by reinforcing technical qualifications and transparency in board member appointments and providing adequate budgetary resources.
Mobile telecommunications markets are highly concentrated. Spectrum fees are among the highest in the OECD, hindering competition and slowing 5G networks rollout. Access conditions to the preponderant operator's infrastructure have limited competition.	Enhance competition by lowering annual spectrum fees, linking spectrum costs to investment and coverage commitments in underserved areas, and ensuring that the preponderant operator does not impose excessive charges for the use of its infrastructure.
Digital markets tend to be dominated by one or a few large platforms that have incentives to create barriers to entry to consolidate their position.	Adopt regulations that promote interoperability and data portability across platforms and align them with best practice for a faster implementation.
The centralisation of privacy regulatory powers within the executive branch risks politicising data protection and undermine transparency.	Establish an independent privacy authority with the governance, resources, and expertise to enforce data protection and build public trust.
Advancing digital government	
The Agency for Digital Transformation and Telecommunications (ADTT) oversees digital transformation and telecommunications policies but lacks sufficient staff and funding to meet its wide-ranging responsibilities.	Guarantee adequate resources for the ADTT and adopt a digital government agenda with clear priorities, planning, funding and measurable outcomes.
IT systems across agencies and levels of government are fragmented.	Achieve interoperability of IT systems by mandating common standards, streamlining coordination with states and municipalities and strengthening open data frameworks.
Mexico's complex local regulatory environment imposes high compliance costs, especially on SMEs. Efforts to simplify and digitalise regulations are promising, but with only 3% of local regulations digitalised, success depends on skilled local staff and sufficient resources.	Strengthen capacity-building programmes for local administrations and secure adequate budgetary resources to ensure timely and effective implementation of the national models for simplification and digitalisation.
The digitalisation of public services risks excluding vulnerable groups, often the ones who need them most.	Adopt the principle of inclusivity in the design of digital public services and offer a multichannel approach that combines digital, in-person, and assisted services.
Cybersecurity vulnerabilities are high, institutional frameworks are fragmented and non-binding coordination with subnational governments, and resource constraints limit Mexico's capacity to ensure effective and consistent protection across all levels of government.	Enact a national cybersecurity law and establish a national incident response centre, while increasing resources for cybersecurity institutions, and extend binding standards to all levels of government.
Strengthening skills for the digital transition	
Mexico's digital education policy faces challenges due to limited focus on digital and AI skills for students and educators.	Strengthen foundational and digital skills across all education levels by improving digital connectivity, reforming curricula to include coding, data literacy and responsible AI use and investing in teacher training.
Vocational education (VET) and short-cycle programmes (SCVP) remain limited in scale and often lack a strong digital component, limiting their ability to provide graduates with the skills demanded in the labour market. Weak school-employer collaboration further reduces their effectiveness.	Scale up vocational education, including dual programmes, with stronger digital focus, school-industry partnerships (including SMEs), and strengthen outreach and career guidance to increase enrolment in digital-intensive fields.
Many Mexicans could boost their employability by acquiring stronger digital skills, but opportunities for targeted digital upskilling and reskilling remain limited.	Assess existing training programs to improve their digital content. Expand digital training opportunities for low-skilled adults via initiatives co-designed with employers and learning providers.
Harnessing the benefits of AI and emerging technologies	
Mexico lacks a comprehensive strategy or robust governance for AI and advanced digital technologies.	Adopt a national AI strategy providing long-term vision and including concrete actions for the development, use, and governance of AI and other advanced technologies. Establish a governance framework for AI that promotes ethical AI development and ensures fair competition, aligned with international frameworks.
The use of advanced digital technologies by Mexican firms remains low, particularly among SMEs, limiting productivity growth and competitiveness.	Broaden SMEs digital support programs by combining digital skills training, targeted funding, tailored technological solutions, and strategic advisory services.

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The Mexican economy has been significantly affected by heightened global uncertainty and changes in United States trade policies. Growth has moderated in 2025, with non-automotive exports and private consumption providing the main support. Safeguarding macroeconomic stability and reinvigorating growth, after two decades of modest performance, are critical priorities. Reducing the fiscal deficit through credible measures on both the spending and revenue sides, embedded within a sound medium-term fiscal framework, would help preserve fiscal stability. Channelling additional tax revenues toward productivity-enhancing investments would strengthen growth prospects. Further strengthening efforts to combat crime, a major concern for firms and citizens, is essential to foster investment and growth. Labour informality remains widespread, and boosting skills and facilitating women's employment through affordable, high-quality early education and care can help reduce informality. Mexico has recently pledged to achieve net-zero emissions by 2050, which will require unlocking its considerable renewable energy potential. Strengthening adaptation is another urgent priority given Mexico's high vulnerability to climate change. Mexico's digital transformation offers major opportunities to boost productivity. Realising these opportunities requires addressing persistent challenges, including high concentration in the mobile telecommunications market, low digital adoption among firms, cybersecurity vulnerabilities, and limited digital skills.

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